CAUGHT IN THE SCHEME: A MULTIPLE CASE STUDY ON THE EXPERIENCES AND MINDSETS OF BUSINESS PROFESSIONALS VICTIMIZED BY PONZI INVESTMENTS

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APPROVAL SHEET

This dissertation, titled **"CAUGHT IN THE SCHEME: A MULTIPLE CASE STUDY ON THE EXPERIENCES AND MINDSETS OF BUSINESS PROFESSIONALS VICTIMIZED BY PONZI INVESTMENTS",** of the University of the Immaculate Conception, prepared and submitted by **LOVELLA FAITH B. DIEZ,** in partial fulfillment of the requirements of the degree of Doctor in Business Management, has been examined and is recommended for approval and acceptance.

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Abstract

This qualitative multiple case study investigated financially fraudulent acts and the behavioral patterns of investors. It focused on Ponzi schemes involving professionals in Soccsksargen Region. By addressing a gap in the literature about lived experiences and cognitive processes, this study utilized maximum variation sampling to select the target cases. Five business professionals were chosen within the region: an owner of a minimart, an online vendor, a dealer, an MBA graduate, and a certified public accountant, representing diverse professional backgrounds. In-depth interviews triangulated with the narratives of family members and close associates were utilized to gather data. Results revealed three core theme categories: experiences (highlighting professional autonomy and systemic collapse), challenges (spanning insufficient literacy to emotional fallout), and lessons learned (prioritizing rigorous verification among other insights). The motivations of the participants were noticeably similar, characterized by a desire for rapid monetary profits and professional overconfidence; however, emotional responses to victimization differed. Although the majority of participants experienced significant distress, two cases: the online seller and the accountant, revealed more measured psychological responses. These findings highlight critical behavioral vulnerabilities and provide significant implications for financial education, regulatory policy, and targeted interventions.

Keywords: Business Management, business professionals, Ponzi schemes, investment fraud, multiple case studies, Region XII, Philippines

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Chapter 1

Introduction

Rationale

Investment is a core economic process that involves deploying resources into assets with the expectation of yielding future returns (Ludeña, 2023; Remesh, 2025). Yet, investors are constantly exposed to the risk of Ponzi schemes, fraudulent schemes that use investments from new participants to pay earlier investors with purported returns on investment (U.S. Securities and Exchange Commission, 2022; Peng & Boyle, 2024). Across the world, such schemes show that even savvy investors can fall prey. The Bernard Madoff affair in the United States further revealed how sophisticated frauds abuse social circles and professional credibility, leading to billions in losses (Manning, 2018; CNBC, 2023). This global problem highlights the need to examine how fraud circumvents established financial safeguards.

Across Asia, Ponzi schemes such as the football scam in India show how these schemes use trends and referral bonuses to deceive victims (Mohapatra, 2023; The New Indian Express, 2025). Similarly, in the Philippines, the 2012 downfall of the Aman Futures Group showed the national repercussions of schemes with unrealistically high returns (Respicio, 2025; Tookitaki, 2024). More specifically in Region XII and surrounding regions, informal communities like Kapa Community Ministry and Rigen Marketing leveraged referrals to target business professionals (Cuadra et al., 2025; Cordero, 2023; Ponteres et al., 2025). These

cases highlight the gaps in institutional safeguards and financial awareness, even among professional victims.

Investment is socially important as it helps build wealth, achieve financial stability, and support businesses that benefit the economy (World Bank, 2023; Mankiw, 2021). In the context, being alert and informed is crucial, as unwary investors are susceptible to scams through social manipulation and information gaps (IOSCO, 2023; OECD, 2022). Accordingly, this research supports financial inclusion and investment protection agendas, particularly Sustainable Development Goal 16 on Peace, Justice, and Strong Institutions, Sustainable Development Goal 8 on Decent Work and Economic Growth, and Sustainable Development Goal 17 on Partnerships for the Goals. Furthermore, it aligned with the Mindanao Development Agenda 2023-2028, which promotes social awareness and protection against illicit schemes, thus enhancing the human capital of the region.

Research shows that professional victims may follow the principles of Rational Choice Theory, where decision-making is based on perceived risk and potential reward. However, the nexus between professionalism and vulnerability can be characterized by bounded rationality, where cognitive biases and persuasive recruitment methods influence investment decisions. Studies show that trust and reputation can be exploited to create a sense of invincibility, even among financially sophisticated victims. This link between profession and vulnerability calls for closer examination of psychological and contextual factors that underpin the decision-making of business-focused victims.

Despite existing literature, a notable gap remains. Most studies are quantitative or based on data from the general public, rather than on the specific concerns of presumptively financially competent business professionals. Moreover, little research explores the particular cultural and economic influences of Region XII on decision-making. To address this gap, the present study adopts a multiple case study approach that highlights the rich and contextual analysis of the roles of rationalization and risk perceptions in real-life fraud. The in-depth examination of different professional experiences in this study makes it possible to capture previously overlooked patterns of post-victimization reflection and decision-making processes.

The findings of this research will be disseminated through conference presentation, dissemination in research fora, and publication in local or international journals. To promote the practical application of the study, a copy of the paper will be offered to the University of the Immaculate Conception (UIC) and the particular entities and stakeholders involved in the study. This strategy will provide opportunities to improve financial literacy, educate policymakers, and strengthen efforts to reduce fraud in both Region XII and across professions.

Purpose of the Study

In this qualitative multiple-case study, the study examined Ponzi fraud victims in terms of motivation, experience, and attitudes. Also, it scrutinized their views on the schemes, the influencing factors of their investments, and their experiences to prior to, during, and after their involvement. As such, it foresees trends and variations in all stipulated cases in order to comprehensively

understand the psychological and environmental factors of the victims. This study enhances knowledge of Ponzi schemes' social and financial repercussions on business professionals.

Research Question

1. What are the experiences and challenges of business professionals before, during, and after their involvement in a Ponzi investment scheme?
2. What lessons do victims derive from their experiences that can inform financial literacy initiatives and fraud prevention measures in Region XII?
3. What similarities and differences can be identified across the cases of Ponzi scheme victims based on their experiences and lessons learned?

Theoretical Lens

A multi-dimensional framework of three complementary theories guides this study to understand the psychological, social, and structural elements that lead business professionals to Ponzi schemes.

At its core, the framework draws on the Rational Choice Theory (Becker 1968), this explains that consumers usually make decisions by weighing costs and rewards. Within this concept along with the competence of the business professionals, it allows them to justify active investment after assessing extraordinary returns based on perceived opportunities. Moreover, this study explores how fraudulent schemes align with computations presented by investors through misleading of modified data. Also, this details the continuous engagement in investment to optimize financial gains, which rationally supports the paradigm.

Complementing this perspective is Fraud Triangle Theory by Cressey (1953) which describes financial fraud by combining pressure, opportunity, and justification. In this study, perceived pressure is redefined from economic survival to a professional profit motive and the aspirational goal of rapid wealth accumulation, which leads even high-income individuals to pursue high-yield possibilities. Participants' high level of professional autonomy and financial control, along with a lack of critical external verification or a temporary suspension of professional skepticism, facilitates perceived opportunity. Moreover, during the final stage, participants explained their trust and reinvestment decisions in accordance with initial rewards and validation from professional networks.

In addition, Behavioral Finance Theory (Kahneman & Tversky, 1979) was used in this study. The theory emphasizes financial planning and risk management within the context of psychological and cognitive biases. This investigates overconfidence bias, wherein individuals overestimate their ability to detect fraudulent activities or outperform the market. Also, this explains the emotional factors, such as heuristics and peer and family pressures that influence business professionals to ignore red flags. Further, behavioral finance was used to account for human weaknesses and cognitive blind spots in making high-stakes financial decisions regardless of profession.

To sum, these aforementioned theories explained the experiences of the professionals in the business world who were vulnerable to fraudulent investments, enable the pursuit of financial goals, and are grounded in behavioral prevention mitigation to address the paradox of being a professional victim.

Importance of the Study

This study offers important insights to business people who are vulnerable to Ponzi schemes and financial insecurity by offering a more humanistic perspective on the psychological and behavioral factors of financial vulnerability. By exploring these lived experiences, policymakers and regulators will be able to create more robust, region-specific frameworks and early warning systems, and academic institutions will be able to design customized curricula to close financial literacy gaps. At the same time, these insights can help financial institutions to improve risk management and customer protection, as well as to deal with negligence and skepticism to improve internal systems and open new opportunities to prevent. Finally, the voice of these victims will help to assess their experiences and minimize the stigma of complex fraud; moreover, the study will create a basis of future research, initiate the necessary discussions, and create a more resilient, ethical, and trustful corporate culture in Region XII.

Delimitation and Limitation of the Study

This study was conducted during the second semester of the School Year 2025–2026 within the SOCSKSARGEN Region. There were five participants in this study who were business professionals involved in Ponzi schemes (e.g., KAPA, Rigen, ALMAMICO, ALAMCCO, Nermie Marketing, and Just Been Paid**)** between the years 2010 and 2023**.**

Additionally, this was delimited to business professionals within the specified locale and would not cover victims from other sects (i.e. agriculture, education, healthcare, and/or government). Furthermore, while providing rich and

in-depth data, this qualitative multiple-case analysis method imposes inherent limitations for generalizability. In particular, the findings are specific to the participants involved and are not intended to be generalized to a broader population or to individuals from different backgrounds, such as those with varying socioeconomic status, educational levels, or professional experiences.

Definition of Terms

The following terms are conceptually and contextually defined.

Business Professionals. A business professional owns, manages, or conducts a firm as a primary source of income. Business professionals in Region XII who were victimized by Ponzi investment schemes such as KAPA, Rigen, ALMAMICO, ALAMCCO, Nermie Marketing, and Just Been Paid between 2010 and 2023 are active business owners who operate minimarts, online gaming accessory stores, frozen food and other product dealerships, money lenders, and farms.

Fraud Victims. Fraud victims are people who have been deceived, misled, or tricked into losing money, property, or assets due to dishonest or illegal activities. In the study context, these people are those who invested in Ponzi schemes such as KAPA, ALAMMCO, and the like.

Ponzi Scheme. Ponzi schemes use new investor money to compensate early investors rather than generate legitimate returns**.** KAPA, ALAMCCO, among others in Region XII, had assured business people unrealistically high profits and eventually failed, leaving many of them financially distressed. This paper analyzed

these regional cases to identify what were the psychological factors that predisposed business people to fraud.

Multiverse Victims. A geographically dispersed and professionally diverse array of people whose access to a Ponzi scheme was enabled by digital social networks, which resulted in a network of actors who, even though their level of technical financial knowledge differed, were simultaneously subjected to virtual trends and affected by cross-regional financial trauma.

Review of Related Literature

This section will present relevant literature and data on various sources and references, including Internet sources, published articles, journals, systematic reviews, research articles and published books, which are helpful and, relevant to the research. The researcher concentrated on the stories of business victims of Ponzi investment schemes who are professionals.

Ponzi Schemes

Tudor (2019) describes a Ponzi scheme through the phrase “robbing Peter to pay Paul.” Interpol (2019) and Wells (2010) state that this type of. investment fraud gives the impression of high returns, which attracts participants to the fraud with little risk. Lastly, these schemes are strategically planned to drain the pockets of their investors, as Lartey (2024) emphasizes.

The origin of Ponzi schemes can be traced back to 1919 when Charles Ponzi promised 50 percent returns in 90 days on a fraudulent arbitrage scheme based on postal coupons. His operation made him a total of 15 million and then it will collapse, causing overall financial devastation and bankruptcy of banks.

Continuing on this historical background, Deason, S., Rajgopal, S., Waymire, G. B., and White, R. M. In (2021), 376 Ponzi schemes that were prosecuted by the U.S. Securities and Exchange Commission (SEC) between 1988 and 2012 were analyzed and it was found that the median scheme size was USD $14.7 million with the median duration of the scheme being 3.1 years, meaning that most schemes are relatively short-lived before collapsing or being detected.

It is worth noting that one of the most well-known Ponzi schemes was that of Bernard Madoff. The case demonstrated how a well-organized investment fraud took advantage of investor trust and reputation, leading to billions of dollars in losses among a large group of investors, with the scheme estimated at almost 65 billion and impacting thousands of people across the globe (U.S. Department of Justice, 2024; CNBC, 2023). Approximately 15,000 victims had financial, mental, physical, and life trajectories and a shift in trust in the government (Homer et al., 2023). Its perpetrators had ready investors who would soon become exploited victims.

In a broader sense, Ponzi schemes have evolved into local scams to international frauds, and in the majority of cases, they employ sophisticated technology to reach a global market (Bangkok Bank, 2024). They may have various forms, but they are always founded on the natural human need of trust in which they assure the victim of high returns and minimal risks (Dublin et al., 2023). Initially they appear plausible, because they use money raised by new investors to pay off old ones, but they all inevitably collapse when new investors cease to

supply money, leaving hundreds of thousands of people bankrupt. Such schemes are easy to conceal and thus a typical form of financial fraud as demonstrated in the article by Rahmawati and Setyowati (2023). The discussion highlights the misconception of Ponzi and pyramid-schemes, and suggests a more precise legal classification to enhance enforcement efforts. Bekoe et al. (2025) conducted a bibliometric review of Ponzi scheme literature published between 1977 and 2024 and found that following such large-scale frauds, the academic community began to take the phenomenon more seriously, and the literature began to be more attentive to the nature of victims and behavioral aspects of the problem. Boyle et al. (2025) also gave a comprehensive literature review of Ponzi schemes, noting that the underlying structural lie has not altered much even though the recruitment and concealment process has greatly evolved with the change in technology.

A Ponzi-like scheme, which was publicly uncovered in the late 1980s in Malaysia, was called Skim Pak Man Telo. The scheme that was organized by Pak Man Telo, who used to work as a reporter, resulted in an alleged RM90.9 million losses involving close to 50,000 investors. Later on, the Swisscash Mutual Fund scheme in 2006 was another big fraud in Malaysia, and it incurred estimated losses of RM190 million (Abdul Ghani & Abdul Halim, 2017). Furthermore, several other Ponzi schemes have also been reported in Malaysia, such as JJ Poor to Rich (JJPTR), MBI, VenusFX Forex, and Richway Global Venture (Teo Piaw et al., 2019). Interestingly, the Commercial Crime Investigation Department of the Royal Malaysia Police recorded 408 cases in the year 2015 with losses amounting to RM70.1 million which increased to 1,151 cases with losses amounting to RM210.3

million in 2016 (Berita Harian, April 2017). As a result, Omar et al. (2016) discovered that the number of Ponzi schemes has been on the upswing over the years, and that unless addressed, this issue will only continue to increase, leading to a negative impact on investors, creditors, and the general populace. Tan et al. (2025) also emphasized the increased susceptibility of older adults in Malaysia to digital deception when stating that due to low levels of digital literacy among older adults, they are disproportionately exposed to cyber-enabled investment fraud in an ever-increasing digitalized financial environment.

The combination of social networks, low financial literacy, and the thriving digital economy in the Philippines has led to Ponzi and pyramid schemes becoming a major challenge to financial stability and consumer protection in the Philippines. In the first half of the 2010s, a Ponzi scheme led by the Aman Futures Group occurred, involving thousands of investors recruited via community-based marketing and reinvestment of funds that occurred regularly and offered extremely high returns of up to 80 percent (Respicio, 2025; Tookitaki, 2024). In 2020 and since then, the country witnessed some remarkable news, however, and some of the notable cases that were witnessed include the Kapa Community Ministry International scandal, which affected thousands of investors in the country (Sucuahi, et. al., 2025). The SEC investigation on the lure of KAPA to lure the masses to invest at least P10,000 in the company, in exchange of a 30-percent monthly interest-free life with no effort, was published in a report by Camus (2023).

Greenspan (2019) Gullibility Theory is based on the four main factors that make people join Ponzi schemes: situational pressure (doing what the crowd

does), cognitive limitations (financial illiteracy), personality vulnerabilities (they are overly trustful), and emotional motivations (the fear of financial insecurity and not only greed). A combination of these interdependent factors forms an ideal storm of vulnerability that is leveraged by fraudsters in a systematic manner. In some cases, social proof affects the victims when they see that people are involved and consider that mass involvement is a confirmation. Financially, financial illiteracy does not allow the victims to see the red flags and dubious investment pitfalls. The role of personality is also present since people that have greater trust propensities are more prone to the manipulation schemes of fraudsters. On an emotional level, on top of mere greed, Greenspan recognizes that victims are driven by financial insecurity anxieties to apparently secure returns. These four dimensions, namely, situational, cognitive, personality-based, and emotional, form a complete vulnerability framework that advanced fraudsters methodically work out by manipulation strategies in a very specific manner.

To reinforce this, Murphree (2019) observes that Ponzi schemes are emotion-driven, and investors do not necessarily reason before making an investment decision. The Gullibility Theory was supported by numerous recent studies, such as George et al. (2020). George et al. (2020) applied the concept of gullibility to comprehend why certain individuals are more susceptible to scams than others and applied the concept to identify the exposure of individuals to Ponzi schemes.

Lastly, studies have always indicated that Ponzi scheme victims have a number of common vulnerabilities. Victims are generally financially illiterate

(Greenspan, 2019; Manning, 2018), which directly affects their capacity to detect investment frauds (Chariri et al., 2018). Financially disadvantaged people are motivated by economic desperation (Lokanan, 2014), and schemers are more likely to target people with greater trust propensities, using advanced mimicry to indicate false trustworthiness (Baucus and Mitteness, 2016). Such fraudulent activities are effective in part due to the fact that victims exhibit poor due diligence practices prior to investing (Carey and Webb, 2017), and fraudsters actively seek to take advantage of the lack of knowledge of investors about the mechanics of investments to keep them engaged (Almassi, 2017). This complex vulnerability profile, which is a combination of financial, psychological, and behavioral factors, provides the best conditions to commit fraud.

Experiences of Business Professionals Before, During, and After Involvement in a Ponzi Investment Scheme

Financial fraud is a global threat as it has been experienced in Ponzi schemes in the area of ineffectiveness of the regulatory authorities and the mindset of the investors. In addition to this general interaction, Kalabeke et al. (2024) report that these operations are widespread in both developed and emerging economies. The financial destruction is well reported but the stories of business people whose survival is tied to their reputation, trust networks and financial skills is a matter of concern. In this way, Nash et al. (2018) show that professional and social networks that Ponzi schemes have a unique opportunity to exploit to find victims, use trust relationships to recruit victims, and only increase the effect of fraud when it is discovered. It confirms findings that victims of investment fraud are more apt to be

more financially literate and of the right status in their profession than commonly thought, inverting the stereotype of victims of fraud as financially unsophisticated.

The business implication on the financial front is extensive and may even lead to disastrous economic damage and destruction of whole careers and businesses. Many have to sell their properties, close business or declare bankruptcy due to loss of retirement savings and personal assets. The study by Ponteres et al. (2025) highlights the development from shock and horror, to panic and self-medication in which a loss of money renders the accomplishment of entrepreneurial goals impossible. The rate of getting into debt by the victims is high, trying to maintain a business and keep the family afloat during an economic crisis (Failed Ponzi Schemes and Mental Health Challenges, 2025). Such financial struggles have become a part of the mental instability of the person, as well as his family. However, business savvy has been used by some professionals to seek new avenues to recovery, such as litigating and reorganizing assets, and championing reform.

Another aspect of victimization is the psychological trauma of being victimized, since fraud victims experience significant emotional distress including anxiety, fear, and altered worldviews (Borwell et al., 2021; Kassem, 2023). According to the victims, they experience fear, nervousness, and rumination (Akbar et al., 2025; Borwell et al., 2021; Lev, 2022), in which they lose trust among their professional networks and this worsens their predicaments (Cross, 2019; Kassem, 2023; Lev, 2022). This loss of self-concept is particularly sharp when identity is associated with financial competence; victimization is therefore a

pressing issue that defines professional identity (Akbar et al., 2025; Kassem, 2023). But coping mechanisms are based on spiritual faith, engagement with community, and participation in advocacy organizations that translate individual trauma into system awareness.

The breakup of professional trust nets and reputational harm is a special burden since fraud exposure frequently occurs within the societies that sustain their professions. Nash et al. (2017) discovered that the degree of harm is forecasted by social networks. The more people are intertwined with their professional relations, the higher damage they get. The research of Bruhn (2019) shows that a significant portion of lost money undermines trust in a company, as well as in interpersonal relations, which makes it more difficult to be placed again on the right path of business relationships. Professionally knowledgeable individuals are victimized secondarily through stigma; their peers can undermine their decision making; this isolates them, further victimizing them professionally. However, there are victims who have reclaimed agency through their platforms to create awareness of fraud indicators and hold regulators accountable.

Professional Autonomy. Another untapped but important group of Ponzi scheme victims is made up of business professionals because of their social contacts, economic status and active investment activities. Unlike the financially illiterate or desperate categories often targeted in the victimization literature, these professionals have a certain degree of resources and knowledge which, ironically, makes them an attractive target. As Greenspan (2019) and Hidajat et al. (2020) note, although they have high-value targets due to their strong social capital and

considerable wealth, their professional confidence and optimism bias tend to hide the warning signs that would otherwise raise a red flag.

The research conducted by Ibrushi et al. (2026) proved that overconfidence is a highly significant cognitive barrier since even financially educated people become susceptible to investment fraud when they overestimate their skills and abilities and, consequently, do not notice the high-risk indicators that would otherwise have become apparent during due diligence. Kruesi et al. (2025) determined that, although job autonomy tends to build professional confidence and commitment, it may also reduce the need to seek external validation, or second opinion a phenomenon that may predispose an individual to more sophisticated financial frauds such as Ponzi schemes. Ahmad (2025) found that overconfidence that is usually compounded by professional empowerment greatly increases the propensity to become victimized in investment scams since overestimating personal competence reduces the likelihood of conducting due diligence prior to investing money.

Research shows that Ponzi scheme victims share some significant vulnerabilities. Poor financial literacy is also a characteristic of victims (Greenspan, 2019; Manning, 2018), and it directly impacts their ability to identify investment scams (Chariri et al., 2018). Economically disadvantaged individuals are driven by economic desperation to participate (Lokanan, 2014), and schemers target those with higher trust propensities (Baucus and Mitteness, 2016). According to Carey and Webb (2017) and Almassi (2017), the effectiveness of such fraudulent schemes is predetermined by a complex of factors: the victims do not always

conduct due diligence before investing their money, and the perpetrators of fraud are aware of the fact that the financial knowledge of investors has certain gaps.

Social Influence. Social influence is one of the primary reasons why Ponzi schemes spread so fast. Andorfer (2017) showed that the rapid spread of Ponzi schemes is closely intertwined with the social network mechanisms in which the trust, which is established due to interpersonal relationships, reduces the skepticism and enhances the probability of network participants to accept fraudulent investment opportunities. Building on this, Khodabandehlou and Hashemi Golpayegani (2024) discovered that, according to social network analysis, aberrant financial behavior, including participation in fraudulent investment schemes, diffuses rapidly and extensively through network relationships, as observed returns by others provide a powerful social evidence that overshadows personal judgment.

Nash et al. (2013) found in a social network analysis of a high-profile Ponzi scheme that close inter-personal relationships played a key role in the spread and the sustainability of the scheme, and that the existence of an already existing investor in the system stimulated the adoption of fraudulent investments by social networks by recruiting family and friends whose trust in familiar sources. Promotions of Ponzi schemes are done by word of mouth, social media, personal persuasion, introduction meetings, and one-on-one communication. Baltacı and Vural (2025) and Castro Severiche et al. (2025) have found that the components of the marketing mix are actively and intentionally employed to induce herd behavior in Ponzi schemes.

Among the peculiarities of fraud, there is a long-term interaction with an ever-increasing number of people (Carey & Webb, 2017). Such interactions are motivated by the need to build and maintain the trust of the victim. Dependent individuals also have a lower chance of conducting due diligence to detect fraud and are prone to victimization (Carey & Webb, 2017). Mugarura (2017) says that many individuals who fall victims of fraudulent investment schemes are not fools, but because of their ignorance, they do not know that they are engaging in sophisticated schemes. Mahomas and Ladra (2025) also reached the same conclusion and found that emotional biases and social pressures are among the most common reasons why people remained trapped in Ponzi and pyramid schemes despite the initial warning signals being realised. Asangausung et al. (2025) also determined that trust networks and social capital between communities actively participate in the dissemination of Ponzi schemes. According to Jacobs and Schain (2011), unlimited networking has eliminated the distinction between known and trusted friend that allows Ponzi schemes to thrive.

Samanta (2025) examined the motivations behind Ponzi victims in West Bengal, India, and found that a combination of financial requirements, social pressure by people who were trusted in the community, and the absence of appropriate regulatory presence enabled fraudulent schemes to flourish in lower and middle-income communities. Meanwhile, in Turkey, Baltacı and Vural (2024) unveiled the herd behavior pattern induced by marketing strategies, including word of mouth, social media, direct persuasion, and personal communication.

Profit Motivation. Man factors drive and motivate people to engage in Ponzi and other schemes. The attitudes that individuals bring with them in making investment decisions are important in determining their vulnerability to fraud. The victims are willing to improve their economic status especially when they are of the low economic background (Samanta, N. 2025). A behavioral finance study by Hidajat et al. (2020) on the reasons why individuals join Ponzi and pyramid schemes found that cognitive and emotional biases, including optimism bias, confirmation bias, representativeness bias, framing bias, and overconfidence, positively influenced investment behaviour in fraudulent schemes, even among knowledgeable investors. On the other hand, the article by Jain and Kumar (2020) discusses the reasons why people invest in such fraudulent schemes and finds out that emotional and cognitive biases significantly influence investment choices. Koehn (2025) also contributed to the psychological approach of viewing victimization in fraud by asserting that unmet psychological needs such as security, belonging, and status render victims of fraud highly susceptible to fraudulent offers.

Prabowo (2023) found out that the cultural propensity towards quick wealth, as well as the profit-making motives, decreases the degree of risk awareness among the victims of investment frauds to a considerable extent and makes individuals disregard the existence of obvious warning signs in the hope of gaining financial gains. Hidajat et al. (2021) found that emotional and cognitive biases, particularly the optimism bias and the overconfidence bias, were important factors in the decision of investors to invest in Ponzi and pyramid schemes, and that most investors were driven by the promise of high returns, which made them ignore

warning signals at their disposal. A behavioral finance study of why individuals become victims of Ponzi and pyramid schemes conducted by Hidajat et al. (2020) found that cognitive and emotional biases, including optimism bias, confirmation bias, representativeness bias, framing bias, and overconfidence, positively influenced the decision to invest in fraudulent schemes, even among otherwise knowledgeable investors.

Uroko (2025) relied on the wisdom in the Bible to warn about greed as the main reason to participate in Ponzi schemes and concluded that the lust of becoming rich without working is one of the main reasons why people of different cultures and generations make poor financial decisions. Experimental findings provided by Huber et al. (2025), such as a sample of financial professionals and students, showed that even sophisticated economic actors are extremely prone to make suboptimal choices in the absence of institutional checks, which underscores the high degree of persistence of mindsets regarding financial profitability despite professional experience.

The victims tend to desire to improve their economic lives, especially when they are in a lower economic status (Samanta, 2025). Constantino et al. (2024) justify the resulting credulity of Brazilian victims of Ponzi schemes by the lack of risk awareness and the willingness to make quick money. The infiltration of the Ponzi scheme in Brazil was blamed on social pressures, overconfidence, and deliberate ignorance. Manning et al. (2018) also viewed the structural mechanics of the Madoff fraud through the lens of dark open innovation, showing how the elaborate informational asymmetries were deliberately leveraged to sustain the

fraud over decades. Similarly, Leslie (2021) stated that the Stanford Financial Group scheme relied on claims of lay ignorance by victims, who were intentionally kept in the dark about the nature of the scheme to prevent being found out and to act with the regulatory authorities.

Initial Euphoria. One of the most harmful mentalities in the category of cognitive bias is the optimistic one that causes individuals to believe that they are less susceptible to negative outcomes, overestimating the returns and underestimating risks, therefore, being more susceptible to fraudulent investments (Cherry, 2020). By exploiting the psychology of investors, fraudsters present opportunities that appear to be highly profitable, and they do so because victims knowingly or unknowingly disregard the risks involved when they are driven by an overly optimistic financial outlook.

The study by Cuadra et al. (2025) supported these findings by analyzing the cases of investment scam victims in the Philippines through an interpretative phenomenological approach that revealed that the financial decision-making process of victims was affected by a complex interplay of social endorsement by their trusted peers, positive cognitive framing, and the absence of awareness of regulatory safeguards. This initial euphoria is a psychological trap, because the initial payouts may affect the emotions to create an illusion of legitimacy and diminish critical thinking.

Statman (2019) found that the affect heuristic and optimism bias are major factors that lead to victimization in investment frauds since the emotional appeal of high returns will always prevail over rational risk assessment, and a person is

persuaded to consider an apparent fraudulent scheme as a good opportunity despite being aware of the red flags. Stajano and Wilson (2011) discovered in their research that promises of unrealistic or guaranteed returns are a psychological trap that uses victim optimism as the bait and therefore such red flags are particularly dangerous since they appear to be a good deal and not a red flag.

Confirmation bias can make investors prefer information that can affirm their current mindsets and beliefs (Option Alpha, 2024), whereas representativeness bias triggers them to make choices based on perceived patterns (Analyst Prep, 2024). According to Cherry (2024), the framing bias affects decisions based on how information is presented, and Money Masterpiece (2024) also mentions that overconfidence influences an exaggerated opinion of the investment abilities. Studies of bias in investment reveal that affective highs and reassurance of a gain can lower the critical risk appraisal and can maintain interest in a fraudulent investment plan (Nash et al., 2013).

Active Promotion. Among the most fateful methods Ponzi schemes maintain and multiply is the proactive advertising nature of their victims themselves, who are often obliviously turned into recruiters. According to Munisamy (2019), most Ponzi schemes are organized as syndicates through the establishment of a legitimate company registered with the Registrar of Companies, which is to ensure that the authorities do not suspect the scheme. Fraudsters were discovered to be directors of companies or in some cases, they had dummy directors. Previous research indicates that one of the increasing trends in Ponzi schemes is the use

of social media and the internet to defraud unsuspecting victims (Abdul Ghani & Abdul Halim, 2017; Mohd Sulaiman et al., 2016).

According to Munisamy (2019), numerous businesses that provide suspect schemes do not have a license. The fraudulent schemes are usually disguised by these companies through normal investments like forex trading, cryptocurrency (e.g. Bitcoin), gold investment plans, commodity investment plans, property investment plans, multi-level marketing and recreational membership plans. According to the Purple Notice published by Interpol (2019), Ponzi fraudsters turn to the Internet to advertise schemes online.

Modern Ponzi schemes in India involve using digital platforms to supplement the conventional deceitful tactics. The 18football.com scam is a multi-level marketing and online football betting hybrid, with the lure of high returns and referral bonuses, which impacted thousands (Mohapatra, 2023; The New Indian Express, 2025). This is in line with Bhadra and Singh (2024), who reported that Ponzi schemes in India are usually masqueraded as a legitimate investment using effective operations, aggressive marketing, and plausible-appearing promoters that consequently necessitates government intervention and awareness among the people to avoid victimization.

Meanwhile, in Turkey, Ponzi schemes involved intangible products. The payback was higher than market. They also covered the illegal activities by using personalities. Its spreading is achieved by a word of mouth, social media, direct persuasion, introductory meetings, and personal communication. This is referred to as the pattern of the herd behavior that was instigated by marketing strategies

(Baltacı & Vural, 2024). In West Bengal, India, Samanta (2025) investigated the motivation of victims of Ponzi schemes and concluded that a mix of financial need, social pressure by trusted members of society and lack of regulation facilitated the growth of fraudulent schemes in lower and middle-income groups.

In the quest to target the largest audiences, Ponzi schemes have typically been developed in urban centers that generate a large share of the gross national product of the country. Entry fees to these systems are normally 40-50 USD. Krause (2025) and Sadiraj & Schram (2018) point out that while Ponzi schemes are financial products, the purported money-making ventures are typically intangible and complex. Moreover, the rate of returns of the system is never less than the market rate. People are observed to be affected by other people in their social and work settings (Nguyen et al., 2024). Ponzi schemes are promoted through word of mouth, social media, personal persuasion, introductory meetings and one on one communication. When the herd behavior patterns in the Ponzi are investigated, one can observe that the majority of them are the Heuristic Simplification and Social Interaction. Baltacı & Vural (2025) and Castro Severiche et al. (2025) have discovered that the elements of marketing mix are being utilized consciously and actively to create herd behavior in Ponzi schemes.

More surveillance is needed to break the facade of legitimacy of the crime (Albrecht et al., 2017), since a scheme can always devise more methods of exploiting and manipulating investors. Manning et al. (2018) also studied the structural dynamics of the Madoff fraud in terms of dark open innovation, which revealed how the advanced informational asymmetry was actively used to

perpetuate the lie during decades. Equally, in a study by Leslie (2021) the Stanford Financial Group scheme took advantage of the fact that the claims of lay ignorance were made on the victims and this was intentionally done by keeping the victims in the dark about the nature of the scheme to ensure that the scheme was not detected early.

Mahomas et al. (2025) reveals how frauds use community networks and social capital. Religious organizations, professional associations and community groups have been reported to be used as sources of recruitment and the perpetrators have used the institutional trust to justify fraudulent services. The article by Sucuahi et al. (2025) has explored the elements of investment gullibility among the victims of Davao City and discovered the psychological and social problems that predispose the victims.

Epelbaum (2025) argues that the fear of missing out (FOMO) is a powerful psychological phenomenon in the context of investment, where the perception of time-sensitive and high-paying opportunities causes irrational risk evaluation, causing individuals to invest their resources in a hurry and without due diligence. According to Carey and Webb (2017) and Homer et al. (2024), it is extremely difficult to make people believe that these schemes are false and unreliable.

Strategic Reinvestment. Fu et al. (2018) have demonstrated that reinvestment of alleged earnings by investors contributes two-fold role in Ponzi schemes. On the one hand, it delays the perception of profitability further; on the other, it makes the financial and psychological investment in the scheme greater, only to make the losses greater in the case of the subsequent collapse.

Reinvestment enhances commitment and emotional attachment, showing how rational financial behavior in the quest to achieve higher returns can be counter-productive in the sense of making a scheme more susceptible to fraud.

In addition, Ponzi scheme victims are likely to possess certain behavioral patterns, which contribute to their further involvement. Most people reinvest despite the losses they make at the start due to the sunk-cost fallacy and the hope that they will recover their money. Academia (2024) forecasts that due to the trust in familiarity, individuals are more susceptible to schemes proposed by friends, relatives, or neighbors as the sense of affinity decreases the level of skepticism and increases the willingness to invest. Moreover, Bianchi (2023) found that the higher educational level is not a uniform protective factor against Ponzi scheme victimization since the cognitive biases and social pressures that motivate action are not contingent on the formal educational level. Rauf et al. (2025) confirmed that educational and professional qualifications do not offer a significant level of protection against victimization in Ponzi schemes when social trust relations and emotional biases are deliberately employed by fraudsters.

Besides that, Brenner et al. (2020) demonstrated the systematic override of rational financial decisions with emotional responses to the perceived initial returns in fraudulent investment plans, which produce addictive recruitment patterns that amplify financial losses but also lead to acute psychological distress upon failure. The study by Bhadra and Singh (2024) also found that promoters also require aggressive promotion and presentation that seems credible to maintain investor confidence alive in the reinvestment cycle.

Systematic Collapse. Ponzi schemes do not generate any profit through real business activities; they are structurally dependent on a continuous inflow of new money to generate an illusion of profitability (Peng and Boyle, 2024). Following this, Frankel (2012) clarified that such schemes are unsustainable in any way since they always collapse when the individual in charge cannot find enough individuals who will be willing to invest their money in the scheme to pay out the previous participants. Therefore, collapse is inevitable, and the impact is amplified by the past trust and investment strategies of the participants, which underscores the dangers of schemes that promise unsustainable returns.

This structural weakness is further supported by empirical evidence. As an example, Deason et al. (2021) analyzed 376 SEC-prosecuted Ponzi schemes between 1988 and 2012 and found that the median duration of a Ponzi scheme is 3.1 years, indicating that most Ponzi schemes are relatively short-lived and fail or are uncovered. Machine algorithms can detect the schemes before the victims are consumed by the Ponzi schemes. Random forest (RF), neural network (NN), and K-nearest neighbor (KNN) models have demonstrated 94% accuracy especially on Ethereum schemes (Onu et al., 2023). Similarly, Ponzi schemes were founded on the basis of trust and confidence of the unsuspecting victims. Fraudsters studied the peculiarities of their victims because they cannot detect fraud. According to Carey and Webb (2017) and Homer et al. (2024), it is extremely difficult to make people believe in the falsity and unreliability of these schemes.

Finally, the failure of Ponzi schemes has extensive effects not only on individual investors but also on creditors and the economy at large (Omar et al.,

2016). One of the most striking cases is the collapse of Bernard L. Madoff Investment Securities LLC in 2008 that not only resulted in the devastating loss of funds but also in the loss of trust in the financial industry (Gurun et al., 2017). As IRS (2025) illustrates, fraudulent activities may lead to an enormous blow to the reputation and financial status of a company and Harvard Law Corporate Governance (2016) reveals that such loss of trust only discourages potential clients and investors, restricting the business opportunities in the future. Arisanti et al. (2025) also reported that the reinstatement of the rights of victims of mass fraud requires a justice-based model that takes into account not only material compensation but also social damages on a broader scale.

Emotional Fallout. The impact of Ponzi fraud on victims includes financial, health, and emotional (depression, physical issues, and suicide attempts) and behavioral (self-blame, guilt, and shame) (Razaq et al., 2021). The feelings of shame and guilt were important because these feelings influenced the victims not to talk about their victimization with their close social group. The sense of shame among the individuals who had to share or were forced to share the fact that they were perceived as guilty of their situation was growing (Fei et al., 2021; Freeman, 2024; Nguyen et al., 2024). Harvey et al. (2014) showed the blame conflict on the victim, which led to a dissonance in interpersonal relations and enhanced the negative emotional effect on the victim.

Likewise, Lev (2022) documented that the victims of Ponzi schemes are likely to self-blame, experience shame and guilt, especially when they have recruited others, and that these emotional impacts discourage disclosure and

reporting, which still leads to psychological distress even after the money is lost. In favor of this, Turlea and Nistor (2022) conducted a detailed study of the experience of Ponzi scheme victims, which revealed the interdependent financial, emotional, behavioral, and health consequences. Victims in their outcomes are usually devastated financially and at the same time, they experience intense emotional responses of profound feelings of betrayal, shame and guilt.

Finance Strategist (2023) supported these findings by reporting the devastating financial devastation that is typically brought about by such schemes. Shaw (2024) notes that victims tend to develop physical conditions that are stress-induced as a result of being victimized. The psychological impact of internet-based frauds was reported by Balcombe (2025), who found that the correlation between being a victim and anxiety, depression, and post-traumatic stress symptoms is significant. Wilkins et al. (2012) also cared about the opinions of victims, and they found that the social stigma and the sense of failure that overwhelms people when they fall victims of Ponzi only intensifies the emotional impact. Quraisha (2019) examined the victims of financial frauds on a bigger scale, yet discovered that the psychological damage encompasses deep relational disconnections and irreversible identity crises.

Ponteres et al. (2025) give qualitative descriptions of 2019 Ponzi investment scam victims in the Philippines, the horrors, coping strategies, and hope that the victims had after losing money. Taken together, these results support the claim by Lev (2022) that the psychological impact of fraud can be as harmful as the financial

losses themselves. The human cost of fraud schemes is much more than financial numbers as Homer et al. (2023) also unveil.

Silva and Santos (2023) sought to discover the reasons why individuals in Brazil continue to invest in Ponzi schemes despite the fame of the risks and discovered that despite the heightened awareness, cognitive biases, social trust and financial desperation continue to drive individuals to invest in such fraudulent schemes. Similarly, in a related explanation, Springer (2023) states that individuals with anomie, or a state of social instability or normlessness, are more prone to devoting themselves to Ponzi schemes due to their social and psychological vulnerabilities. Regularly, the American Marketing Association (2023) also observed the same, stating that victims of social instability are more likely to seek fast financial solutions.

Challenges Encountered by Business Professionals Before, During, and After Involvement in a Ponzi Investment Scheme

In addition to this general participation, business professionals are a particularly susceptible group, since they are the victims of more sophisticated forms of attacks to exploit their professional networks, trusting relationship, and perceived financial acumen. In these pre-involvement stages, professionals face issues of information asymmetry and perpetrators attempting to create legitimacy to themselves. Thus, Amoah (2018) argues that Ponzi scheme offenders are strategic in their approach to social capital, professional qualifications and affinity networks to avoid due diligence processes that business professionals would otherwise apply. With that said, the temptation of good returns and the respectable image of the offender in the society creates a scenario where experienced

investors simply overlook red flags (Quisenberry, 2017; Hofstetter et al., 2017). Regulatory blind spots, and the sophisticated presentation of fraud as legitimate investment opportunities with regard to emerging digital platforms (Hidajat et al., 2024), further intensify this phase.

Business professionals are increasingly faced with more and more overwhelming tasks that they are actively involved in that exacerbate their original vulnerability. Investors increase investments until they are caught in an unsustainable vicious cycle as perpetrators reinvest alleged returns (Hofstetter et al., 2017), and it becomes increasingly harder to escape such a cycle. The Onoh (2025) study states that the professionals justify the indicators of early warnings, and social pressure by the co-investors and the fear of potential losses stimulates the development of participation due to cognitive dissonance and bias in behavior. The regulatory frameworks are not likely to allow intervening in time; the law enforcement in most instances is constrained by the resources; the concealment methods of the scheme-runners are also highly developed (Zulkhafri et al., 2023; Čunderlík, 2021). Even though red flags are recognized by alert professionals, and they tend to avoid close contact, Shefrin (2016) suggests that they are frequently deceived by the art of creating a believable and trustworthy image by offenders.

Failure of a scheme has far-reaching consequences that out-weigh short-term financial losses. Homer et al. (2023) note that the victims experience severe psychological trauma besides the complete loss of retirement and business capital accumulated over decades. The loss of reputation is particularly heinous, since being victims or accidentally promoters is a disgrace to professional communities

and can trigger the engine of the law in official investigations (Lewis, 2016; Thanasi et al., 2017). This loss of professional trust networks makes the recovery process more difficult because it isolates these victims and excludes them as a component of the support network (Homer et al., 2023). However, there are also victims who show remarkable resilience, practicing advocacy and going further to larger structural change initiatives to be able to resume professional life (Quisenberry, 2017). These problems are reflected in the economies of the developing world and in some groups of people that possess a less developed regulatory framework with a certain degree of intensity. Colombia, Albania, and South Asia are especially susceptible due to the inability to receive high-level financial advisory services and a less effective enforcement (Hofstetter et al., 2017; Thanasi et al., 2017; Bhadra et al., 2023). The studies by Onoh (2025) indicate that economic pressures predetermine the circumstances in which in Nigeria, professionals are victims and unintended recruiters. The same can be said about Malaysia and Indonesia, where online platforms allowed operators to take advantage of the low rates of legal literacy and gaps in the application of cross-border regulations (Zulkhafri et al., 2023; Maksum, 2024). Quisenberry (2017) argues that these local cases are reflective of a larger-scale trend since it is seen worldwide, where the abuse of trust and human cognitive vulnerability is not confined by geographical borders.

Insufficient Literacy. The low capacity to differentiate between legitimate and fraudulent investment opportunities makes one more susceptible to fraud schemes, including Ponzi fraud, because it hinders the identification of fraudulent aspects, including unsustainable returns or falsified documents (Xiao et al., 2022).

But low literacy is not the only vulnerable group. Ibrushi et al. (2026) discovered that even those with some financial knowledge may be deceived when they overestimate their competence or when they do not notice high-risk signals. This implies that overconfidence can be a cognitive obstacle, resulting in bad financial choices and greater vulnerability to victimization despite a minimum level of literacy.

Likewise, Chariri et al. (2018) showed that personal traits and financial literacy have a direct negative effect on the capacity to detect investment scams. Victims are generally financially illiterate (Greenspan, 2019; Manning, 2018), which does not allow them to identify red flags and dubious investment opportunities. In a study of investor protection behaviors, Kiefer et al. (2017) showed that the vulnerability to investment fraud is greatly mitigated when investors engage in active verification, such as verifying registration of investment products and the licensing status of financial professionals, which highlights that behavioral due diligence is a more effective protection measure than financial knowledge alone.

Findings in a study by Boyle et al. (2015) have developed a professional skepticism framework that proves that forensic accounting tools, which are aimed at identifying unregistered securities, unlicensed sellers, and non-transparent financial structures, are essential in identifying fraudulent investment schemes, and transparency is the key distinguishing factor between legitimate investments and Ponzi operations. Lusardi and Streeter (2023) showed that financial knowledge is not a sufficient defense against Ponzi scheme victimization, and

cognitive biases and social trust processes can override even well-established technical financial competence.

Social Pressure. Network effects and social influence are also important in fraudulent investment participation, where people are more likely to follow the actions of trusted individuals, particularly in situations that are likely to result in economic gain. The dependency on the advice of family, friends, or community members may supersede the analytical assessment of financial opportunities, thus decreasing skepticism (Samanta, 2025). Epelbaum (2025) discovered that the fear of missing out (FOMO) is a strong psychological force in investment situations because the perception of time-sensitive, high-paying opportunities is a significant barrier to rational risk assessment, leading people to invest their financial resources in a rush and without sufficient examination.

Expanding on this, Bongini et al. (2025) found that professional networks are systematically exploited by fraudsters who develop trust by sharing institutional affiliations, credibility endorsements, and professional social capital, effectively overcoming the vigilance that professional experience would otherwise offer. According to the Purple Notice published by Interpol (2019), Ponzi fraudsters promote schemes online, which increases the scope of social pressure beyond local networks. According to Nguyen et al. (2024), the pressure on potential victims to participate is intensified by both the system's promise of returns that consistently exceed market rates and the observable social and professional success of current members.

Financial Risk. Behavioral finance studies have pointed out that perceived initial gains may decrease risk aversion and enhance addictive reinvestment behavior, which eventually increases losses when the scheme fails. According to Cuadra et al. (2025), this sense of mental superiority often overrides logical risk assessment, ultimately leading to increased financial instability for the investor.

In this respect, Alkadhim and Aboud (2025) suggested that the most important protection against contemporary financial fraud is to remain systematically skeptical of promises of quick returns and to perform due diligence, which they claimed that the initial payouts in fraudulent schemes are specifically crafted to overcome victim skepticism by giving the illusion of investment legitimacy. Xiao et al. (2022) determined that low financial literacy, especially the inability to detect fraudulent aspects of unsustainable promised returns and falsified investment records, significantly increases vulnerability to Ponzi and other investment frauds among otherwise knowledgeable people. Krause (2025) and Sadiraj and Schram (2018) note that although Ponzi schemes are financial products, the alleged money-making projects are usually intangible and complicated, which makes it challenging to determine the true financial risk by investors.

Moral Responsibility. Psychological distress is defined by the fact that the victims still feel guilty or responsible in advising others to invest their money especially when the recruits have lost their money and this guilt is transferred. According to Lev (2022), victims of investment fraud report that self-blame and shame may be the result of perceived shared responsibility with the fraudster,

which discourages reporting and disclosure, and leads to continued emotional conflict.

Egiyi and Chindengwike (2023) found that victims of financial fraud who involuntarily engage other individuals in fraudulent activities are subject to inner moral dilemmas, as the tension between their initial intentions to make a profit and their moral duty to those who are recruited into the scheme leads to continuous psychological trauma and social isolation. Cross et al. (2022) documented that the psychological burden of Ponzi scheme victims who recruit individuals into the scheme has a compounding and distinct impact since the guilt of having caused financial harm to their recruits creates a strong sense of self-blame and social withdrawal patterns that exacerbates the psychological trauma already caused by their own victimization of their money.

A study conducted by Jain and Kumar (2020) on the motivation behind individuals investing in fraudulent schemes found that emotional and cognitive biases are important factors in determining whether to invest in a fraudulent scheme. The moral responsibility dilemma is further intensified when the same people who volunteered and promoted the scheme are in the paradoxical position of victim and unintended offender who suffered personal loss and social responsibility to the victims they recruited.

Emotional Distress. The acute emotional symptoms, such as depression, anxiety, and insomnia, are characteristic of the loss of money in fraudulent schemes, which is an expression of the psychological impact of the abrupt loss of money and betrayal (Lev, 2022). In many cases, victims experience a sense of

violation, distrust, and chronic stress, which results in poor wellbeing and, in some, dysfunctional family or work life (Brenner et al., 2020). Balcombe (2025) documented the psychological impacts of internet-based scams and established that the victimization and anxiety, depression and post traumatic stress symptoms were highly correlated among victims. The authors described interconnected financial, emotional, behavioral, and health outcomes (Turlea and Nistor 2022), and victims frequently described a powerful emotional response in the shape of deep-seated feelings of betrayal, shame, and guilt. Shaw (2024) notes that victims tend to develop physical disorders as a direct consequence of the victimization process.

Quraisha (2019) examined the victims of financial fraud in a wider context and discovered that the psychological damage inflicted by the incident extends well beyond the loss of money, including deep relational disconnections, and long-term identity crises. Harvey et al. (2014) demonstrated that the blame on the victim caused interpersonal relationship conflicts and increased the negative emotional impact. Brenner et al. (2020) demonstrated addictive reinvestment behavior that leads to greater financial losses and, simultaneously, to acute psychological distress after the scheme collapses by demonstrating that emotional responses to perceived gains at the initial stages of the fraud investment plans are systematically disruptive to rational financial judgment.

Reputational Damage. Hock and Button (2023) discovered that victims and unintentionally promoted pyramid and Ponzi schemes bear even heavier burden of social stigmatization and reputational damage since they are often perceived by

recruited victims as having been complicit in the fraud rather than fellow victims, which is a crushing blow to their professional reputation and social standing. Victims recruited are frequently faced with violent threats of refunds or social ostracism due to their roles as unwitting sellers of the fraudulent investment.

Fraud victim profiles Literature (Brenner et al., 2020; Ibrushi et al., 2026; Lev, 2022) mentions social stigma and reputational damage as potential critical consequences, as victims are not always perceived as victims but are sometimes viewed as complicit and are even more challenging to re-enter professional and community networks. Kumar and Kumar (2025) examined the perpetrators of fraudulent schemes in the prism of forensic accounting, and asked whether any redistributive justice can ever be effective in compensating the victims of their losses in monetary and reputational terms.

Button et al. (2024) argue that victims of financial fraud who recruit others into the scheme have a higher chance of developing strong social withdrawal patterns as they cope with the duality of being both the victim and experiencing social hostility due to the individuals they indirectly cause financial harm. An example of how these fraudulent activities resulted in a more widespread loss of trust in the financial sector (Gurun et al., 2017) and the reputational ruin of both the individual victims and institutional and professional networks is the case of the Bernard L. Madoff Investment Securities LLC collapse in 2008.

Financial Disruption. Loss of capital in fraudulent schemes interferes with the planned business growth and business stability and in most instances, the business has to be restructured in terms of financial plans. The resulting economic

impacts lower the overall financial welfare and trust (Hidajat et al., 2021), compelling the victims to redistribute the limited resources. Such forced redistribution of funds typically leads to the indefinite postponement of significant financial milestones, which causes a long-term external shock on the economic stability of each individual (Homer et al., 2023). DeLiema et al. (2020) have found that financial trauma following Ponzi scheme victimization has a core effect on the risk tolerance of victims, demonstrating far more conservative attitudes towards their investments following their experiences of shattering capital losses. The collapse of these Ponzi schemes is bound to cause Emotional Distress, as reported by Lev (2022) and Brenner et al. (2020). The victims not only lose their money, but also experience a long-term derailment of business operations, personal financial aspirations and career development paths.

Arisanti et al. (2025) also proposed that the reinstatement of the rights of the victims of mass fraud must be grounded in a justice-oriented framework that incorporates material compensation and the social losses that communities affected by the mass fraud have suffered. Hakim et al. (2025) also emphasized the significance of proper legal frameworks to protect victims of a fraudulent investment scheme and used case studies of financial regulatory bodies to support the concept of more enforcement mechanisms. Parveen (2025) also argued that white-collar crime investigations should integrate forensic science and psychology to improve the unmasking of the behavioral and psychological profiles of fraud offenders and improving the redress of the victim in a better way.

Lessons Learned by Business Professionals from Their Experiences with Ponzi Investment Schemes

The fact that Ponzi schemes continue to thrive in diverse economic environments underscores a worrying reality: the lessons learned in the wake of such financial disasters are not necessarily institutionalized properly. Even with their professional training, business professionals can be susceptible to more sophisticated fraud because they fall prey to the psychological weaknesses that can ensnare even the most experienced investors. By doing so, Ponteres et al. (2025) demonstrate that the post-victimization experiences of business professionals are a source of information that has a unique value because these people have the mental capacity to examine their unsuccessful decision making processes. The cognitive process of rationalizing their involvement by educated investors, and their post-collapse learning, as described in the study by Lewis (2016), is one of the main intelligences that can be applied in the design of protection structures that can overcome cognitive bias rather than information deficiency.

On the personal level, the Ponzi victims who remain in the profession have always claimed that they have fallen into the overconfidence trap and the blind faith in charismatic operators despite them having the technical expertise to conduct their due diligence (Quisenberry, 2017; Baucus et al., 2016). Research indicates that social proof, the emergence of other reputable business leaders, is overused instead of the hard analysis (Rafik et al., 2023; Constantino et al., 2024). Victims tend to use motivated reasoning and affinity bias when explaining why they decided to ignore red flags, such as abnormally high returns and incoherent

strategies. However, the survivors also testify to the major changes: they are more vigilant, more suspicious of high-yield promises, and the transparency-oriented screening practices that are not based on the trusting relationships (Ponteres et al., 2025; Andreou et al., 2018). These individuals are likely to become the so-called reformed maximizers, who do not depend on speculative optimism but rather pursue conservative and diversified investment strategies founded on fundamental analysis.

Beyond the personal finance, victimization generates professional and organizational lessons that re-establish institutional risk management strategies. The experience typically leads to the loss of trust in the professional referral systems, and the victims know that the recommendation of their colleagues was frequently based on the application of the wrong heuristics rather than checking (Baucus et al., 2016; Chiluwa, 2019). There is also a significant reputational problem that professionals face, particularly when they reluctantly recruited business partners into the scheme (Ullah et al., 2021). This has led to a push to find more institutional protection, including mandated third-party audits and formal processes that make sure that an individual cannot use personal influence to circumvent standard procedures, as highlighted by Kasim et al. (2020) and Bhadra et al. (2023). Surprisingly, some professionals exploit their victimization to become educators of fraud or policy activists, and personal trauma is their professional meaning (Ponteres et al., 2025). They will also be utilized to develop investor education programs or victim support groups, and their knowledge of the mechanics of fraud prevention will be put to preventive use with a special

credibility. These lived experiences demand structures that combine active literacy and effective enforcement in emerging economies with financial literacy gaps and poor regulation (Kasim et al., 2020). Quisenberry (2017) draws a conclusion that the greatest lesson of these events is one crucial fact: to prevent Ponzi schemes, it is significant to alter the whole system that preconditions specific institutional gaps and psychological weaknesses, which are exploited by fraudsters.

Rejecting "Easy Money" Myths. Stajano and Wilson (2011) note that the promise of unrealistic or guaranteed returns is not only a feature of investment fraud but a psychological trap that capitalizes on the hope of success, and therefore such red flags are particularly dangerous since they are packaged as attractive opportunities rather than red flags. The finding underscores the importance of cultivating skepticism towards extraordinary profit claims as a general rule of fraud prevention.

In a similar description, Statman (2019) singles out optimism bias and affect heuristic as the primary causes of Ponzi scheme success since the two biases cause the emotional appeal of high returns to override rational risk assessment. This failure of rationality highlights the importance of internal psychological motivators as being stronger than external red flags in high-stakes financial environments. Moreover, Bianchi (2023) found that higher education levels do not offer a strong defense against falling prey to Ponzi schemes since the cognitive biases and social influences that cause individuals to become participants are not dependent on any formal educational degree, particularly when the participants switch to intuition-based rather than evidence-based decision-making.

In the same vein, Rauf et al. (2025) confirmed that educational and professional qualifications offer moderate protection against Ponzi scheme victimization when social trust relationships and emotional biases are actively employed by fraudsters as even highly competent individuals tend to rely on heuristic reasoning and social evidence, rather than subjecting investment opportunities to analytical evaluation. Lusardi and Streeter (2023) demonstrated that financial education alone is not an adequate protection against Ponzi scheme victimization, and behavioral financial education, specifically addressing fraud warnings and bias awareness, is required.

Moreover, Bongini et al. (2025) emphasize that fraudsters are tactical in exploiting professional networks by building trust on the premise of the similarity of institutional affiliations, credibility endorsements, and professional social capital, which effectively neutralizes the vigilance that would otherwise be provided by professional experience. This reinforces the lesson that skepticism about easy-money myths must be accompanied by the long-term commitment to evidence-based skepticism that is not based on social trust and professional status.

Prioritizing Rigorous Verification. When investors extend past superficial literacy to verify the registration of the investment product and the professional, the risk of investment fraud is reduced significantly (Kiefer et al., 2017). The Skepticism Framework that forensic accountants must work with is a potent tool that can be used to identify the red flags such as unregistered securities or unlicensed sellers as developed by Boyle et al. (2015). Transparency or lack of it is the primary determinant of the time span of the operation of a scheme.

Xiao et al. (2022) concluded that low financial literacy, particularly the inability to identify fraudulent features such as unsustainable promised returns and the artificiality of investment records, is a major contributor to susceptibility to Ponzi and similar investment frauds. Chariri et al. (2018) also reported similar findings, stating that personal attributes and financial literacy are of utmost importance in detecting investment fraud, and verification behaviors are a significant protective factor.

Additional surveillance is required to lift the veil of legal appearance of financial crime (Albrecht et al., 2017). Baucus and Mitteness (2016) also state that the regulatory frameworks must be especially attentive to the business formation procedures because fraudsters intentionally structure their activity to appear legitimate. A combination of regulatory control, financial literacy training, and improved due diligence would provide more protection against the sophisticated deception schemes.

Investing Within Secure Limits. Financial exposure is a type of investment that can pose a risk to financial stability in the case of investing in a Ponzi scheme (Homer et al., 2023). The study by DeLiema et al. (2020) revealed that Ponzi schemes have a considerable psychological impact on victims, leading to a significant shift in the risk tolerance of such individuals, which leads to skepticism and distress in the long term. This shift of attitude highlights the riskiness of all-in investments that are hedged with one of the most significant safeguards against the trauma of losing all their capital in the long-term.

Similarly, Brenner et al. (2020) demonstrated that the perceived early payoff may reduce risk aversion and reinvestment addictiveness that ultimately results in increased losses in case of scheme failure. The experience of the survivors underscores the necessity to keep a strict separation between core capital and any kind of speculative investment and the importance of risk management policies that minimize exposure regardless of any apparent initial success. Hidajat et al. (2021) found that the financial consequences of the presence of fraudulent schemes reduce the overall financial welfare and trust, compelling victims to redistribute the limited resources.

In a preventive perspective, Bosley and Knorr (2018) suggested that the state and federal regulators should invest in preventive education and take the initiative to educate investors on what is safe to do when investing. Following this, Galasintu et al. (2018) claims that consumers should also be responsible to protect themselves by being more aware of the business fraud and educating themselves to be more attentive to their own financial resources. Baker and Puttonen (2017) also mention that it is important to spread awareness about warning signs of investment fraud among the general population, such as high returns at very low risk, time-sensitive offers, pressure to invest, and overly consistent returns.

Questioning Rapid Returns. Early returns may be reallocated capital strategically rather than real profit (Frankel, 2012), a psychological trick to disarm the natural scepticism of a victim. By such early returns, the fraudsters in effect justify the scheme in the mind of the investor thereby making easy exploitation of finances. Alkadhim and Aboud (2025) asserted that compliance with systematic

skepticism to promise of high returns and due diligence are the most significant protective measures against modern financial fraud, and that the initial payment in a fraudulent scheme is strategically positioned to overcome victim skepticism.

Stajano and Wilson (2011) have concluded that promises of unlikely or guaranteed returns are not only a feature of investment fraud, but also a psychological trap that exploits victim optimism. Statman (2019) also includes that the affect heuristic and optimism bias contribute to the emotional appeal of high returns dominating over rational risk assessment. These mental activities explain why questioning rapid returns should be a habituated critical response rather than a circumstantial assessment.

Cuadra et al. (2025) study discovered that a complicated interplay of social support of trusted peers, positive cognitive framing and low awareness of regulatory safeguards all converge to inhibit otherwise operative natural skepticism about unrealistic promises of returns. Finance Strategist (2023), i.e., the article that documents the sheer destruction of finances that is typically brought about by the participation in the high-yield fraud schemes, supported these findings.

Addressing Systemic Gaps. According to Homer, Jalain, and Hoover (2023), victim experiences in investment schemes can be considered one of the most important indicators of systemic constraints in fraud prevention. Specifically, they highlight the necessity to enhance the level of public awareness and access to reliable financial information. Such insights highlight the significance of institutional support in protecting individuals against fraudulent activities. The UNODC (2025) also highlights the necessity of a joint initiative of academia,

industry, and government to deliver credible financial data and create strong structural safeguards.

To be able to make the prevention more successful, Reurink (2016) suggests that financial fraud must be viewed as a social phenomenon, but not a circumstantial problem. Fraud detection mechanisms should be presented to investors, due diligence professionals, regulators and policymakers (Drew & Drew, 2010). According to Guiamsay and Rabago (2025), financial education is a highly important strong defense against investment frauds and pyramid schemes because it equips individuals with the essential knowledge that can protect their financial resources. Amoah (2018) states that due to the complexity of Ponzi schemes, which are not always well comprehended, regulators must increase their efforts in terms of investor education.

The same sentiments were expressed by Hakim et al. (2025) who uses case studies of victims of fraudulent investment schemes to argue that legal frameworks need to be reinforced to protect such victims. Parveen (2025) even proposed that white-collar crime investigations should include forensic science and psychology to reveal the behavioral and psychological portrait of the individuals who commit fraud and to improve victim redress. Omar et al. (2016) found out that Ponzi schemes are on the rise over the years and unless something is done, this problem will only keep on rising with adverse consequences to investors, creditors and the general population.

Upholding Ethical Standards. The recent scholarly research (MDPI, 2025) indicates that the revival of the corporate governance problems and the

confirmation of the ethical claims is also helping to close the so-called trust gap left by the financial fraud on a large scale. By focusing more on verifiable ethics instead of reputation, organizations can begin to restore investor confidence that has been lost as a result of fraudulent activities. Furthermore, Passas and Garefalakis (2025) also demonstrated that the perception of fraud and ESG-washing has a significant negative impact on investment trust, which can be regained over time when organizations undertake verifiable and substantive ethical activities and not just claims, which means that transparency-oriented governance is one of the primary mechanisms to restore trust in mistrusted financial settings. Passas and Garefalakis (2025) point out this by stating that it is important to incorporate ethical principles into the daily financial operations.

Financial fraud victims who unintentionally engage others in such schemes tend to experience deep moral turmoil (Egiyi & Chindengwike, 2023). This conflict, which is formed by the opposition of their original intention to get money and their moral obligation to the recruited people, leads to the long-term psychological shock and the feeling of social alienation. This ethical dilemma justifies the claim that moral sensitivity and technical financial data should be used to make personal financial decisions.

Uroko (2025) warned against greed as the primary cause of the engagement in Ponzi schemes using biblical wit because the love of easy money is one of the root causes of poor financial judgment across cultures and generations. The experimental findings provided by Huber et al. (2025) suggest that even highly developed economic actors are prone to making suboptimal

choices when institutional checks are not in place, which underscores the degree to which ingrained attitudes towards financial profitability may persist despite the experience in the field. The encouragement of ethical standards, therefore, does not merely turn into a moral wish, but a viable and evidence-based safeguard against financial fraud.

Theories Related to the Study

This research was established within the Fraud Triangle Theory of Cressey (1953). This is a criminological theory of financial fraud by Donald Cressey, which describes it as a pressure, opportunity, and reasoning. Ponzi schemes capitalize on these aspects by providing low-risk, high-return investments to vulnerable individuals. According to the Rational Choice Theory by Becker (1968), individuals consider costs and rewards in decision-making. Kahneman and Tversky (1979) in their book Behavioral Finance Theory shed light on investing biases.

Structural analysis based on the Fraud Triangle Theory by Cressey (1953) reveals that pressure, rationalization, and opportunity are the main drivers of workplace fraud (Owusu et al., 2022). Fraud needs pressure, opportunity and rationale. Studies also indicate that theoretical frameworks must reduce or eradicate these aspects of the triangle of fraud (Isahak et al., 2023). According to Lau (2023), these three criteria are linked to professional fraud among working people. The 35 leverage and liquidity ratios are used to identify fraud, whereas the return on net equity, audit size, and the percentage of independent directors are detrimental to it (Rahman and Jie, 2024). Fraud likelihood may not be predicted by pressure and opportunity, whereas false financial reporting is influenced by

reasoning (Aripin et al., 2022). In addition to adding to the body of literature on corporate fraud, the findings assist financial information users to detect fraudulent reporting. Rahmawati and Pramesty (2024) found that financial stability in Indonesia enhances fraud prevention, whereas the triangle of fraud is associated with financial crimes in Somalia. Gichuhi and Ngahu (2024) apply the Theory of Rational Choice Behavior to demonstrate that companies are active in detecting and ranking sources of fraud. The probability of various types of fraud indicates a decent understanding of risks (Kohn, 2024). Stibbe et al. (2025) discovered that victims are assured of a higher payback on their money without realizing that they are being cheated. Engeler and Balietti (2021) applied this to learn about Ponzi Schemers and other criminals. According to Kahneman and Tversky (1979), overconfidence, herd mentality, and loss aversion were some of the factors that affected the decision of Ponzi scheme investors. In Ghani et al. (2023), they were driven by overconfidence. This was attributed to this investor behavior.

The literature review demonstrates that Fraud Triangle Theory (Owusu et al., 2022; Isahak et al., 2023) offers a framework to analyze Ponzi schemes in Region XII, whereas financial indicators research (Rahman and Jie, 2024) offers measurable variables to analyze regional vulnerability patterns. It assists the perpetrators and victims to equalize the risks and benefits in SOCSKSARGEN Region according to the Rational Choice Theory (Gichuhi and Ngahu, 2024; Stibble et al., 2025). In parallel, the Behavioral Finance Theory triggers the biases of the cognitive components (i.e. overconfidence and herd mentality) that propagate schemes in the social dynamics of Region XII that encompasses

community wide. These theoretical methods were combined to analyze the regional features that underpin the Ponzi schemes to further fill in the gaps in vulnerable industries.

Organization of the Study

To ensure clarity, coherence, and a systematic presentation of findings, this study was organized into nine chapters. The structure follows a logical progression that guides the reader from the study's conceptual foundations through the methodological processes, individual case narratives, cross-case analysis, and concluding interpretations. Each chapter was designed to contribute to a deeper understanding of Ponzi scheme victimization within the SOCSKSARGEN Region.

Chapter 1: Introduction. This chapter introduced the study, including the background, objectives and importance of the study of Ponzi schemes in Region XII. It provided the research questions, theoretical framework and literature review. It also discussed the delimitation and limitations, definition of terms and organization of the study to give the reader a clear picture of the study's structure.

Chapter 2: Methodology. This chapter explained the qualitative case study design of the study. It provided background to the research site, selection of participants and processes of data collection. It also discussed the researcher's role in the study and the ethical considerations.

Chapter 3: Mrs. Minimart Owner. This chapter provided a case study of one participant, Case A (coded as "Mrs. Minimart Owner") who lost around PHP 1,000,000.00 to KAPA. It outlined the scheme, recruitment, and investment choices of the 39-year-old married female, BS Commerce graduate from

Midsayap, North Cotabato, who was a business owner and self-employed as a businesswoman with rental spaces and a minimart. The research also looked at the impact on her business and the mental health consequences of the loss incurred due to the involvement in the scheme.

Chapter 4: Mr. Online Seller. This chapter focused on the effects of the scam on a participant, Case B (coded as "Mr. Online Seller") who lost about PHP 500,000.00 with Rigen. It discussed how the victim (a 40-year-old single male, General Santos City resident, and BS Financial Management graduate) was influenced by his profession in making his choices and his understanding of the promised returns. The research identified the recruiting tactics and impact of the loss on his personal and business life as a single proprietor businessman who operates an online selling business.

Chapter 5: Mrs. Dealer. This chapter explored the case of one victim, Case C (coded as "Mrs. Dealer") who experienced a loss of PHP 1,000,000.00 in the Nermie Marketing scheme. It looked into how the victim's profession, a 26-year-old married woman, BS Education graduate from Kidapawan City, North Cotabato, affected her involvement and perception of the scheme. It also examined the recruitment process and the impact on her personal life and her livelihood as a self-employed entrepreneur in the dealership and re-selling of food and frozen products.

Chapter 6: Mr. MBA. This chapter examined the experience of one of the interviewees (Case D, code name "Mr. MBA") with an estimated financial loss of PHP 2,500,000.00 to ALMAMICO. This chapter explored how the victim, a 39-

year-old married male, Certified Public Accountant (CPA) and MBA graduate from Columbio, Sultan Kudarat, was solicited and his professional knowledge of the scheme's operation. The research explored his decision making as a public accountant and the effect of the loss on his various business operations including money market business and rentable rooms. Triangulation data were helpful in understanding the changes made in the running of the businesses and the efforts to recover from the loss.

Chapter 7: Mr. Accountant. This chapter discussed the profile of a participant (Case E, codenamed "Mr. Accountant") who incurred losses of about PHP 500,000.00 from the Just Been Paid scheme. It discussed the scheme's marketing as a trading opportunity to the victim, a 39-year old married male and Certified Public Accountant (CPA) from Koronadal, South Cotabato. The research explored his decision-making to become a government worker and farmer, the financial consequences of being scammed and the recovery plans in his farm. Interviews with family and friends set the community impact of the scheme in context.

Chapter 8: Cross-Case Analysis. This chapter presented an in-depth comparison of the five case studies, including similarities, differences, and distinguishing features. It discussed the findings related to the profile of the victims, types of businesses affected, the victim's decision-making process, the recruitment process of the Ponzi schemes, the scale of financial loss (from Php 500,000 to Php 2,500,000), and the recovery efforts to identify the typology of Ponzi scheme victimization in Region XII in different business settings.

Chapter 9: Discussion. The last chapter provided an overview of the findings, linking empirical evidence to the research framework. It explored implications and recommendations for regulatory agencies, financial institutions, and business owners in Region XII, and suggested intervention strategies, policy development, financial literacy programs targeted at business owners, and areas for future research.

Chapter 2

Methodology

This chapter presents the research design, locale, research instrument, data collection, analysis, and ethical considerations.

Research Design

This study was qualitative in nature; specifically, it used a multiple case study design. John W. Creswell and Cheryl N. Poth (2018) explained that qualitative research analyzes social phenomena through varied techniques (interviews, focus group, observation, content analysis, etc.) aimed at gathering data (i.e., words, images, and/or observations) in order to elicit cultural context, behavior, and/or motivations. While a multiple case study is a qualitative method enabling researchers to compare individual cases that highlight the various qualities and extremes in order to achieve depth while preserving the identity of each case (Farquhar et al., 2020). Adams et al. (2020) stated that the analysis of a multiple case study is systematic in nature, having two or more comprehensive single case reports. Consequently, this includes a rigorous analysis of multiple individual cases within a specific phenomenon and context, facilitating the investigation of the differences and similarities among the presented cases. These cases were rigorously analyzed in order to determine the following: patterns, trends, or significant findings.

Furthermore, qualitative research does not use numerical values in interpreting the results. Aspers and Corte (2019) describe that qualitative methods

exist to employ imagery, language, and symbols. As for Gerring (2017), in examining the narrative context of individuals, a comprehensive presentation of a phenomenon must be specifically offered. As highlighted by Ghani (2021), qualitative research examines the process of decision-making among Ponzi scheme investors, eliciting the behavioral factors that render susceptibility. As such, this uncovers the profound meanings and motivations that underlie the victims' decisions and the consequences of experiences that were frequently encountered among the challenges.

Hence, this research design is suitable for this study as this emphasizes the exploration of the personal encounters and viewpoints of the victims. Also, this provides a comprehensive standpoint on the intricate social phenomena, examining individual experiences and perceptions in particular. Moreover, this provides useful information that is important in understanding how people react and interact with one another, which elicits insights into the Ponzi scheme experiences of victims across the SOCSKSARGEN Region. Importantly, this sheds light on the loss of property among victims who became involved in these illegal activities.

Further, a multiple case study is appropriate in this research as this facilitates the investigation of multiple cases of Ponzi schemes within diverse contexts in the stated region. Moreover, this analyzes how individuals from different backgrounds react and respond to fraudulent events in relation to current theories of fraud victimization, whether corroborated or contested. Generally, the use of a multiple case study design allows researchers to cross-check the given

set of data from different sources (e.g., interviews, documents, and observations), which makes it more reliable and valid. Overall, this study utilized a multiple case study method in order to document the encounters of individuals who were involved in Ponzi schemes while summarizing the overarching insights across the different cases presented, thereby providing practical value to business owners, policymakers, and financial regulators.

Also, this examines the commonly used tricks of scammers that contribute to the mental factors that greatly affect vulnerable individuals. Additionally, the gathered results could be used as a tool in preventing fraudulent activities by making people more aware of fake investment schemes and helping protect future victims.

Research Participants

The study was conducted in the SOCSKSARGEN Region (XII), which is composed of the following provinces: South Cotabato, Cotabato, Sultan Kudarat, Sarangani, and General Santos. This region is one of the major areas in terms of land area in the country. It was chosen due to the numerous cases involving Ponzi scheme victims before and after the outbreak of COVID-19, with a large number of documented cases. Notably, General Santos City has recorded a large number of investment programs.

In investigating the experiences of the victims, the study utilized purposive sampling to achieve maximum variation. This is also known as selective or judgmental sampling, which includes the careful selection of participants based on their background (experiences, traits, etc.) in relation to the aim of the research

(Emmel, 2013). Demographics, financial impact levels, scheme types, and rehabilitation paths were used as criteria for maximum variation in selecting the victims. As for Nyimbili and Nyimbili (2024), the purpose of selecting the participants is due to their direct experience and hands-on involvement; in this case, they are Ponzi scheme victims from diverse backgrounds and outcomes. Further, in the selection of the participants, the following were the criteria: victim of a Ponzi scheme; with a business professional background; with direct experience with the Ponzi scheme; willingness to participate; and a resident of the SOCSKSARGEN Region. As such, snowball sampling was initially used to identify participants, which subsequently led to the nomination of additional victims who met the study criteria. This approach minimized bias in the selection of participants, as the researcher did not have prior knowledge of the identities of the victims, thereby allowing the recruitment of hard-to-reach individuals. Hence, those individuals who did not meet the minimum requirements were excluded from the study.

Case Unit A. Mrs. Minimart Owner is a 39-year-old married woman, a BS Commerce graduate and a self-employed entrepreneur who owns various spaces for rent and a minimart. Her estimated loss was PHP 1,000,000.00. This individual resides in Midsayap, North Cotabato. To triangulate information, her cousin and a close friend were also interviewed to confirm and supplement the data.

Case Unit B. Online Seller is a 40-year-old single male with a degree in BS Financial Management. He is a self-employed businessman selling goods online and was scammed by the Rigen Ponzi scheme. The victim in this case incurred an

estimated loss of PHP 500,000.00 and is from General Santos City, South Cotabato. Two of his family members were also interviewed to provide additional information.

Case Unit C. Mrs. Dealer is a married, 26 year-old female, a BS Education graduate and an entrepreneur in the food and frozen products business who became a victim of the Nermie Marketing scheme. The victim in this category lost PHP 1,000,000.00 and resides in Kidapawan City, North Cotabato. Her brother and store helper were also interviewed to triangulate the data and provide a more comprehensive perspective.

Case Unit D. Mr. MBA is a married 39-year-old male, a Certified Public Accountant (CPA) and MBA holder, whose public accounting practice and entrepreneurial ventures in money markets and rentable properties were impacted by the ALMAMICO scheme. The case unit is situated in Columbio, Sultan Kudarat and has an estimated loss of PHP 2,500,000.00. Similar to the other case units, data triangulation was done through interviews with a family member and a close friend.

Case Unit E. Mr. CPA is a 39-year-old married male, a Certified Public Accountant (CPA), and a government employee with a farm business, whose financial status was impacted by the Just Been Paid scheme. The participant, who resides in Koronadal, South Cotabato, lost an estimated PHP 500,000.00. Interviews were also conducted with his sister and farm manager to triangulate the data and enhance the validity of the study.

To wit, these five cases, together with supplementary interviews from family members and close acquaintances, were included to provide rich and nuanced data on the impact and characteristics of Ponzi schemes on the victims during triangulation.

Data Collection

In conducting the study, I, as the researcher, followed certain steps or procedures by aligning with the ethical guidelines of the institution. First, I formally endorsed a letter from the Dean of the Graduate School requesting permission to proceed with the ethics review. Once approval was granted, I submitted the requirements for ethics review to the UIC-Research Ethics Committee (UIC-REC) for a thorough analysis of the ethical standards. After which, when an Ethical Clearance was released, I sought a letter of approval to conduct the study from the Dean of the Graduate School.

However, before the conduct of the study, I carried out a full informed consent process with the identified participants. This commenced with a thorough discussion of the purpose and goal of the research study, making sure that the participants were able to understand the voluntary nature of their participation and the confidentiality clause. After the discussion, I distributed the Informed Consent Form (ICF), which was written in multiple languages (English, Tagalog, and local languages) to ensure participants' understanding of what was expected of them. Once the signatures were obtained, only then did the interview proceed with the use of audio-visual recorders.

Further, due to the broader scope of the study, a research assistant was hired in order to assist during the procedure. The research assistant was my former college professor, who has pivotal experience in thesis advisership and had previously worked as a peer facilitator during her undergraduate years. With her expertise, she provided empathetic support, which is important during debriefing sessions, wherein it is a critical stage in dealing with emotional reactions. I also hired a licensed psychologist in order to ensure the participants' psychological safety. The psychologist was available anytime during the conduct of data gathering in order to provide professional assistance and psychological care when needed.

During the interview process, participants might feel uneasy with the questions given; to address this, I informed the participants that they could skip those uncomfortable questions. The participants' well-being was the utmost important consideration in the conduct of the study, and they had the right to continue or withdraw from the study at any time if they felt that they could not handle the uncomfortable questions, which I respectfully accepted.

Moreover, I strictly followed the Data Privacy Act of 2012, also known as Republic Act 10173. I was determined to protect the rights of the participants regarding their information. Anonymity was central, as the participants' information and responses were treated with utmost respect, and their identities were strictly kept confidential using pseudonyms. As such, all of this information remained confidential and was not shared with anyone not involved in the study.

Digital data were securely encrypted, and the names of the participants were converted into codes known only to the researcher. After five years, all these stored files will be permanently erased, and physical documents will be shredded and burned. Whenever the findings are published or presented, no identifiable data will be included. Conversely, member checking ensured the correctness and privacy of the given set of data. Before the commencement of the data analysis, participants received a physical copy of their interview transcripts, enabling them to evaluate the veracity of the content and raise concerns about confidentiality or potential material that needed to be removed.

More so, the interviews were conducted privately based on the participants' chosen venues (their homes and/or neutral locations) where they felt safe and secure. The sessions lasted from January to March 2026, with each session lasting approximately 60–90 minutes and scheduled at the participants' most convenient time. Interviews were digitally recorded using encrypted recorders, and field notes were also utilized in order to document non-verbal behavior and to contextualize the data.

Overall, once the data gathering was complete, I organized the data through transcription, ensuring that all responses were detailed and complete before I forwarded them for secondary validation and analysis using suitable tools.

Data Analysis

In the analysis of the gathered data, I, as the researcher, solely collected and organized the interviews, conducted observational recordings, and reviewed other textual references in order to attain an in-depth understanding of the

business professional victims of Ponzi schemes in relation to their experiences, motivations, and mindset. With this, I followed a systematic analysis procedure such as transcribing and theme extraction, which involved categorization, coding, and cross-case analysis based on the set of data in order to address the research questions and unveil the commonalities and unique aspects in each presented case by means of gaining the victims' encounters.

The next phase was establishing themes for coherence within the coded extracts of the given nuanced responses, where I ensured that each theme was adequately captured. In support of this, I also selected and utilized nuanced responses from the transcribed data of the participants' interviews that aligned with the research questions in order to maintain the coherence of the themes.

In the cross-case analysis phase of the study, I clustered the results according to each participant's case and investigated each theme across the presented cases to identify commonalities and differences in patterns occurring in each experience. In mapping out the thematic patterns, I developed various matrices across the participants through the recognition of several key factors that drive each victim's experiences across the multiple cases.

I also summarized the key findings of the study by explicitly answering the research questions in relation to the victims' encounters with Ponzi schemes. This process provided deeper insights into the psychological and behavioral viewpoints of the business professionals regarding Ponzi schemes.

Further, thematic analysis was applied once the transcription of data was completed. This process is rigorous in determining, evaluating, and presenting

qualitative data patterns through a recurring structure of existing themes across the presented cases (Braun & Clarke, 2006). Consequently, coding was pivotal throughout the process in accordance with Patton (2002), as this involves organizing raw data into more manageable segments through a careful labeling process using descriptive codes.

Within this study, themes emerged naturally based on the accounts of the participants through inductive coding (i.e., unique encounters, beliefs, and motivations). In addition, deductive coding (e.g., optimism of victims in pre-investment, emotional triggers, and reflections after the scheme) was used in alignment with the research questions to frame specific concepts. Moreover, I excluded repetitive responses that were redundant to ensure that the preservation of ideas remained central.

In general, I utilized cross-case analysis in order to differentiate the similarities and differences across all presented cases that the study examined. Yin (2018) described that cross-case analysis is important in determining recurring patterns and identifying authentic behaviors in each presented case. With this approach, I was able to perform a rigorous evaluation and answer the research questions for this study.

Trustworthiness of the Study

All throughout the process of this research, I was committed to ensuring the trustworthiness of the study by means of utilizing careful strategies in relation to the findings of the study (accuracy, consistency, neutrality, etc.). In order to achieve adherence to the criteria of trustworthiness (credibility, transferability,

dependability, and confirmability), I aligned this study with Nowell et al. (2017) and Connelly (2016), who described these aspects as pivotal in qualitative research design. The importance of these criteria ensures the strength and reliability of a qualitative study.

Credibility. To build credibility in this study, I underwent a lengthy data collection process by spending a considerable amount of time with the participants, a process which helped establish personal connections and allowed deeper exploration of their experiences without causing them as much discomfort as possible. Such continued involvement, as outlined by Dado and Meikah (2023) and Solano (2020), emphasized that sustained engagement requires sufficient time in the research setting to understand the culture, establish trust, and address misunderstandings, thereby making interpretations more accurate as they are grounded in real lived experiences.

In addition, I used triangulation, or multiple sources of data or techniques (such as interviews, observations, and document review), to provide a complete picture of the phenomenon and ensure the validation and consistency of the results. To further enhance rigor, the method of member checking and sharing of interpreted data was employed to ensure that the analyses were accurate and reflected the views of the participants, which Slettebjo (2021) and Kullman and Chudyk (2025) also advocate as necessary in minimizing bias and enhancing consistency in qualitative findings. Collectively, these approaches affirm that the methodologies employed in this study align with accepted academic standards in ensuring trustworthiness.

Transferability. To establish transferability in the context of the study, I provided an elaborate description of the participants' qualifications and the research location so that readers can situate themselves within the setting of the study and assess how the results may be applied in their own environments. I provided a thick description, or a detailed account of experiences and social situations that enables outsiders to understand the meaning of findings, which Younas et al. (2023) and Smith (2018) suggest enhances the applicability of findings in similar contexts.

This includes contextual information such as the background of the participants, organizational culture, and specific situations. It captures the essence of transferability, which refers to the extent to which qualitative research findings may be applied to other contexts or groups. Thus, while this study provides comprehensive contextual information, the final judgment regarding applicability is left to the reader. Therefore, the extensive contextualization of this study is consistent with existing views that emphasize transparency in research settings to enhance practical implications.

Dependability. To guarantee the dependability of this research, I maintained an open and accurate record of the research process by keeping clear documentation of decisions made, data processing procedures, and evaluation processes, including an audit trail. This audit trail provides a clear account of the research steps undertaken from the beginning of the study to the reporting of findings.

This comprehensive documentation is aligned with the standards outlined by Carcary (2020) and Bingham (2023), who emphasized that traceability is essential for evaluating research rigor and ensuring replicability in similar contexts, as also noted by Richards and Hemphill (2017). Moreover, I engaged in peer debriefing, which involves consulting with impartial peers to critically examine aspects of the inquiry that may otherwise remain implicit.

This study complies with the standards highlighted by Hamilton (2019) regarding the importance of external review by engaging in consultations with colleagues and mentors to refine interpretations and reduce potential bias. Collectively, these practices ensure that the findings are consistent and aligned with qualitative research standards.

Confirmability. To promote confirmability in this study, I was keen to distinguish between my personal biases and the actual experiences of the participants by maintaining a detailed audit trail of all decisions made from data collection to data interpretation. Korstjens and Moser (2018) and Carcary (2020) emphasized that such documentation ensures that findings are grounded in participant data rather than researcher bias.

I also employed reflexivity, which involves continuous self-reflection in which the researcher recognizes and examines potential biases and their influence on the research process. This was achieved through maintaining a journal to critically analyze my assumptions and preconceptions. This commitment to objectivity, defined as ensuring that research findings are based solely on

participant data and perspectives, is consistent with the views of Orange (2016), Dado et al. (2023), and Saime et al. (2025).

Through systematic documentation and ongoing reflection, I ensured that the conclusions of this study were grounded in the lived experiences of the participants, thereby strengthening the validity and objectivity of the qualitative research process.

Role of the Researcher

I, as the researcher was the central instrument in gathering the data and evaluation for the study. I have equipped myself with sufficient knowledge about the victims of Ponzi schemes in the context of business professionals. Within this process, I was aware that I need to thoroughly plan out the study elements (i.e. research design, strategic selection of cases, and rigorous data gathering procedure) through in-depth interview and analysis of documents. I was also responsible in the interpretation of the results of the study with reflexiveness and sensitivity in recognition of my role as the researcher and interpreter of the study based on the lived experiences of the participants. I made sure that the data procedures remained objective and apprehensible by means of maintaining the highest level of methodological rigor while still abiding to the ethical standards (e.g. confidentiality, informed consent, respect for autonomy, etc.). I was governed by the belief of non-maleficence for the participants would not be uncomfortable due to their previous encounter that may be brought during the process. Additionally, member checking was utilized through going back to the participants by means of presenting the data to them and allow their confirmation and verification to build

credibility and trustworthiness of the data while being fair toward the equal representation of the participants' nuanced responses.

Ethical Considerations

As the researcher, I was committed to upholding the highest standards of ethics and integrity throughout the process of this study. I also made sure that the welfare and protection of the participants were prioritized and that the protocols in research were rigorously reviewed and formally approved by the University of the Immaculate Conception Research Ethics Committee (UIC-REC), together with Protocol Code GS-ER-01-26-0464. Moreover, I also strictly adhered to the guidelines set by the committee in maintaining the rights of every participant.

Furthermore, this study was strengthened by my qualifications, along with the nature of collaboration in adherence to the process of academic writing. As a candidate for this doctorate degree, I was guided by the keen supervision of the following: research adviser, panel members, and faculty experts of the institution. The collaboration ensured that the study maintained rigor in terms of its methods and the soundness of ethical standards at every stage.

Moreover, as the researcher, I had access to every institutional resource considered essential (UIC library databases, university facilities, etc.). As such, all of the resources provided by the university supported the completion of this scholarly work and contributed meaningful insights to the field of business management.

Chapter 3

Case A – Mrs. Minimart Owner

Case A is a 39-year-old married female. She graduated with a degree in Bachelor of Science in Commerce. A self-employed businesswoman who operated a rentable space and a minimart in Midsayap, North Cotabato. She joined one of the Ponzi Investment Schemes, incurring an estimated financial loss of ₱1,000,000.00. Her sister and a cousin shared information about the scheme with her, acting as trusted sources within her immediate social circle.

Experiences of Case A Before, During, and After Involvement in a Ponzi Investment Scheme

Case A presented herself as a highly driven entrepreneur engaged in the independent establishment and management of multiple business ventures. Her account reflected sustained persistence, resourcefulness, and active participation in maintaining her livelihood through diversified income streams, including a rentable space business, wholesale soft drink distribution, and a small mini mart.

Throughout her narrative, she consistently demonstrated a strong sense of ownership and accountability in her business operations. She described herself as someone who takes initiative and exercises direct control over decision-making processes, indicating confidence in managing financial risks and pursuing opportunities that contribute to business continuity and long-term stability.

Her entrepreneurial orientation further shaped her evaluation of external investment opportunities. Having developed her businesses through personal

effort and independent judgment, she expressed a heightened sense of competence in identifying potentially profitable ventures.

Reflecting on her journey, she shared:

> *Ang akong Negosyo[…] naa koy gamay ng pa-rentahan mga* wholesale *nga mga* softdrinks*, sabay sa mga murag* mini mart *pud nga gamay […] kay ako man pud jud ang gusto nga mag negosyo negosyo ako jud nang mga* decision *tanan.* (PO1_Q1.1)
>
> I run my own business ventures. I manage a small rental space and a wholesale soft drinks store. I also operate a small mini-mart. These are all my personal projects. I make every decision for my businesses. I value my independence as an entrepreneur.

In her engagement in the investment scheme, Case A first enjoyed financial returns that were beyond her expectations, and she termed the time as rewarding and emotionally thrilling. The constant payments reinforced her that the scheme was valid and made her more confident in it.

Her spending habits and lifestyle changed as her earnings increased. She felt freer to spend on personal desires and daily necessities rather than saving or planning. In retrospect, she realized that the short-term financial prosperity affected her actions and made her less cautious in the period.. She recounted:

> During *tong pag apil nako* ma'am *[…]* excitement *kaayu* happy *sya kay murag nausab na gyud gamay […] kaon nalang perminte sa gawas kay wala nami nag luto luto (wala na) mag tipid tipid. Makaingon ko nga niapil gyd ko sapag* recruit*,* ma'am*, kay usa man pud ko sa mga* agent agent *pud.* (P01_Q1.5)
>
> When I joined, I felt a lot of excitement because my life started to change for the better. I found myself eating out more often and I stopped worrying about cooking or saving every cent. I also became active in finding new members because I took on a role as one of the agents.

In line with this, the participant expressed her views on the persistence and attractiveness of Ponzi schemes, even among those involved in business. She stressed that these schemes will always exist since there will always be people who succumb to financial temptation, and those who exploit this weakness. She categorically stated that:

> *Ang* Ponzi scheme *dili na mawala kay naa man gyud gihapon mga tao nga mabuta sa kwarta. Hangtod naay tao nga pwedeng ilaron, hangtod naay tao nga mangilad, magpadayon gyud na. Duha ra man na ka side: ang mang-ilad ug ang magpa-ilad.* (P01_Q1.8)
>
> The Ponzi scheme will never disappear because people remain blinded by money. As long as there are those willing to deceive and others who can be deceived, it will continue. It really comes down to two sides: the one who scams and the one who lets themselves be scammed.

Challenges Encountered by Case A Before, During, and After Involvement in a Ponzi Investment Scheme

The collapse of the scheme and its subsequent closure by the government caused significant emotional and psychological distress for Case A. She described experiencing intense stress and anxiety, particularly after realizing that her principal business capital had been completely lost. The situation also brought about feelings of fear and insecurity, which led her to withdraw from public spaces for safety reasons amid the uncertainty following the scheme's downfall. She lamented that:

> *Na*-stress *ko, na*-depress*. […] Na*-stress *gyud ko pag-ayo kay apil akong puhunan nagamit nako. […] Halos kada gabii ko maghilak […] nahadlok pud mi sa among kaugalingon kay uso baya tong patay patay.* (P01_Q1.7)

> I felt a lot of stress and fell into a deep depression. I was very overwhelmed because I used up my capital for the business. I cried almost every night. I was also afraid for my safety because of the reports of violence and killings at that time.

Through her experience, she realized that:

> *Ang akong na*-realize *kay ang kwarta kailangan gyud tagaan og* value*, […] Kailangan gyud nimo og sakripisyo para mudako ang imong negosyo. […] wala'y* easy money*.* (P01_Q2.1)
>
> I realized that money must be valued. Growing a business requires real sacrifice and hard work. Indeed, there is no such thing as easy money.

Lessons Learned by Case A from Her Experiences with Ponzi Investment Schemes

As the participant contemplated the consequences of her participation, her story slowly shifted to the description of the scheme structure to a more down-to-earth interpretation of financial discipline and stewardship. She stressed the need to be cautious and deliberate in money management, and that money should be accumulated through consistent and lawful businesses as opposed to the lure of easy money. She emphasized the importance of focusing on own business as a more sustainable means of realizing growth. She shared the following realization:

> *Dapat mag-amping gyud sa kwarta. I*-invest *siya og tarong ug padakuon siya sa saktong paagi. Kung naa kay negosyo, ibutang nimo sa imong negosyo. Dili lang kay basta-basta mu-apil og* investment *tungod lang kay paspas mudako ang kwarta.* (P01_Q2.2)
>
> We must be very careful with our money. It should be invested properly and grown through the right venture. If you have a business, put your resources there, instead. Do not just join just because of enticing growth.

According to triangulated reports, the sister of the participant also affirmed that she was heavily engaged in various investment plans. The sister remembered that a powerful feeling of optimism regarding the growth of her business, coupled with the prevalent community narratives of fast financial gains, strongly influenced her investment choices.

> *Nadunggan niya sa ilahang lugar sa ilahang mga silingan nga lagi dako ang mu tubo sa imong kwarta. […] nagpabuta-bungol na lang gyud siya ma'am tungod kay gusto niya nga ma-kuan pod ilahang* business*, nga wala siya nawad-an og paglaom ba nga mu-*boom *pod kani nga negosyo.*(P01_I01_Q1)
>
> She heard from her neighbors that money could grow quickly there. Even with the risks, she chose to ignore the warnings because she wanted her business to succeed. She did not want to lose hope that her venture could finally thrive.

Her cousin also narrated what was done after the investment failed. The participant, according to the cousin, tried to find legal redress but with little success:

> *Akoang nahibalaan ani* ma'am*, niadto ni siya og* attorney *sa PAO ba. Gipakita tong mga resibo og gi-lista tanan ang pangalan. Pero wala may nahitabo. Ingon ana pod lang pod.*(P01_I02_Q1)
>
> She sought the help of a lawyer at the public attorney's office. She presented her receipts and provided a full list of the names involved. However, no legal action was filed. The situation remained unchanged despite her efforts.

Together, the triangulated narratives show a heart-rending turn, the first wave of hope and belief in what seemed to be a good financial prospect to a profound and enduring disappointment. This shift was characterized by significant financial loss, deep emotional pain, and a frustrating absence of meaningful institutional support or resolution.

Chapter 4

Case B – Mr. Online Seller

Case B is a 40-year-old man, married, and has a Bachelor of Science in Commerce with a major in Financial Management. He is a businessman who sells gaming accessories online and is self-employed. He is now living in General Santos City. He is said to have lost around ₱500,000.00 as a result of his participation in a Ponzi Investment Scheme, which can negatively impact his business sustainability and personal financial stability.

Experiences of Case B Before, During, and After Involvement in a Ponzi Investment Scheme

Before engaging in Ponzi investment schemes, Case B had an online business that had grown beyond his local area to other markets like Manila. His description indicates that he is very independent in running his business, especially when it comes to making financial decisions and the general direction. He stressed that he was in charge of capital allocation and investment decisions and placed himself as the main decision-maker in his business.

He described his experience as follows:

> Online business*. So nahimo siya nga dako na* business *kay nakaabot naman og* Manila *ang mga* buyer […] *Ako na ang nagadesisyon unsa amoang sudlan […]* then totally *ako ang nagadesisyon.* (P02_Q1.1)
>
> I run an online business. It grew in scope with buyers reaching as far as Manila. I am the sole decision-maker for all our ventures. I take full responsibility for every direction the business takes.

This description indicates that he had gained confidence in his financial decision-making skills before his engagement, which could have affected his initial evaluation of investment opportunities.

Regarding motivation, Case B explained that he did not want to get very rich but just to make more money. He took the investment as a means of multiplying his money, but he later realized that it was risky by likening it to gambling. He stated:

> Not totally *man mo-himo dyud nga milyonaryo ka pag ayo.* At least *man lang makaginansiya ... kay nahulog man dyud sa sugal. Mao ra. Makatubo ang kwarta.* (P02_Q1.4)
>
> I did not expect to become a millionaire. I only hoped to make a profit. In the end, it was much like gambling. I just wanted my money to grow.

This is an indication of a pragmatic but risk-taking attitude, in which the need to make money was there and the knowledge that the result was unknown.

Case B observed that his attitude changed during the time he was involved in the scheme, especially when he started getting returns. He said that he felt more confident and felt that he was financially better off, particularly when more people around him got involved. This gave a feeling of belonging to a group that is linked to financial success. He shared:

> *Hambugero kaayo. Kwartahan na kaayo. Kay halos gud kamo tanan apil na ta sa "*belong*" na ta sa* community *nga apil nato.* (P02_Q1.5)
>
> I felt very boastful and wealthy. Since many people were involved, it created a sense of belonging to that community.

This implies that the initial success, coupled with social reinforcement, had an impact on his self-perception at that time.

In response to the question of whether Ponzi schemes will continue to exist, Case B admitted that deception is a factor, but he also pointed out that it is up to the individual to make decisions. He explained:

> *Sa atong* system *nato mintras pwede pagkakitaan tanan buhaton sa tao.Pagpangilad tinood anay. So naa sa atoang desisyon, ug magpailad ta or dili angay kaha nga magpadala sa katagam or magpatagam napud.* (P02_Q1.8)
>
> In our society, people take any opportunity to earn money. Deception is real, but it ultimately depends on our decision whether we allow ourselves to be deceived or learn from the experience.

His reflection refers to the realization that the involvement in such schemes is not only influenced by external factors but also by personal judgment, which makes the process of making decisions in financial situations complex.

Challenges Encountered by Case B Before, During, and After Involvement in a Ponzi Investment Scheme

The issue that Case B raised was when the payout schedule started to change. The initial one-week payment promised was postponed, and it was later stretched to two weeks. There were rumors of a potential closure of the scheme by the government during this time. These changes were an indication of instability in the operation and led to its ultimate closure. He recalled:

> *Dugay na mi makakuha sa atong ginaingon nila nga* one-week payout*.* So instead *nga* one week*, na-himo naman og* two weeks*. […] Kanang mga hungihong* about *nga ipaundang to tungod kay naay kuan nga* government *ato, […]* So it's more

> on *katong gipa-undang dyud totally[…] tapos na.* (P02_Q1.6)
>
> We had to wait a long time for the promised one-week payout. Eventually, the one-week wait turned into two weeks. There were rumors that the government would shut the operation down. When they finally stopped it, everything was lost.

Although Case B had a financial loss, he said that the situation did not have a major impact on him emotionally. He explained his reaction as being rather neutral, which he attributed to his previous knowledge of the investment as a risk. He stated:

> Emotionless*. Kay* at first*, kabalo naman ta nga sugal to.* Although *naay panghinayang nga kuan nakuan jud ta, pero wala...* at least *kadawat ko nga sugal gihapon. Naapektuhan sa* financial status*, pero* emotionally, physically*, laban lang.* (P02_Q1.7)
>
> I was indifferent about the situation. From the beginning, I knew it was a gamble. While I felt some regret over the loss, I accepted that this was the nature of the game. My financial status was affected, but emotionally and physically, I chose to keep moving forward.

This description suggests that his previous anticipations about risk influenced his interpretation and reaction to the result, enabling him to accept the financial loss with minimal emotional pain.

Lessons Learned by Case B from His Experiences with Ponzi Investment Schemes

After his experience, Case B highlighted the need to be careful when making financial decisions. He looked back at how his participation made him realize the dangers of being too fast in taking action, particularly when the

opportunities seem good or are backed by people he knows. He emphasized the importance of not making hasty judgments and to scrutinize the legality of investment opportunities, no matter how persuasive or reasonable they appear at the moment. He shared:

> *Dili dyud nato I dali dali atong kaugalingon bisan pa og nga pwede nimo ma* justify *pero sa pagpangalan nga "*scheme," *mahulog gihapon siya nga* illegal*. Amping og dili dyud ta basta basta bisan pag naa ta'y mga parenti or amigo* it's more on *didto ta sa kasaligan* legal *dyud.* (P02_Q2.1)
>
> We should not make rush decisions even if we can find ways to justify them. If something is labeled as a "scheme," it ultimately remains illegal. We must be careful and not easily be swayed even if friends or relatives are involved.

This reflection demonstrates a transition to a more conscious and grounded method of assessing financial opportunities. It emphasizes a greater sense of the significance of legality, verification, and personal responsibility, especially in those cases when social trust can affect decision-making.

To further substantiate these results, triangulation was carried out by interviewing two of his family members. One of the relatives said that he chose to participate because of the financial resources available and the attractiveness of higher returns than the traditional business income. The investment seemed to be more appealing due to the comparison of the traditional earnings and the abnormally high returns provided by the scheme. He recounted:

> *Kana pud lagi* availability *pud sa kwarta,* ma'am. Since *naa pud lagi gyuy ikahatag.* Then *maski man gud gamay og* in fairness *pud ani nga mga* investment*, dako gyud kaayo kung i-*compare *gyud nimo nga inegosyo nimo nga imuha. So,*

> *dako gyud sya ug tubo kumbaga. So, didto pud mi na naano nga mo-apil.* (P02_I02_Q1)
>
> He decided to join because he had the money to spare. The returns were much higher compared to what could be earned from business, which encouraged participation.

Another relative explained his response to the loss as being comparatively unaffected, saying that he seemed to take the result as a familiar risk and not as a surprise. This observation is consistent with the fact that Case B himself describes the investment as akin to gambling.

> *Kit-an lang gyud nimong wala naguol ma'am murag wa jud nanghinayang sa iyang gihatag nga kwarta man ba. Wa'y emosyon nga kanang naingon nga murag nanglumanay siya kay nanghatag'g kwarta. Kay kabalo naman lagi daw siya nga sugal ra daw to.* (P02_I01_Q1)
>
> You could see that he was not upset. His regret for the money he lost was not apparent. He simply accepted it because he knew from the start that it was a gamble.

Combined, these narratives give a more comprehensive picture of the experience of Case B. They propose that his choice to invest was influenced by both practical factors, including the capital available and anticipated returns, and his reaction to the loss was affected by his previous view of the investment as a risky one.

Chapter 5

Case C – Mrs. Dealer

The participant, who is referred to as Mrs. Dealer (Case C), is a 26-year-old patient living in Kidapawan City. She is a married female graduate who has a degree in education. She is currently a self-employed businesswoman who sells and resells food and frozen products. She is said to have suffered an estimated financial loss of 1,000,000.00, which can have a serious effect on her business activities and financial status.

Experiences of Case C Before, During, and After Involvement in a Ponzi Investment Scheme

Case C indicated that she was in the food business, namely distribution of frozen products. She provided products to suppliers, especially those dealing with barbecue sales. According to her story, she was actively engaged in the day-to-day running of her business, which is a hands-on approach to running a business.

> *Naga*-frozen products *po. Naga*-supply *po ko sa mga nagpa-pang*-barbecue*. Mao na ako ang negosyo gyud* before*. Kay ako man gyud ang nagpadagan anang akong negosyo.* (P03_Q1.1)
>
> I was in the frozen products business. I supplied products to those who sell barbecue.

Case C entered the investment scheme with great expectations, which was mainly motivated by the aim of growing her capital. She expected the returns to enable her not only to build on her current business but also to open up possibilities of other businesses. Her reaction is an indication of a progressive thinking that is geared towards financial growth and expansion. She explained:

> *Nag*-expect *jud ko nga ang kwarta nga akong gibutang mas modako pa gyud. […] daghan ka og mahunahunaan nga kong madawat nimo ni, madugangan imong kapital, aside niana, makatukod napud kag laing negosyo nga ikapital napud nimo.* (P03_Q1.4)
>
> I expected my money to grow even more. I thought that receiving these returns would increase my capital. I also planned to use that profit to start another business.

She noticed the changes in the organization over time, especially in the leadership. These developments were coupled with anomalies in the payment of payouts, which started to cause confusion among participants. She recalled:

> *Nausab napud daw ang* CEO *unya murag ang* date *sa pag* release *nagka* adjust-adjust, *[…] daghan pa og mga kakulian daw so murag* action *na gyud mi anig kabalaka.* (P03_Q1.6)
>
> The leadership changed and the payout dates kept moving. Because of the problems and delays that appear, we began to feel worried about our investment.

In response to the question of her opinion on the further development of such schemes, Case C explained their existence by the desire of people to engage in them despite the awareness of the dangers. She stressed that faith in the concept of easy money keeps these operations alive. She stated:

> *tungod naa lang gyapon mag pabiktima,[…] dili lang gyapon sila moundang hangtod naa lang gyapoy* willing *mag pabiktima sa ilaha* willing *gyapon mag pauto-uto naa gyapon ang* easy money *hangtod motoo ka nga dali ra ang kwarta. (P03_Q1.8)*
>
> These schemes will not stop as long as people are willing to be deceived. The idea of easy money remains real only if you continue to believe that wealth is easy to gain.

This reaction indicates her awareness of the contribution of personal faith and choice to the perpetuation of such schemes, especially when it comes to anticipations of quick monetary rewards.

Challenges Encountered by Case C Before, During, and After Involvement in a Ponzi Investment Scheme

After the incident, Case C complained of having a lot of emotional distress. She reported having trouble sleeping and crying frequently, which she linked not only to the financial loss but also to the sense of responsibility she felt towards people who had entrusted their judgment to her. She stated:

> *Kadto* down *jud kaayu kay halos dili ka katulog mag sige kag hinilak adlaw gabei […] dako pud syag* impact *sa akoa kay daghan pud bayang nisalig ato nga* time. (P03_Q1.7)
>
> I could barely sleep and spent most of the time crying. This financial loss had a deep impact on me because many people had placed their trust in me at that time.

This description indicates that her reaction was not limited to financial issues and was directly related to the perceived duty to other people who were impacted by the circumstance.

Case C, in the wake of the loss, explained that she made efforts to regain her financial stability by getting back to doing legitimate business. She stressed that she would re-invest in organized and well-managed businesses as a means of restoring her financial status. She explained:

> *Pagka human ato ako jung gikuan nga mabalik nako to akong* financial stable *nga mo invest ko ug balik napud sa Negosyo nga tinarong nagyud nga ma pa* rolling *nako siya ug tarong.* (P03_Q2.1)

> After that experience, I decided to reinvest in a legitimate business. I wanted to make sure my money was managed properly this time.

This reaction indicates a change to more regulated and conscious financial behavior after the experience.

Lessons Learned by Case C from Her Experiences with Ponzi Investment Schemes

Case C highlighted the need to make decisions carefully and evaluate financial opportunities appropriately. She emphasized the importance of critically analyzing investment opportunities and not to trust the promises of quick financial growth. She stressed:

> *Sa mga desisyon kinahanglan jud diay nga […] atong huna hunaon sa maka daghan, ato jud susihon kung unsa atong gisudlan, […] dapat jud diay ang kwarta atong haguan, dili jud diay nato isalig sa mga ingon ana lang na panghitabo, na abi kay kani lagi modako pa, ato jud diay siyang ibutang sa negosyo nga matarong.* (P03_Q2.2)
>
> We must think carefully before making a decision and investigate what we are engaging in. I learned that money should be earned through hard work. We should not trust quick growth and must invest in legitimate businesses instead.

This reflection suggests an increased focus on due diligence and the importance of sustainable, effort-based financial growth.

To reinforce these results, triangulation was carried out by interviewing people who were close to the participant. Her brother explained that the scheme was packaged in a manner that seemed legitimate especially by use of products and convincing marketing techniques. He recounted:

> *Naa silay mga* product *gyud nga gina*-dispose *[…] dili gyud mabalaka kay kani* legit *gyud daw ana. So mao man gyud na ang […]Tikal-tikal sa mga mag-*market*. basta tungod man gud sa maayo pagka-*market *di kung naay mang biktima ma-ingun na pud naay mabiktima.* (P03_I01_Q1)
>
> They had actual products for sale, which made the business appear legitimate. The marketing strategies were very convincing, and these persuaded people to join the scheme.

Her expectations about the use of returns were confirmed by another relative who helped her in her store, and she had planned to increase her business activities.

> *Katong ana siya sa amo is […] mag-tukod daw siya'g lain pa nga* business *ma'am.*. (P03_I02_Q1)
>
> She told us that she intended to use the returns to start another business.

Combined, these triangulated narratives add more context to her experience, especially regarding her reasons to join and the aspects that affected her decision-making.

Chapter 6

Case D – Mr. MBA

Case D is a participant who described himself as a 39-year-old male, a Certified Public Accountant with a Master degree in Business Administration. He is a married man living in Sultan Kudarat. He is a government worker who handles money market and rentable areas in Columbio, Sultan Kudarat. He is said to have lost about 2,500,000.00.

Experiences of Case D Before, During, and After Involvement in a Ponzi Investment Scheme

Case D was involved in a personal lending business, where loans were charged a fixed monthly interest rate. This business was a regular income earner and an indication of his knowledge of financial dealings and profit making activities. His status as a head of office in a government institution also helped him to have a stable client base, which was mainly in his professional circle where repayment was made easy by deductions in his salary. He described his experience as follows:

> I am into a money market. *Pautang,* 5 to 7 percent of *pautang* fixed monthly, per term.*[…]* Mostly*, ang* circle *ko dito naman din.* Sure *naman yung* fund *kasi i*-deduct *naman.* (P04_Q1.1)

> I am in the money market specifically private lending which offered loans at a fixed 5% to 7% monthly interest rate. My primary market was within the municipal office. It was sustainable because the payments were ensured through salary deduction.

This description indicates that before his participation, he had developed financial habits that were organized and comparatively safe, which could have led to his trust in taking on more investment risks.

During his involvement in the Ponzi scheme, Case D said that he experienced a great feeling of excitement, especially after getting his first payout. The fact that he could pull out his earnings strengthened his belief in the credibility of the scheme at the time. He shared:

> *Pero pag nakatanggap ko na ng* first*, yun ang* excited *lang. […] Sabi ko na* receive *ko yung 100,000.* After 3 days*, wini-draw ko. Nakuha ko yun.* (P04_Q1.2,1.5)
>
> I was very excited when I received my first payment. After three days, I successfully withdrew the 100,000 from my account.

This reaction shows that initial financial gains contributed to his confidence in the investment.

But as events progressed, Case D started to foresee the potential failure of the scheme. He linked this expectation to rumors and more general external influences, including the time of elections. Although this was known, the real shutdown came as a surprise and the funds were lost altogether. He recounted:

> I suspected it. Because *KAPA, […] naisip ko talaga na* after election*, magkakagulo ito. Kasi nga, yun nga, may bali-balita na* after election*[…] Pero meron pala silang date na hinihintay lang, biglaan nalang. […] Kuan na lang lahat, nung wala na talaga lahat, wala ng almamico* (P04_Q1.5-1.7)
>
> I suspected the end was coming. I thought things would fall apart after the election because of the rumors. It turns out they were just waiting for a specific date to stop everything.

This description indicates that he had already begun to observe indications of instability, but the abruptness of the collapse did not give him much time to act or withdraw his remaining funds.

In considering the further growth of Ponzi schemes, Case D cited both personal conduct and the methods employed by these groups. He noted that there are those who are driven by the need to have an early edge and these schemes can also lure participants with well-thought and persuasive marketing strategies. He explained:

> *Yung ugaling ng Pinoy na isipin na mauna, bahala, mahuli yung ba. Tapos ang ganda kasi ng* marketing *nila.* […] *inuuna nila yung matataas na tao. Halimbawa yung may* businessman *na maraming na kilala para ma*-word of mouth*, mabilis na kami.* (P04_Q1.8,1.4)
>
> It is a common Filipino mindset to want to be the first and let others worry later. Their marketing strategy was very effective because they recruited well-known and influential businessmen to spread the word. This caused the news to spread quickly by word of mouth.

This reflection identifies the role of personal motivation and social influence in influencing participation, particularly when the opportunities are packaged in a manner that seems plausible and acceptable among the network of the individual.

Challenges Encountered by Case D Before, During, and After Involvement in a Ponzi Investment Scheme

Case D stated that she felt very ashamed and emotionally upset after the scheme failed. Being a Head of Office and possessing financial knowledge and professional credibility, he experienced a greater sense of responsibility not only to his own decision but also to the impact he might have had on other people who

relied on his judgment. This scenario seemed to compound his emotional reaction, because the repercussions were not limited to personal financial loss, but also to reputation and responsibility.

He explained that the experience was emotionally heavy, and the distress was aggravated by various factors, such as betrayal and self-blame. He shared:

> *Dubli-dubli kasi yung magiging* anxiety *and* […] *sakit ng sama ng loob mo.* Either *niloko […] ka ng* organizers*, or niloko ka ng kasi meron din taong nang iingganyo lang sa'yo. Or niloko ka ng mga polisya na nag-iisip.* At the end of the day*, kasalanan ko pa rin. […]* That's the most painful part*. Kasi nga, ikaw yung nagsabi din. Ikaw yung binabanggit na dahilan. Nakakahiya.* (P04_Q1.7)
>
> The anxiety and heartache from this experience are compounded. You feel betrayed by the organizers, the people who invited you, and even the authorities you trusted. The most painful part is being blamed for their financial loss and it is deeply embarrassing.

This narrative indicates that his distress was not only influenced by the financial result but also by the perceived loss of trust and the fact that he, as an educated professional, should have made a better judgment. The personal responsibility and the perception of the society seemed to play a role in a more complicated emotional reaction.

In spite of these difficulties, Case D considered more general aspects that could have led to the continuation of such schemes. He cited the institutional oversight, which implied that preventive measures might have been more apparent or efficient. Simultaneously, he also noted the behavioral changes in the participants, and how the prospect of easy financial gain can affect attitudes and decision-making. He explained:

> *Ang* realization *ko is may* part *pa rin kasi dapat ang* government to prevent this one. *Isipin mo ha, alangan naman hindi alam ng gobyerno yun halimbawa naman isang* place *ang dami nakapilang tao. Nagiging tamad pa talaga ng mga tao. And, pinakamasama, nagiging bastos ng mga tao.* (P04_Q2.1)
>
> I realized the government should play a role in preventing these schemes. It is hard to imagine that authorities are unaware when so many people are seen queuing in one place. These investments can make people lazy, disrespectful, and lose their values.

This reflection shows that he views the further survival of such schemes as a systemic and individual phenomenon. Although institutional mechanisms can be a factor in prevention, personal attitudes towards risk, effort, and financial gain also make these operations sustainable.

Lessons Learned by Case D from His Experiences with Ponzi Investment Schemes

After his experience, Case D considered the need to be more careful in making financial decisions. Based on his view as a business-oriented person, he pointed out the necessity to abandon overconfidence and shift to a more disciplined approach based on verification and practical investment decisions. His reflection points to a change of attitude, where he no longer depends on perceived opportunities but focuses on careful consideration and long-term sustainability.

He emphasized the need to shift financial resources to legitimate and tangible investments, like existing businesses or real estate, instead of participating in high-risk schemes that offer abnormally high returns. He shared:

> So if I were to give advice, *[…] di na ta mag ulit. […]* divert *na lang nato sa uban ang mga kwarta pang*

> *negosyo, real estate […] Wag na maniniwala.* Verify and verify and another verify. (P04_Q2.3,2.5)
>
> My advice is to never repeat these mistakes. We should put our money into real businesses or real estate, instead. You must verify everything repeatedly.

This reflection suggests a more conservative and experience-based approach to financial decision-making, where due diligence, verification, and investment in stable ventures are prioritized.

To further substantiate these results, triangulation was carried out by interviewing a close friend and a family member. Their testimonies gave more background information about his involvement in investment schemes, and the reasons that made him decide to join.

A close friend noted that the schemes appeared credible due to the involvement of individuals in high-status professions. The participation of businessmen and lawyers created a sense of legitimacy, which contributed to his confidence in the investment.

> *Ang sakto gyud iyang giingon naa man toy katong mga* businessman*, katong mga* lawyer *nga* proven and tested *lagi daw. […] didto sya naingganyo sa katong naay mga, mga* lawyer*, mga abogado nga nagingon nga* proven and tested *gyud lagi daw ang Almamico.* (P04_I01_Q1)
>
> Seeing businessmen and lawyers participate made the system seem proven and tested. He decided to join because these respected individuals personally vouched for its legitimacy.

Also, one of the family members explained that he was motivated by his business-oriented mindset. Although there might have been some knowledge of

the risks involved, he saw the scheme as a chance to make a gain, especially with the high returns being offered. He explained:

> I think since he is a business-inclined person*, […] nakita guro niya ang mga* loopholes or opportunity *nga maka-una kaysa sa uban.* […] *halimbawa katong mga* businessman *[…], kumbaga* word of mouth *kapareha pud sa iya,* word of mouth *pud gikan. Mao tong ingganyo ang mga tao ug katong gina-ingon nilang ah,* 35% every month*. So, medyo dako gyud siya mao tong na-ingganyo mi ug uban tao pud.* (P04_I02_Q1)
>
> He saw a unique opportunity to act before others did. As a businessman, he likely spotted gaps in the market. He used word of mouth to share this with others. The promise of a 35 percent monthly return was very high, which is why we and many others decided to join.

These triangulated narratives give a more comprehensive picture of his experience. They propose that the perceived opportunity, social validation, and anticipated financial reward influenced his choice to participate, and his post-participation thoughts highlight the need to be cautious and verify in future financial choices.

Chapter 7

Case E – Mr. Accountant

The case, referred to as the Accountant (Case E), is that of a 39-year-old married man and Certified Public Accountant who is a Regional Director in the government and also runs his own farm in Koronadal, South Cotabato. He is said to have suffered a financial loss of about 500,000.00.

Experiences of Case E Before, During, and After Involvement in a Ponzi Investment Scheme

Before engaging in Ponzi investment schemes, Case E was a corporate accountant abroad. Besides his work, he was also involved in other income-generating activities such as farming and small-scale buying and selling. These experiences are indicative of his exposure to financial management in both formal and entrepreneurial activities. He described his background as follows:

> I was employed, I'm an accountant by profession, and I was working there as a corporate accountant. I invest in farming. Then maybe some buy and sell and stuff like that. (PO5_Q1.1)

In his involvement in the scheme, Case E stated that he reinvested his earnings after getting initial returns. He observed that the fact that his money was growing made him want to repeat the process, which strengthened his choice to stay engaged.

> *Maka*-happy *kung nakita uy naa na ko'y nagsulod.* So after a week*, then* accumulate *na nimo. Morag matin-talon pod ka na imo na pod siya nga gina-sunod balik.* (P05_Q1.5)

> I was so happy when the funds was credited in my account. After a week, the earnings had grown. This success tempted me to reinvest my capital so the cycle could continue.

As the situation unfolded, he had problems with accessing the platform. He explained that there was a sudden break in the system where he was no longer able to log in to his account and communication with the people running the scheme stopped. Nevertheless, the application still showed growing incomes, but they were no longer available. He recalled:

> *Katong* totally nag-shut down *na siya, di mo na siya ma-open tapos katong mga* coaches *mo hindi na pod sila mag*-reply*. […] Di ka na maka*-log in *sa* account*. […]* Continuous *tong nagadagdag pero* in the app or in the monitoring *mo,* continuous *pa rin. Pero* […] *hindi na siya mata*-touch*. Hindi ka na maka*-withdraw*.* (P05_Q1.6)

> When the system totally shut down, I could no longer open the app. My coaches stopped replying to my messages. I could still see my earnings growing on the screen, but I was unable to make any more withdrawals.

In considering the further growth of Ponzi schemes, Case E explained their survival by the fact that new investors were still involved. He observed that initial players usually get payouts, which they use as a testimony to lure others, and the scheme goes on until the money is exhausted. He explained:

> *Nag*-thrive *siya tungod kay naa man gyu'y mo-apil. […] Katong mga naunang naga-apil, so naay mga maka-ipon og* cash*, so naa sa resibo nga mga naga-bayaran*. And then, after some time*, kung wala na pud na siya'y kwarta.* (P05_Q1.8,2.1)

> The system thrives because people keep joining. The early investors were able to receive payouts and showed receipts as proof. Over time, the money eventually ran out when no more recruits came in.

Challenges Encountered by Case E Before, During, and After Involvement in a Ponzi Investment Scheme

After the scheme failed, Case E claimed that the loss of money had a psychological impact on her. Though he said that his reputation was not much affected, as he did not actively recruit people, he admitted that he felt a feeling of remorse about the sum of money wasted. His reaction is a sign of a conflict within himself to accept the result and move on. He shared:

> Reputational*, wala kaayo kay wala man gyud ko nag-*hard sell *kay ang intensyon dili man mag maka-kwarta sa pag-*recruit. *Pero* psychologically you were there *and […] sayang. […]* Long term*, morag paghinayang didto sa kwarta nga nawala pero wala man gyud dapat isipon.* (P05_Q1.7)
>
> My reputation remained unstained because I never pushed others to join just to earn recruitment fees. However, I still feel the psychological weight over the lost money, but I am trying to move forward and let go of those negative thoughts.

This narrative indicates that the social impact was not significant, but the financial loss had a long-term psychological impact, especially in the sense of regret and reflection.

After this experience, Case E stated that he had a clear intention of not making such investments in future. He stressed that financial gains might seem feasible, but these opportunities are not long-term and suitable. Rather, he considered the worth of channeling resources to legitimate and well-managed business ventures.

> *Di na ko mousab. Di na gyud ko. Pwede nga maka-kuarta ka, pero dili gyud ni. Siguro kung gi-*focus *katong kuarta didto sa tarong nga* business*, mas nindot pa.* (P05_Q1.8, 2.1)

> I am certain I will not do this again. While it is possible to make money this way, it is not the right path. I realize now that if I had utilized that capital on a legitimate business, the results would have been much better.

This reflection suggests that there is a change towards a more cautious and experience-based approach to financial decision-making, where sustainability and legitimacy are more important.

Lessons Learned by Case E from His Experiences with Ponzi Investment Schemes

After his experience, Case E highlighted the need to establish personal boundaries when investing in financial activities. He considered the dangers of high-stakes financial choices, especially those that involve borrowed funds, and emphasized the necessity of a more balanced and realistic approach to dealing with possible losses. His view implies that there is a change in the risk-taking behavior to more cautious and deliberate financial practices.

He emphasized that one should only invest in what he can afford to lose and invest in legitimate and sustainable ventures even though it may take more time and effort to develop. He shared:

> Invest only what you can afford to lose*. Kay kung utangon pa nimo na siya, dili gyud na siya nindot.* Invest wisely*. Kanang, pangita'g tarong nga negosyo.* Even if it's hard. *Kay* risky *na siya.* Risk *man na tanan. Pwede ka maka-kita, pwede dili. Sama ra pud na siya sa* schemes *nga ing-ana.* (P05_Q1.8, 2.2)

> Only invest what you can afford to lose. It is a bad idea to borrow money just to participate. Instead, invest wisely in legitimate businesses. Even though starting a real business is difficult and involves risk,

> you must accept that you can either gain or lose. This applies to these schemes as well.

This reflection suggests a more realistic perception of financial risk, especially in the differentiation between acceptable business uncertainty and the organized risks of fraudulent schemes.

To further substantiate these results, triangulation was carried out by interviewing people who were close to the participant, such as a farm manager and a family member. Their testimonies added more details about the reasons that made him decide to take part.

The farm manager observed that the participation of the participant was not a result of ignorance but rather a strategic move based on the financial resources at hand. He noted that the participant had enough money earned in his foreign employment, which could have enabled him to invest without the urgent need to earn money. He stated:

> *Naa man gud siya'y kwarta kanang nagikan siya'g* abroad *so […] nakahimo siguro siya'g desisyon-making during that time.* […] out of boredom *lang ang naa'y kwarta unsaon niya […] Wala ko'y makita sa iyaha […] nga na naay na-*challenge *siya or naa siya'y giagi-agihan sa pagkahibalo niya.* (P05_I01_Q1)
>
> He seemed to be acting out of boredom because he had the extra funds. I didn't see him face any real challenges or go through a careful process to learn about the investment before joining.

Moreover, one of the family members pointed out the wider attractiveness of high-return investments, and how the prospect of a fast financial reward can make such an opportunity hard to resist. She said that the concept of easy money

tends to override doubt, and people will participate despite the perceived dangers. She stressed:

> *Kani laging pong mga dali ra kaayo ta mailad pud pag muingon ug dako ug* returns*, di syempre sa atong huna-huna ah* easy money *ni dato jud dayon. Mao tong maka, makaingganyo jud siya nga makaingon jud kag sige kung ako siguro ni i-invest akong kwarta basig mudouble ni.* (P05_I02_Q1)
>
> We are easily enticed when we hear about high returns. Naturally, we think of it as easy money that will make us wealthy quickly. This makes the idea of investing very attractive.

These triangulated narratives give a more comprehensive picture of the experience of Case E. They indicate that he was involved due to financial ability and the perceived appeal of high returns, and his later thoughts focus on the need to be cautious, have personal boundaries, and make informed decisions in future investments.

Chapter 8

Cross-Case Analysis

This chapter presents the results of in-depth interviews with business professionals involved in a Ponzi investment scheme across different parts of Region XII.

Profile of the Participants in In-depth Interview

Table 1 reflects the profile of the participants in the in-depth interview. Predominantly, they were middle-aged, with four participants aged 39 to 40 and one younger individual aged 26. There were three males and two females, and all were married. In terms of their profession, two were Certified Public Accountants, two held a Bachelor's Degree in Commerce, and held a degree in Education. Professionally, they were composed of self-employed entrepreneurs managing businesses such as rental spaces, a minimart, the sale of gaming accessories, and food distribution. Additionally, two participants were Certified Public Accountants (CPAs) serving as government employees in the SOCSKSARGEN Region. Further, all participants had direct involvement in the different types of Ponzi schemes that occurred in the different parts of the region. The financial losses ranged from Php 500,000.00 (Case B and E) to Php 2,500,000.00 (Case D).

Table 1

Profile of the Participants in In-depth Interview

Profile	MRS. MINIMART OWNER (Case A)	MR. ONLINE SELLER (Case B)	MRS. DEALER (Case C)	MR. MBA (Case D)	MR. ACCOUNTANT (Case E)
AGE	39	40	26	39	39
GENDER	Female	Male	Female	Male	Male
CIVIL STATUS	Married	Married	Married	Married	Married
EDUCATIONAL ATTAINMENT	BS Commerce Graduate	BS Commerce Major in Financial Management Graduate	BS Education Graduate	Certified Public Accountant, Master's in Business Administration Graduate	Certified Public Accountant
PROFESSION	Self-employed, businesswoman	Self-employed, businessman	Self-employed, business-woman	Public accountant, government employee	Regional Director-government employee
NATURE OF BUSINESS	Rentable spaces and minimart	Online selling of gaming accessories	Dealer/reseller of food and frozen products	Money market and rentable space	Owns a farm
ADDRESS	Midsayap, North Cotabato	General Santos City, South Cotabato	Kidapawan City, North Cotabato	Columbio, Sultan Kudarat	Koronadal, South Cotabato
ESTIMATED AMOUNT LOST	Php1,000,000	Php500,000	Php1,000,000	Php2,500,000	Php500,000

Experiences of Business Professionals Before, During, and After Involvement in a Ponzi Investment Scheme

Table 2 shows the experiences of business professionals before, during, and after involvement in a Ponzi Investment Scheme. During the analysis of their responses, themes emerged that showed their participation included *professional autonomy*, *social influence*, *profit motivation, initial euphoria, active promotion, strategic reinvestment, systematic collapse,* and *emotional fallout*. The core ideas offer a deeper perspective on how the participants navigated these experiences.

The first theme identified is *professional autonomy*, which refers to the participants' prior engagement in business or professional activities before their involvement in Ponzi investment schemes. Across cases, participants operated their own businesses or managed income-generating activities, providing them with financial resources and decision-making authority. As primary decision-makers, they exercised independence in allocating capital, which contributed to their willingness to invest in additional financial opportunities. This pattern is illustrated in the account of Case A:

> *ako jud nang kuan kay ako man pud jud ang gusto nga mag Negosyo Negosyo ako jud nang mga* decision *tanan.* (P01_Q1.1)
>
> The decision making was my role because I was the one who really wanted to go into business. All the decisions were mine.

Table 2

Experiences of Business Professionals Before, During, and After Involvement in a Ponzi Investment Scheme

Themes (Experiences)	Core Ideas
Before Involvement	
Professional Autonomy	• Independent operation of small businesses or professional careers • Primary decision-making in financial and business activities
Social Influence	• Direct awareness through friends, relatives, or acquaintances • Digital influence from social media platforms and online interest
Profit Motivation	• Strong desire for fast gains and additional capital • Visible proof of successful payouts from other participants
During Involvement	
Initial Euphoria	• Early payouts created excitement and increased confidence in the scheme
	• Personal happiness from rising earnings and sense of financial success
Active Promotion	• Frequent recruitment of friends and personal acquaintances into the scheme
	• Personal success stories used as fuel for word-of-mouth promotion
Strategic Reinvestment	• Constant reinvestment of earnings instead of fund withdrawal
	• Shared sense of belonging and community reinforcement within the group
After Involvement	
Systemic Collapse	• Suspicion arose when payouts were delayed or stopped
	• Government raids, news, and site shutdowns confirmed the scheme's collapse
Emotional Fallout	• Participants experienced stress, depression, and grief over financial losses

	• Reputational damage emerged due to having recruited others into the scheme

In Case B, professional autonomy can be seen in how the participant managed and grew his online business. By using social media, he was able to expand beyond his local area and reach customers as far as Manila. Although he worked with his ailing mother on budgeting, he remained the primary decision-maker when it came to strategic direction and business choices. This suggests that he maintained a strong sense of control over his financial decisions and overall business operations, positioning himself as the central figure in managing his enterprise. He shared:

> Online business. So *nahimo siya nga dako na* business *kay nakaabot naman og* Manila *ang mga* buyer its more on social media. At that time, *kay kami ra man gud to duha sa akoang mama nagsakit to siya ato na* time*. Ako na ang nagadesisyon unsa amoang sudlan, pero nagapangutana gihapon dyud ko niya og pag-budget; then* totally *ako ang nagadesisyon.* (PO2_Q1.1)
>
> I grew our online business into a large operation, reaching buyers as far as Manila, using social media. Since my mother was ill at the time, I was the one who ultimately decided which opportunities we should pursue.

In Case C, this is revealed in her role as a hands-on entrepreneur in the frozen products business. She personally managed the day-to-day operations, including supplying products to her clients, which demonstrates a strong sense of ownership and responsibility. This level of involvement suggests that she maintained full accountability for meeting business demands and managing

resources prior to her involvement in the Ponzi investment scheme. She further expressed during the interview that:

> *Naga*-frozen products *po. Naga*-supply *po ko sa mga nagpa-pang-barbecue. Mao na ako ang negosyo gyud* before*. […] ako man gyud ang nagpadagan anang akong negosyo.* (PO3_Q1.1)
>
> I manage a frozen products business. I supply items to people who run barbecue stalls. This has been my primary business for a long time.

Similarly, in Case D, this is reflected in his involvement in a private lending business that provided loans at a fixed monthly interest rate of 5% to 7% to employees within the municipal office. This arrangement allowed him to maintain a steady flow of income, as repayments were closely tied to his existing professional network. His direct engagement with clients and control over lending decisions indicate a high level of independence in managing his financial activities. This setup provided him with consistent returns and a strong sense of control over his resources even prior to his involvement in the scheme.

> I am into a money market. Pautang, 5 to 7 percent *of pautang* fixed monthly, per reign*. […]* Mostly, *ang* circle *ko dito naman din. […] Sure naman yung fund kasi i*-deducted *naman.* (PO4_Q1.1)
>
> I am in the money market specifically private lending. I offered loans at a fixed 5% to 7% monthly interest rate. My primary market was within the municipal office. It was sustainable because the payments were connected to their salaries, deducted before they even received their pay.

Finally, in Case E, it is evident in his background as a Certified Public Accountant with diversified income-generating activities. In addition to his professional role, he engaged in farming and buy-and-sell ventures, indicating an

active approach to managing multiple sources of income. This suggests a strong sense of responsibility and independence in handling financial resources, as well as a willingness to take ownership of both gains and potential losses.

> I was employed […] I'm an accountant by profession, and I was working there as a corporate accountant. I invest in farming. Then maybe some […] buy and sell and stuff like that. (PO5_Q1.1)

Across the five cases, professional autonomy played a key role in shaping participants' investment decisions. All participants had prior control over their finances and were accustomed to making independent business choices, which built confidence in their judgment.

The second theme identified is *social influence*, which reflects how participants first became aware of and eventually engaged in Ponzi investment schemes. Across cases, involvement often began through interactions with friends, relatives, acquaintances, and exposure on social media platforms. These sources served as common entry points into the schemes. This is reflected in the account of Case A:

> *Sa una naka balo pud ko sa mga kaila rapud sa mga relatives […] ang uban Nakita nako sa* social media*.* (PO1_Q1.2)

> I first learned about the opportunity through my relatives and acquaintances. Later, I saw more information about it on social media. (Case A)

In Case B, social influence was also shaped by connections within his social network, particularly through relatives and acquaintances from other communities. His exposure to the scheme was closely linked to these existing relationships, as well as to information encountered on social media. He shared:

> *Tungod kay daghan tag mga higala sa* social media *labi na mga kaparentihan sa* Region 11 Tagum City *mao tong nakaapil mi didtoa* it's more on *na* influence *sa* social media. (PO2_Q1.2)
>
> Since I have many friends on social media, especially relatives in Region 11, Tagum City, that's how we got involved. It was largely due to social media influence. (Case B)

Similarly, in Case D, continued exposure to different investment opportunities within her network contributed to repeated participation across multiple schemes. Her account reflects how frequent encounters with such opportunities became part of her experience over time. She stated:

> *Actually, halos lahat ng* scheme *nasalihan ko lahat.* From *Crypto,* from *RIGEN,* from *Almamico* to *Kappa.* Even the football*. Pinaka*-last *yung football.* (PO3_Q1.2)
>
> Actually, I joined almost every scheme. From Crypto, Rigen, and Almamico to Kapa. Even the football betting scheme, which was the last one. (Case D)

Across cases, social connections and online platforms consistently shaped how participants encountered these schemes, highlighting the role of everyday interactions and shared information in the early stages of involvement.

Another recurring theme across the cases is *profit motivation*, which reflects the participants' desire to increase their financial resources. Many participants were drawn to the opportunity because of the possibility of higher returns, especially when they saw others successfully receiving payouts. These visible results seemed to encourage continued participation and made the investment appear more appealing.

In Case B, profit motivation can be seen in his reaction to early payouts. Receiving returns, along with observing others benefit from the scheme, encouraged him to continue investing. The fact that the scheme was widely discussed and shared on social media also added to its appeal. He shared:

> *Kapa* at first *man gud nakakuha gyud mi ato inig* pay out *naingganyo Gamay mao tong nisagunson . Kay nakita man pud nako ilaha nga nakakuha dyud sila. Kung baga* trending *man, so nag*-viral *siya, apil-apil mi. Kato ra dyud nakita nimo sa* social media. (PO2_Q1.3)
>
> Receiving our first payout encouraged us to continue. We saw others receiving their money, and because it was trending and viral on social media, we decided to participate.

Similarly, in Case D, profit motivation was influenced by comparing his usual earnings with the higher returns offered by the scheme. The difference in potential profit made the investment more attractive, particularly when early participants were already receiving payouts. He explained:

> *Kasi nga, yung pera ko na pina-utang ko nasa 5-7 lang sa kanila 35. So nakaka-ingganyo talaga siya. And pinakalabis talaga ng* marketing strategy *nila, may nauunan nang nakaka*-receive. (PO4_Q1.1,1.4)
>
> I compared my own lending rates of five to seven percent to their offer of 35 percent. This made the opportunity very attractive to me. Their most effective marketing strategy was showing that the earliest participants were already receiving their returns.

Across cases, the promise of higher returns, along with visible proof of payouts, played a consistent role in encouraging participants to invest and remain involved in the schemes.

Another pattern observed across cases is *initial euphoria*, which refers to the excitement experienced by participants upon encountering or receiving early returns from the scheme. The promise of higher and faster profits created a sense of optimism, particularly when participants observed visible improvements in the financial status of others. These experiences contributed to a perception that the scheme offered a more immediate path to financial progress compared to their existing ventures.

In Case A, this sense of excitement was influenced by both the desire for quick financial gain and the observation of others who appeared to benefit from the scheme. Seeing noticeable changes in the lifestyle of others encouraged comparison and increased interest in participation. He shared:

> *Murag dali rapud jud kaayu ko na ing ganyo kay tungog lage gusto pud ta maka kwarta pud dayon. Nag dali pud sa adlaw nga mukuan kay sayang ang adlaw. Katong isa ka silingan namo [...] Mao to nga, kato sauna pobre pa daw to sila sauna totally karon kay naka pundar na sila naka dos andanas na ang balay, naka sakyanan na.* (PO1_Q1.3)
>
> I was easily enticed because I wanted to earn money quickly. I felt a sense of urgency because I didn't want to miss out on daily gains. I saw a neighbor who used to be poor but now has a two-story house and a car. (Case A)

Alongside this, *active promotion* was also observed as participants began sharing information about the scheme within their networks. Exposure through social media and personal connections contributed to the spread of these opportunities, often supported by accounts of successful withdrawals.

In Case E, participation was further encouraged through repeated exposure to online content and the influence of peers who had already invested. He described how these factors made the opportunity appear accessible and worth trying:

> things like this appearing on your screen and it just captures your interest, then why not? You're already there. […] then there were friends *nga nag*-invest before me. *And then nag*-convince *ra pod sa akoa. Then naka-withdraw man daw sila.* (PO5_Q1.1,1.2)
>
> When these schemes appear on your screen, they naturally capture your interest. Since the opportunity is right there, you feel there is no harm in trying. Friends who invested before me also convinced me to join by sharing that they had already successfully withdrawn their money.

In terms of strategic reinvestment, participants across cases showed a tendency to reinvest their earnings rather than withdraw them. In many instances, the absence of immediate financial needs made reinvestment a practical choice. At the same time, the expectation that their funds would continue to grow encouraged them to remain engaged in the scheme.

In Case E, this pattern is reflected in his decision to reinvest despite having the option to withdraw. He described how the increasing value of his funds influenced his choice to continue investing:

> *Wala man ko'y ginahimo, wala man ko'y gamitan sa akong kwarta. Pero kay […] matin-talon man ta. Wala man siya gibalik, didto gi*-invest*. Kay gusto ko magdako na pod.* (PO5_Q1.2,1.3)
>
> I was not doing anything with my money and had no immediate use for it. However, the potential for growth was tempting. Instead of taking my money

> back, I decided to reinvest it because I wanted my capital to grow even larger.

Across cases, participants initially viewed the investment as manageable, believing that potential losses could be tolerated. However, as their level of involvement increased, their perspective gradually changed.

In Case D, this shift is evident in how his expectations evolved over time. What began as a calculated decision later became a stronger focus on recovering invested funds:

> *Inestimate ko na na, bibigay ko ng 50,000 by 8* months*, pwede na yung kong kasal, sabi ko. […] Noong una, […] kaya-kaya mo pa yung mawala yung 20, mawala yung 30.* At later date *na, iba din nasabi, hindi na yung mawala yung 20 lang ito. Makabawi na.* (PO4_Q1.2)
>
> I estimated that if I invested 50,000, I could pay for my wedding in eight months. At first, I felt I could handle losing 20,000 or 30,000. Later on, my mindset shifted; it was no longer about what I could afford to lose, but about doing whatever it took to recover my money. (Case D)

Across cases, reinvestment and continued involvement were associated with changing perceptions of risk, particularly as participants became more invested in the outcome of their decisions.

Another emergent theme is *systemic collapse*, which refers to the stage when the investment scheme begins to show signs of instability and eventually stops operating, leading to the loss of participants' funds. Across cases, this stage was often preceded by noticeable warning signs, such as delayed payouts, reduced returns, changes in leadership, and breakdowns in communication. These

developments gradually raised concerns among participants, although the full situation only became clear once operations completely ceased.

In Case A, concerns started to emerge when other participants reported not receiving their payouts on time. This was later confirmed by external events, which signaled that the scheme had already been shut down:.

> *Kadtong ang uban wala na makadawat sa ilang* payout *sa schedule nila. Wala pa niabot akong payout date, pero ang uban nag-ingon na nga wala sila kadawat sa ilang* schedule*. Unya nakadungog mi nga ang unang opisina gipasara na kay gi-*raid *sa NBI. Gi-*ransack *ang Kapa.* (PO1_Q1.6)
>
> It was when others didn't receive their payouts on schedule. My payout date hadn't arrived yet, but others were saying they didn't get theirs. Then we heard the first office was closed because it was raided by the NBI. KAPA was ransacked. (Case A)

Similarly, in Case B, the shift from regular payouts to delays created uncertainty, which was further reinforced by circulating rumors about a possible shutdown:

> *Dugay na ming nakakuha sa atong ginaingon nila nga* one-week payout*. So instead nga* one week*, na-himo naman og two weeks. […] Kanang mga hungihong about nga ipaundang to tungod kay naay kuan nga* government *ato […]* So it's more on *katong gipa-undang dyud* totally*, didto na patay na. wala na, tapos na.* (PO2_Q1.6)
> We had to wait a long time for the promised one-week payout. Eventually, the one-week wait turned into two weeks. There were rumors that the government would shut the operation down. When they finally stopped it, everything was lost. (Case B)

In Case C, participants also began to notice changes within the organization, including adjustments in payout schedules and leadership, which led to growing concern and confusion:

> *Nausab napud daw ang CEO unya murag ning ang date sa pag* release *nagka adjust-adjust,* […] *daghan pa og mga kakulian daw so murag action na gyud mi anig kabalaka og kakulba nga wa na kasabot.* (PO3_Q1.6)
>
> The CEO reportedly changed, and our payout release dates kept getting delayed. Many complications began to surface and because of it, we started to feel a deep sense of worry and confusion about what was happening. (Case C)

Across cases, the collapse was often experienced as something that unfolded gradually but became clear only at the point when access to funds was no longer possible. This resulted in financial losses and different emotional responses among participants.

The final theme observed across cases is *emotional fallout*, which refers to the psychological and social effects experienced by participants after the collapse of the investment schemes. Across cases, participants described different emotional reactions, including stress, regret, anxiety, and, in some instances, fear. These responses were often influenced not only by financial loss but also by their level of involvement and the people affected around them.

In Case A, the emotional impact was particularly intense, marked by stress and fear following the loss of capital. She shared:

> *Na-*stress *gyud ko pag-ayo kay apil akong puhunan nagamit nako […] Halos kada gabii ko maghilak kay nawala tanan sa akoa. murag nahadlok pud mi sa*

> *among kaugalingon kay uso baya tong patay patay tungod atong gipang dala ang mga kwarta […] maka ingon nalang pud ka "mutago nalang pud siguro ko"* (PO1_Q1.7)
>
> I felt a lot of stress and fell into a deep depression. I was very overwhelmed because I used up my capital for the business. I cried almost every night. I was also afraid for my safety because of the reports of violence and killings at that time.

In contrast, Case B described a more composed and accepting response. Although he acknowledged the financial loss, he framed the experience as a known risk from the beginning. This perspective seemed to help him cope and continue with his routine:

> Emotionless*. Kay at first, kabalo naman ta nga sugal to. Although naay panghinayang […] at least kadawat ko nga sugal gihapon. Dawata lang. Naapektuhan sa* financial status*, pero* emotionall*y,* physically*, laban lang. Padayon gihapon ang* life*.* (PO2_Q1.7)
>
> I was indifferent about the situation. From the beginning, I knew it was a gamble. While I felt some regret over the loss, I accepted that this was the nature of the game. My financial status was affected, but emotionally and physically, I chose to keep moving forward.

In Case C, the emotional experience was again significant. The participant recalled difficulty sleeping and frequent episodes of crying, indicating how deeply the loss affected her. Her account reflects how financial setbacks can extend into emotional strain over time:

> *Kadto* down *jud kaayu kay halos dili ka katulog mag sige kag hinilak adlaw gabei huna-huna nga kining mao nani […] So grabi jud ang emotional ato nga time* (PO3_Q1.7)

> I was really down because I could hardly sleep; I was crying day and night thinking about how this was it. The emotional toll was severe.

Case D's experience reflected a combination of anxiety, regret, and a strong sense of responsibility. Beyond the loss of capital, he expressed concern about having to rebuild his financial position and restart his plans. This added pressure appeared to shape his emotional response:

> *niloko ka ng* organizers*, or […] taong nang iingganyo lang sa'yo. Or niloko ka ng mga polisya na nag-iisip.* At the end of the day*, kasalanan ko pa rin. […] Kasi nagkulang na yung, yung pang-*finance *ko. […] So, imbes na pataas, status po. […] kulang na yung capitalization. Magsisimula ka na naman sa umpisa na, […] para ma-*proceed *naman yung* another plan *mo.* (PO4_Q1.7)

> Whether it was the organizers, the people who invited me, or the authorities who failed us, I believe the responsibility is still mine. I lost my capital and now I have to start all over again to move forward with my other plans.

Similarly, in Case E, the emotional impact was present but more controlled. While he expressed regret over the loss, he also emphasized the need to move forward and avoid dwelling on the experience. This suggests an effort to manage the situation in a more measured way:

> Reputational*, wala kaayo kay wala man gyud ko nag-*hard sell *kay ang intensyon dili man mag maka-kwarta sa pag-recruit. Pero* psychologically you were there and *uh, sayang. Kasi amount pa to.* Long term, *morag paghinayang didto sa kwarta nga nawala pero wala man gyud dapat isipon.* (PO5_Q1.7)

> Regarding my reputation, there wasn't much damage because I didn't do any "hard selling." Psychologically, you feel the loss, it was a waste of

> money because it was a significant amount. In the long term, there's a sense of regret over the lost money, but I try not to dwell on it.

Across cases, emotional responses varied in intensity, from deep distress and anxiety to acceptance and resilience. However, a common pattern is that all participants experienced some form of emotional impact following the collapse. These experiences show that the effects of such schemes go beyond financial loss and can influence personal well-being, decision-making, and outlook moving forward.

Collectively, the participants' experiences reflect a similar progression. They entered the schemes with confidence and the hope of growing their capital, became more involved through reinvestment and social influence, and later encountered warning signs that led to the collapse of the schemes. This was followed by financial loss and a range of emotional responses, depending on their level of involvement and personal circumstances. Taken together, these findings highlight how financial decisions are shaped not only by opportunity but also by social context and evolving experiences, and how the consequences extend beyond financial outcomes into personal and emotional domains.

Challenges Encountered by Business Professionals Before, During, and After Involvement in a Ponzi Investment Scheme

The business professional involved in the study experienced the following obstacles as seen in Table 3; *insufficient literacy, social pressure, financial risk, moral responsibility, emotional distress, reputational damage, and financial disruption.*

Table 3

Challenges Encountered by Business Professionals Before, During, and After Involvement in a Ponzi Investment Scheme

Themes (Challenges)	Core Ideas
Before Involvement	
Insufficient Literacy	• Limited knowledge regarding legitimate versus fraudulent investments
	• Inadequate translation of professional skills into fraud recognition
Social Pressure	• Urgent pressure from social circles and digital trends
	• Irrational fear of missing out on lucrative opportunities
During Involvement	
Financial Risk	• High-stakes involvement beyond the initial investment amount
	• Persistent reinvestment despite the emergence of internal doubts
Moral Responsibility	• Intense guilt regarding the recruitment of secondary victims
	• Internal conflict between personal gain and ethical awareness
After Involvement	
Emotional Distress	• Acute sleeplessness, depression, and anxiety after the collapse
	• Deep betrayal toward organizers and governing authorities
Reputational Damage	• Hostile confrontations and refund demands from recruited victims
	• Social stigma and shame from dual victim-promoter roles
Financial Disruption	• Significant loss of business capital and halted expansion plans
	• Total recovery efforts requiring a complete financial restart

An emergent theme across cases is *insufficient literacy*, which relates to the participants' limited understanding of legitimate and high-risk investment practices. While participants had business experience, there were instances where limited verification or incomplete evaluation of investment opportunities was evident. This suggests that familiarity with financial activities does not always translate to careful assessment of investment legitimacy.

In Case D, this is reflected in his account of joining multiple investment schemes without extensive confirmation of their credibility. He shared:

> Halos *lahat ng* scheme *nasalihan ko lahat. From Crypto,* from *RIGEN,* from *Almamico* to *Kappa.* Even the football*. Pinaka-last yung football.* (P04_Q1.2)
>
> I joined almost every scheme. From Crypto, Rigen, and Almamico to Kapa. Even the football betting scheme, which was the last one. (Case D)

Another contributing factor observed across cases is social pressure, particularly as participants saw people within their networks successfully receiving payouts. These experiences, often shared by friends and relatives, made the opportunity feel more familiar and worth considering. This influence was further strengthened by social media, where investment-related content was widely circulated and discussed, increasing exposure to such opportunities.

In Case B, this influence is evident in how connections through social media, especially with relatives from other regions, shaped his decision to participate. He shared:

> *Tungod kay daghan tag mga higala sa* social media *labi na mga kaparentihan sa* Region 11 Tagum City *mao tong nakaapil mi didtoa* it's more on *na* influence *sa* social media. (P02_Q1.2)

> Since I have many friends on social media, especially relatives in Region 11, Tagum City, that's how we got involved. It was largely due to social media influence.

Similarly, in Case E, peer influence also played a role, particularly through friends who had already invested and shared their experiences. Their accounts of successful withdrawals encouraged him to consider the opportunity:

> There were friends *nga nag*-invest before me. And then *nag*-convince *ra pod sa akoa. Then naka*-withdraw *man daw sila.* (P05_Q1.2)
>
> Friends who invested before me were the ones who convinced me. They told me they were already able to withdraw their money.

Another theme is *financial risk*, which refers to the increasing level of investment and exposure undertaken by participants as their involvement in the scheme progressed. Across cases, participants described investing beyond their initial plans, often influenced by early gains and expectations of continued returns. In some instances, reinvestment continued even when warning signs began to appear.

In Case D, this pattern is reflected in his experience of receiving early payouts, which encouraged further participation. The initial success appeared to build confidence in the system and influenced his decision to continue investing:

> *Pero pag nakatanggap ko na ng* first, *yun ang* excited *lang. Pagdating ng* second*, patitikimin ka pa. […] Sabi ko na* receive *ko yung 100,000.* After 3 days, *wini-draw ko. Nakuha ko yun.* (PO4_Q1.2,1.5)
>
> I felt excited after receiving my first payout. They let me experience a second one as well. I received

> 100,000 and successfully withdrew it after three days.

Similarly, in Case E, expectations of consistent and increasing returns shaped his continued involvement. The perceived stability of the returns influenced his outlook on the investment:

> I think in a few months *nga magsigi ka ani, kung naa pa na siya, then dako-dako na pod siya. Dako-dako na pod siya og ma*-generate. It was very *taas lang tanan, wala'y baba. Kung gina*-expect *nako. Wala'y baba. Kasi* guaranteed *daw tong 2% daily eh*. (PO5_Q1.3,1.5)

> I thought that if I kept doing this for a few months and the scheme lasted, it would generate a significant amount of money. It was always going up, never down, which is what I expected because that 2% daily return was supposedly guaranteed.

Across cases, early gains and expectations of steady returns contributed to increased financial exposure, as participants adjusted their investment decisions over time.

Another theme observed across cases is moral responsibility, which refers to how participants reflected on their role in the scheme, particularly when others were indirectly influenced by their involvement. Across cases, participants described a sense of responsibility toward those who trusted them, especially when participation extended beyond personal decision-making.

In Case C, this is reflected in her acknowledgment of the impact on people who relied on her. The experience highlights how involvement can carry personal weight when others are affected. She shared:

> *Kuan dako pud syag* impact *sa akoa kay daghan pud bayang nisalig ato nga time.* (PO3_Q1.7)

> It had a big impact on me because many people trusted me then.

This account shows how participants may reflect on their involvement not only in financial terms but also in relation to their connections with others, particularly when trust is involved. Across cases, such experiences highlight how participation can raise concerns about responsibility and accountability within one's social network.

The collapse of the Ponzi investment schemes also led to emotional distress, particularly as participants dealt with financial loss and its impact on their personal and economic stability. Across cases, the depletion of capital often meant having to restart financial plans, which delayed goals and created added pressure.

In Case D, this is reflected in his experience of investing a significant portion of his funds, which affected his ability to sustain his business and move forward with planned goals. He shared:

> *Kasi isang* bonus *ko, in*-invest *ko isang* bonus *ko ng* December*. So, imbes na pataas, status po. […] kulang na yung* capitalization. *Magsisimula ka na naman sa umpisa na, kailangan mo naman pagbutihin itong ganito, para ma-proceed naman yung* another plan mo. (PO4_Q1.7)

> My financing capital ran short because I invested my entire December bonus. Instead of growing, the business just plateaued. My capitalization is depleted. I have to start from the beginning again, working hard just to reach the point where I can proceed with my other plans. (Case D)

In Case C, emotional distress was also influenced by social pressure and the expectations of others. The participant described feeling anxious and fearful, especially when confronted by individuals seeking to recover their investments:

> *Mahadlok nka kada naay muadto nga tao sa amoa ato murag mahadlok naka kay murag mangita naman nga ang among* product *kadtong […] nag bayad na sila, Daghan og mga nanghurat kay tungod saialang kwarta nga gusto pud nila makuha og balik.* (PO3_Q1.7)
>
> I became afraid every time someone came to our place because they were looking for the products that they had already paid for in advance. Many people were threatening me because they wanted their money back. (Case C)

These experiences show how financial setbacks can influence not only economic conditions but also participants' sense of security and daily interactions with others.

Another theme observed is *reputational damage*, which refers to the effects of participation on participants' professional standing and social relationships. Involvement in the schemes, particularly when others were indirectly influenced, created situations where participants had to manage expectations, requests for reimbursement, and shifts in trust. These experiences sometimes affected their confidence in interacting with others and their position within their community or network.

In Case C, this is reflected in her experience of dealing with individuals who had trusted her and later sought accountability following the collapse. The situation affected her sense of security and made everyday interactions more difficult. She shared:

> *Dako pud syag* impact *sa akoa kay daghan pud bayang nisalig ato nga time […] mahadlok nka kada naay muadto nga tao sa amoa ato murag mahadlok naka kay murag mangita naman nga ang among product kadtong kuan nag bayad na sila, Daghna og mga nanghurat kay tungod saialang kwarta nga gusto pud nila makuha og balik.* (PO3_Q1.7)
>
> It had a big impact on me because many people trusted me then. I became afraid every time someone came to our place because they were looking for the products that they had already paid for in advance. Many people were threatening me because they wanted their money back. (Case C)

This account shows how participation can extend beyond financial consequences to affect trust and relationships, especially when others are involved. Across cases, such experiences highlight how reputational concerns can influence both personal interactions and confidence moving forward.

Financial disruptions are the most obvious impact. The participants can lose major business capital, halt expansion plans and have to start all over again. It can take a long time, and may take strategic planning, discipline, and time, to underscore the extreme material costs of Ponzi involvement.

> *Naapektuhan sa* financial status, *pero* emotionally*,* physically*, laban lang. Padayon gihapon ang* life. (PO2_Q1.7)
>
> My financial status was affected, but emotionally and physically, I just keep fighting. Life goes on. Case B

Foremost, the challenges encountered by business professionals before, during, and after involvement in a Ponzi investment scheme are clear manifestations of their weaknesses toward money. Financial loss affected their way of living because they needed to take responsibility for their actions.

Lessons Learned by Business Professionals from Their Experiences with Ponzi Investment Schemes

Table 4 presents lessons learned by business professionals from their experience with Ponzi Investment schemes. The responses gave six themes which are: *rejecting "easy money" myths, prioritizing rigorous verification, investing within secure limits, questioning rapid returns, addressing systemic gaps,* and *upholding ethical standards.*

An important theme that emerged across cases is the rejection of *"easy money" myths*, which reflects how participants, after their experiences, came to question the idea that wealth can be gained quickly without effort. This theme highlights a shift toward valuing hard work, careful decision-making, and more sustainable ways of managing finances.

In Case A, this realization is clearly expressed through his emphasis on valuing money and recognizing the effort required to grow a business. He shared:

> *Ang akong na-*realize *kay ang kwarta kailangan gyud tagaan og value, maski gamay na o dako. […] Kailangan gyud nimo og sakripisyo para mudako ang imong negosyo. […] nga wala'y* easy money. (PO1_Q2.1)
>
> I realized that money must be valued, whether the amount is small or large. You need to make sacrifices to grow a business properly. I now understand that there is no such thing as easy money. (Case A)

Similarly, in Case C, the experience led her to refocus on managing her finances more carefully and returning to legitimate business practices. Rather than looking for quick returns, she chose to rebuild through more stable and reliable means:

Table 4

Lessons Learned by Business Professionals from Their Experiences with Ponzi Investment Schemes

Themes (Lessons Learned)	Core Ideas
Rejecting "Easy Money" Myths	• Recognizing that legitimate wealth requires professional effort
	• Dismissing promises of unrealistic or rapid profit margins
Prioritizing Rigorous Verification	• Investigating business models before committing capital
	• Validating financial claims beyond surface-level literacy
Investing Within Secure Limits	• Utilizing only disposable income for high-risk ventures
	• Restricting core business capital from speculative trades
Questioning Rapid Returns	• Flagging exponential short-term gains as primary warning signs
	• Identifying initial payouts as deceptive trust-building tactics
Addressing Systemic Gaps	• Advocating for more accessible fraud prevention systems
	• Expanding public warnings to reach vulnerable populations
Upholding Ethical Standards	• Balancing rational thinking against personal or corporate greed
	• Integrating sound values into daily financial decision-making

> *Pagka human ato ako jung gikuan nga mabalik nako to akong* financial stable *nga mo invest ko ug balik napud sa Negosyo nga tinarong nagyud nga ma pa* rolling *nako siya ug tarong.* (P03_Q2.1)

> After that experience, I decided to reinvest in a legitimate business. I wanted to make sure my money was managed properly this time. (Case C)

Across cases, this theme reflects a shift in perspective, from being drawn to fast returns to recognizing the value of steady, legitimate, and effort-based financial growth.

Another key lesson that emerged across cases is the importance of *prioritizing rigorous verification*, which refers to taking time to carefully evaluate investment opportunities before making a decision. After their experiences, participants emphasized the need to check whether an opportunity is legitimate and to understand the risks involved, rather than relying on promises of high returns or the influence of others.

In Case B, this is reflected in his emphasis on being cautious, especially when trust is based on personal relationships. He shared:

> *Amping og dili dyud ta basta basta bisan pag naa Tay mga parenti or amigo* it's more on *didto ta sa kasaligan* legal *dyud.* (P02_Q2.1)

> We should be careful and not easily give our trust. Even when dealing with relatives or friends, it is better to choose options that are reliable and legal. (Case B)

Similarly, in Case C, the experience led her to become more thoughtful and careful in making financial decisions. She highlighted the importance of understanding what one is entering before committing money:

> *Sa mga desisyon kinahanglan jud diay nga […] atong huna hunaon sa maka daghan, ato jud susihon kung unsa atong gisudlan, […] dapat jud diay ang kwarta atong haguan, dili jud diay nato isalig sa mga ingon ana lang na panghitabo, na abi*

> *kay kani lagi modako pa, ato jud diay siyang ibutang sa negosyo nga matarong.* (P03_Q2.2)
>
> We must think carefully before making a decision and investigate what we are engaging in. I learned that money should be earned through hard work. We should not trust quick growth and must invest in legitimate businesses instead. (Case C)

In the same way, Case D highlighted the need to redirect money toward more stable and tangible investments. His reflection also shows how important repeated checking has become in his decision-making:

> So divert *na lang nato sa uban ang mga kwarta pang negosyo,* real estate*. Wag na maniniwala.* Verify and verify and another verify. (P04_Q2.3,2.5)
>
> Divert your money into other businesses or real estate. Stop being so gullible. Verify, verify, and verify again. (Case D)

Meanwhile, Case E focused on responsible risk-taking, emphasizing that investments should match one's financial capacity. He also pointed out that borrowing money for uncertain opportunities can create more problems in the long run:

> *Ang* advice *nako man dira kay* invest only what you can afford to lose. *Kay kung utangon pa nimo na siya, dili gyud na siya nindot.* Invest wisely*. Kanang, pangita'g tarong nga negosyo.* Even if it's hard. *Kay* risky *na siya.* Risk *man na tanan. Pwede ka maka-kita, pwede dili. Sama ra pud na siya sa* schemes *nga ing-ana.* (P05_Q1.8,2.2)
>
> My advice is to only invest what you can afford to lose. If you have to borrow money to invest, that's a very bad idea. Invest wisely. Look for a legitimate business, even if it's difficult. Everything involves risk; you might earn, or you might not. But schemes like this are a different kind of risk. (Case E)

Across cases, these reflections show a gradual shift toward being more careful and thoughtful when handling money. Participants moved from relying on quick decisions and outside influence to taking a more grounded approach, one that values checking, understanding, and making responsible financial choices.

Another key lesson that emerged across cases is the importance of *investing within secure limits*, where participants recognized the need to manage their resources carefully and focus on sustainable financial growth. Their experiences highlight a shift toward understanding that wealth accumulation is gradual and requires discipline, rather than relying on quick or uncertain returns.

In Case A, this realization is reflected in his emphasis on handling money with care and prioritizing investments within one's own business. He shared:

> *Dapat mag-amping gyud sa kwarta. I-*invest *siya og tarong ug padakuon siya sa saktong paagi. Kung naa kay negosyo, ibutang nimo sa imong negosyo. Dili lang kay basta-basta mu-apil og investment tungod lang kay paspas mudako ang kwarta.* (P01_Q2.2)
>
> You should really be careful with money. Invest it properly and grow it the right way. If you have a business, put it in your business. Don't just join an investment because the money grows fast. (Case A)

Similarly, in Case E, the experience reinforced the importance of choosing legitimate and realistic investment options, even if they require more effort and patience. He acknowledged that risk is part of any investment, but it should be approached with caution and understanding:

> *Kanang, pangita'g tarong nga negosyo.* Even if it's hard*. Kay* risky *na siya.* Risk *man na tanan. Pwede ka maka-kita, pwede dili.* (P05_Q1.8,2.2)
>
> Look for a legitimate business, even if it's difficult. Everything involves risk; you might earn, or you might not. (Case E)

Indubitably, this theme reflects a growing awareness that financial growth should be approached with patience, discipline, and careful decision-making, rather than through high-risk opportunities that promise immediate returns.

Another important lesson that emerged across cases is *questioning rapid returns.* This reflects a growing awareness among participants that investment opportunities promising quick and substantial gains should be approached with caution. Rather than accepting such offers at face value, participants emphasized the importance of pausing, reflecting, and carefully evaluating the legitimacy of these opportunities.

In Case C, this realization is clearly expressed in her reflection on how she now responds to offers that seem too good to be true. She emphasized the importance of questioning and verifying before making any decision:

> *kung mapaminaw nimo na* easy money *siya, kanang ang returns niya dako compare sa imong kapital, daghan ug pasalig daghan ug kanang mga* flowering words *bitaw na kanang maka enganyo jud,[…] I-question najud sa imong kaugalingon, […] kaning* aside *sa paglikay no, imo jung kaning huna-hunaonimo jung authentikayon imong gisudlan ug tarong.* (P03_Q2.5)
>
> If you hear about easy money with returns much higher than your capital, be cautious. When there are too many promises and enticing words, you must question the opportunity. Beyond just avoiding the risk, you should take the time to verify the authenticity of what you are entering. (Case C)

This account reflects a shift toward a more careful and reflective approach to financial decisions. Across cases, participants highlighted that taking time to question and verify opportunities can help prevent both financial loss and unintended consequences.

Another important theme that emerged across cases is the need for *addressing systemic gaps*, particularly in terms of transparency, regulation, and access to reliable information. Through their experiences, participants began to recognize that unclear rules, limited oversight, and gaps in information can make it harder to judge whether an investment is truly legitimate. This awareness shaped a more careful and questioning approach to financial decisions.

In Case B, this is reflected in his emphasis on taking time before making decisions and not relying solely on trust, even when opportunities come from familiar people. He shared:

> *Dili dyud nato I Dali Dali atong kaugalingon bisan pa og nga pwede nimo ma* justify *pero sa pagpangalan nga "*scheme," *mahulog gihapon siya nga illegal. Amping og dili dyud ta basta basta bisan pag naa ta'y mga parenti or amigo* it's more on *didto ta sa kasaligan* legal *dyud.* (P02_Q2.1)
>
> We should not make rush decisions even if we can find ways to justify them. If something is labeled as a "scheme," it ultimately remains illegal. We must be careful and not easily be swayed even if friends or relatives are involved. (Case B)

At the same time, Case D pointed out that these challenges are not only individual but also connected to how information is shared and how rules are enforced. He emphasized the importance of clear communication and consistent action from institutions so that people can make better-informed choices:

> *Magsisimula mismo sa […] mga* sec, DTI *[…] maging malinis sila […] kumbaga* walking the talk*. […] para kapag sila nag salita sinabi nilang fraud itong mga* transaction *na to, maniniwala agad ang tao. […] Tapos sa mga tv at saka radio kasi may mga* announcement *Talaga pero yung mga kuan hindi naabot dulo-ulo. So* access to information *paigtingin […] higpitan sila sa pag pag*-influence*. Kasi* number one *na* investor *yung mga* police *[…]* (P04_Q2.5)

> Agencies like the SEC and DTI should lead by example and ensure their own operations are beyond reproach. If they "walk the talk," people will immediately believe them when they label a transaction as fraud. We also need to improve access to information via TV and radio so warnings reach everyone, even in remote areas. Finally, authorities such as the police should be prevented from influencing others to join, as their participation as top investors often legitimizes these schemes. (Case D)

This theme shows a growing understanding that making sound financial decisions depends not only on personal judgment but also on having access to clear, reliable information and systems that support transparency and accountability.

Another important lesson that emerged across cases is the need for *upholding ethical standards* in financial decision-making. This reflects how participants came to recognize that their choices can affect not only themselves but also others, especially when trust and influence are involved. Acting with care and integrity helps avoid harm, reduces difficult ethical situations, and supports more responsible engagement in business and investment activities.

In Case C, this realization is reflected in her emphasis on thinking carefully before making decisions and considering the possible consequences of one's actions. She shared:

> *Sa mga desisyon kinahanglan jud diay nga kanang atong huna hunaon sa maka daghan, atong jud susihon kung […] ikaduol ba sa dautan* (P03_Q2.2)
>
> In making decisions, it is necessary to think things over many times. We must investigate what we are getting into. Whether it will be good for us or lead us to trouble. (Case C)

This account shows how participants began to consider not only the financial outcomes of their decisions but also their broader impact. Across cases, this theme reflects a growing awareness that responsible investment involves both careful judgment and ethical consideration.

The main message is that business people should treat. be a wise investor, do not trust opportunities, and do not blindly trust either. in familiar sources. Equally, the existence of powerful institutions and transparency. is a valuable means of safeguarding the investors against fraudulent contagion.

Similarities and Differences of the Experiences, Challenges, and Lessons Learned of Business Professionals Involved in a Ponzi Investment Scheme

Table 5 contrasts the experiences, challenges, and lessons of business professionals in Ponzi schemes, illustrating the impacts of this financial crisis on their lives and the lives of others.

Table 5

Similarities and Differences of the Experiences, Challenges, and Lessons Learned by *Business Professionals Involved in a Ponzi Investment Scheme*

Themes	Similar	Different	Explanation
Experiences			
Professional Autonomy	A, B, C, D, E		All five cases confirm that having prior business experience did not safeguard participants from falling victim to the scheme. This suggests that entrepreneurial confidence may have, in fact, increased susceptibility by fostering overconfidence in investment decisions.
Social Influence	A, B, D, E		Most participants learned about the scheme through personal networks reinforced by social media activity.
		C	Case C is distinct in that the primary motivator was visual content of payouts posted online rather than direct interpersonal invitation, highlighting how digital evidence of success can independently function as a recruitment mechanism.
Profit Motivation	A, B, C, D, E		The desire for quick financial gains was a universal motivator.
		D, E	Cases D and E differ slightly in that they showed greater awareness of the risks involved but pursued participation anyway, demonstrating that motivation in Ponzi victimization is not always rooted in ignorance but can coexist with calculated risk-taking.

Initial Euphoria	A, B, D		Cases A, B, and D experienced tangible early payouts that reinforced trust and excitement.
		C, E	Cases C and E are distinct in that their emotional engagement was driven more by watching earnings accumulate on the platform interface than by actual withdrawals, illustrating how simulated gains can be equally persuasive.
Active Promotion	A, C, E		Three cases actively recruited others into the scheme.
		B, D	Cases B and D differ. Case B was more passive while Case D's recruitment was deliberate and wide-scale, making him complicit in the scheme's rapid expansion. This variation suggests differing levels of agency among participants in perpetuating the fraud.
Strategic Reinvestment	D, E		Cases D and E reinvested earnings persistently rather than withdrawing funds, driven by the desire to grow their balances further. .
		A, B	Cases A and B differ in that their continued involvement was sustained more by community belonging and social validation than by deliberate financial strategy, reflecting distinct psychological motivators for remaining in the scheme
	A, D, E		Cases A, D, and E, fully acknowledged the fraud after complete system shutdowns, suggesting that some participants maintained

Systemic Collapse			cognitive dissonance well into the collapse phase.
		B, C	Cases B and C began to suspect the scheme when payout schedules were disrupted.
Emotional Fallout	A, C, D		The majority suffered significant emotional distress and financial loss.
		B, E	Cases B and E are notably different in their psychological responses: Case B was emotionally detached, framing the loss as gambling, while Case E minimized regret, reflecting varied coping styles and emotional resilience among similarly affected individuals.
Challenges			
Insufficient Literacy	B, C		Cases B and C directly acknowledged that their financial education failed them.
		D, E	Cases D and E present a nuanced contrast; Case D understood the risk intellectually but lacked business validation skills, and Case E, as a professional accountant, was trapped despite technical knowledge, suggesting that emotional and behavioral factors can override financial competence.
Social Pressure	A, B, C		Social influence and herd behavior were dominant entry points for most participants.
		D, E	Cases D and E differ in that their entry was also influenced by professional curiosity and

			boredom with lower-yield legitimate investments, indicating that peer pressure alone does not fully explain participation across all profiles.
Financial Risk	A, D		Cases A and D escalated their financial exposure significantly as early gains reinforced confidence and risk tolerance grew.
		C, E	Cases C and E differ: Case C continued investing despite persistent internal doubts due to the size of already-committed funds, while Case E's escalation was driven by behavioral habits of reinvestment and the daily gratification of watching balances rise, reflecting distinct pathways into deepening financial risk.
Moral Responsibility	A, C, E		Cases A, C, and E experienced guilt and internal conflict over having recruited others into the scheme.
		B, D	Cases B and D differ: Case B remained largely detached from any sense of recruiter responsibility, while Case D, despite being the most consequential recruiter, initially framed his promotion as honest personal testimony rather than deliberate solicitation, a distinction that shaped his moral processing of the experience.
	A, C, D		Significant emotional distress, including sleeplessness, depression, and fear, was common among Cases A, C,

Emotional Distress			and D, especially those who had recruited others.
		B, E	Cases B and E displayed more emotionally measured reactions, suggesting that the extent of distress is linked to the degree of recruitment involvement and the amount of capital risked.
Reputational Damage	C, D		Cases C and D experienced the most severe reputational consequences, including threats and social shame.
		A, E	Case A faced concerns regarding physical safety but framed it as a community-wide crisis rather than a personal reputational issue. Case E avoided significant reputational harm due to low-key recruitment, indicating that damage severity correlates with the aggressiveness of one's promotional role.
Lessons Learned			
Rejecting Easy Money Myths	A, B, C, D, E		Realizing that legitimate wealth requires significant effort and patience, the participants across all cases universally internalized this hard-earned lesson. This consensus underscores a fundamental shift in financial perspective post-victimization, confirming that experiential learning, though costly, produces durable attitudinal change.
	B, C, D, E		Cases B, C, D, and E converged on the lesson that thorough verification of any investment opportunity must precede financial commitment.

Prioritizing Rigorous Verification		A	Case A is distinct in that she attributed her failure to verify not to ignorance of the need, but to emotional blindness, being swept along by the trend even while sensing something was wrong, pointing to the limits of knowledge-based interventions when emotional and social forces are at play.
Investing within Secure Limits	A, B, D, E		Four cases explicitly internalized the discipline of investing only disposable funds and protecting core business capital from speculative ventures.
		C	Case C's version of this lesson was shaped more by the relational dimension of loss , the irreversible damage to the trust of those who depended on her, rather than as a financial management rule, reflecting how the same lesson can be processed through different moral and emotional frameworks.
Questioning Rapid Returns	B, C, D		Most participants concluded that verification and research are essential before any investment.
		A, E	Cases A and E differ subtly, Case A attributed the lapse to emotional blindness rather than ignorance, while Case E framed it as a behavioral issue related to boredom and excess funds, pointing to non-cognitive triggers that financial literacy campaigns often neglect.
	A, B		Cases A and B acknowledged that existing government

Addressing Systemic Gaps			warnings exist but are insufficient in reach.
		C, D	Cases C and D offered more specific systemic critiques , Case C linked economic instability to vulnerability, while Case D called for greater institutional accountability among agencies like the SEC and NBI, reflecting deeper structural analysis among those more severely affected.
Upholding Ethical Standards	B, D, E		Cases B, D, and E converge on the view that values orientation must accompany financial literacy to be effective. .
		A, C	Cases A and C, while expressing similar sentiments, framed the lesson more experientially, focusing on personal regret and lost trust, rather than prescriptively, suggesting differences in how victims process and generalize their lessons for wider application

Similarities and Differences in Experiences. Taking a closer look at the experiences that were summarized in Table 5, a notable paradox was observed: a good business background (Professional Autonomy) was rather a curse than a blessing. All five cases (A to E) proved that previous entrepreneurial experience did not only fail to secure them, but it probably created some degree of overconfidence which the scammers used. Our local business culture in Region XII regarded being a professional as frequently meaning listening to your gut, but in such instances, gut feeling was influenced by social evidence. Although the

universal hook was the "Profit Motivation," the manner in which people responded to it differed. Case C, in particular, was a more contemporary, online-first victim, who did not even have to meet in person; the visual proof of payouts online was sufficient. This represented a great change from the conventional "word-of-mouth" Ponzi scheme. It revealed that online models of affluence were as convincing as possessing real money, as seen in the case of the "Initial Euphoria" found with Cases C and E, who felt they were winning after merely seeing their increasing dashboard balances.

Similarities and Differences in Challenges. When we placed the lens on what issues these professionals had to contend with, the data indicated that monetary loss was frequently a side effect of the “Social and Moral Fallout.” Professional circles were very tight-knit in the region, and thus recruitment was not a business decision but a personal recommendation. This posed an enormous psychological weight on Cases A, C, and E, who had to bear the burden of having caused others to become part of the scheme. The difference in Case B was interesting; his lack of emotion and his presentation of the loss as a gamble was indicative of a coping mechanism that avoided moral guilt by not framing the investment as professional. In the meantime, the reputational damage that was faced by Case D pointed to the definite risk for those in leadership positions. In Case D, it was not only the money that was lost but also a desperate attempt to rebrand his Active Promotion as honest testimony. This pointed out a significant informational outlier: the more professional the victim, the more they struggled to defend their image even in the face of an eventual systemic collapse.

Similarities and Differences in Lessons Learned. The most important lesson in financial literacy initiatives was presented in the "Lessons Learned" section. Case E, a trained accountant who was still victimized despite having technical abilities, demonstrated that literacy is not a universal remedy. There was the existence of a literacy gap in which technical knowledge (the ability to manage finances) was superseded by behavioral impulses (the desire for easy money). The fact that Case A admitted to being emotionally blind was a major piece of evidence; it indicated that even when a professional felt something was wrong, social pressure made it difficult to withdraw. Additionally, the agreement on rigorous verification indicated that these victims transitioned from social trust to a “trust but verify” attitude. However, as Cases C and D pointed out, systemic gaps remained wide. Government warnings were perceived as insufficient, especially when economic pressures made high-yield promises appear as lifelines rather than scams. This implied that in Region XII, fraud prevention should focus less on passive information **(**e.g., pamphlets**)** and more on interventions that address the emotional and economic pressures professionals experienced daily.

Chapter 9

DISCUSSION

This chapter discusses the results and provides implications for practice along with recommendations for further research.

Experiences of Business Professionals Before, During, and After Involvement in a Ponzi Investment Scheme

The experiences of business professionals before, during, and after involvement in a Ponzi investment scheme are encapsulated in the following themes, namely: *professional autonomy, social influence, profit motivation, initial euphoria, active promotion, strategic reinvestment, systematic collapse,* and *emotional fallout*.

Professional Autonomy. Within the framework of professional autonomy, business owners and managers were in complete control of their companies and finances, and thus could make independent decisions in terms of investment. While autonomy tends to develop confidence (Kruesi et al., 2025), in this instance, it augmented vulnerability. Their self-sufficiency led them to forgo external verification or critical examination and rely solely on their judgment. This empowerment may lead to overconfidence (Ahmad, 2025)**;** even more experienced individuals can fall victim to fraud and accidentally contribute to a Ponzi scheme. Such results demonstrate that even excessive independence with money may be a trap, as this may cause individuals to miss the second opinions which could have rescued them.

Social Influence. One of the factors contributing to the spread of Ponzi schemes like a wildfire is social influence (Andorfer, 2017; Khodabandehlou, 2024). This may be linked to the fact that social networks involving friends, relatives, and colleagues, alongside social media, influenced the choices made by participants significantly. When people saw their peers getting profit and promoting the scheme, it created trust and social validation that made them more likely to join and invest more; this demonstrates that social influence can strengthen perceived legitimacy. Ponzi schemes frequently take advantage of peer influence and the fear of missing out to show that rational judgment is often overcome by social forces. In a social network analysis of a massive Ponzi scheme, intimate personal relationships were found to be an important aspect in sustaining and propagating the scheme, with current investors introducing friends and family to the scheme, which enhanced confidence and faster acceptance of the fraudulent investment by other members of the network, as noted in the research of Nash et al. (2013). These findings indicate that we are more likely to believe the vibe of a group where we have seen friends or family earning money than our own common sense.

Profit Motivation. One of the reasons why people are falling prey to Ponzi schemes is profit motivation, which translates to a desire for greater gains. The fact that investments promised easy returns served as a catalyst that prompted them to risk their hard-earned cash. This shows that the profit motive might be too strong to be cautious of risks and can cause people to ignore warning signs (Prabowo, 2023). The aspiration to make quick money **is** a common psychological weakness that is used against people by fraudulent schemes. In a study of Ponzi

and pyramid scheme victims, Hidajat et al. (2021) discovered that emotional and cognitive biases played an important role in investment decisions, with most investors being motivated by the prospect of high returns. This trend indicates that the desire to become rich overnight is usually so overwhelming that it makes individuals totally blind to glaring warning signals.

Initial Euphoria. The participants developed an initial euphoria when they initially tried the scheme and it paid off. This success makes them excited and bolsters their belief in the scheme. In the present study, the participants had emotional highs that justified the choice and predisposed them to invest more or involve more people. This euphoria is a trap of the psyche, as initial payouts can influence emotions to form an impression of legitimacy and undermine the power of rational thought (Cuadra et al., 2025). This initial euphoria, as observed in Case E (Accountant)**,** caused the affect heuristic, in which the positive emotional reaction to the initial returns and social validation overrode technical skills in auditing. Thus, the emotional charge of the gain overcame professional cynicism, demonstrating that even a person who is trained to perform thorough financial checks can be guided by emotional shortcuts instead of a rational judgment of risk. Studies of investment bias demonstrate that emotional highs and the confirmation of profit opportunities may lower the critical assessment of risk and maintain involvement in fraudulent investment plans (Nash et al., 2013). The evidence shows that initial small payouts function as a psychological gimmick to get people feeling safe enough to invest even more.

Active Promotion. The participants took the bait of the Ponzi scheme through vigorous promotions. They saw how those who were involved had their lives changed. Becoming participants, they also contribute to the spread of the scheme among others, either knowingly or unknowingly, often due to communal pressure and the enthusiasm of first profits (Baltaci & Vural, 2024). This promotion enhanced their participation and raised their ethical and economic investments. When people recruited others, this created both social and ethical pressure to make the scheme more expansive and difficult to disengage. Other authors (Nash et al., 2013; Tudor, 2019) explained that certain investment fraud models imply that the illusion of profitability can be perpetuated by reinvesting alleged earnings because reinvested earnings can delay the collapse and keep the investors involved. These findings indicate that the more an individual begins informing others to do the same, the more they are locked into the lie, and thus it becomes extremely difficult to quit.

Strategic Reinvestment. The participants had the incentive not to withdraw their money because, having seen gains through the scheme, they experienced a desire to triple their money. They instead reinvested their funds in order to get the highest returns (Cuadra et al., 2025). This kept them longer exposed to the scheme and led to greater losses. Reinvestment strengthens commitment and emotional attachment and demonstrates how rational financial behavior aimed at maximizing returns can, in effect, make one more vulnerable to a fraud scheme. In Fu et al. (2018), the illusion of profitability can be perpetuated through the reinvestment of reported earnings because reinvested funds can be

used to delay the collapse of the scheme and keep investors interested. Such a tendency to reinvest into the scheme is evidence that, in most cases, attempting to make money twice will result in losing money altogether.

Systematic Collapse. Once the scheme is uncovered, the issue enters its highly challenging stage. The participants faced challenges which were difficult on their part to handle. This led **to** them and those whom they recruited losing their money. Carey and Webb (2017) confirm that the crash is unavoidable and those who participated in the scheme were more affected by the advanced trust and investment strategies, which highlights the risk of schemes that offer unsustainable returns. In the case of Peng and Boyle (2024), it is argued that such fraudulent systems are destined to be unstable since they rely on constant inflows of new investor money to compensate earlier investors, and fail as soon as inflows decelerate. The results indicate that, because these schemes eventually fail, the crash is inevitable and is devastating to the participants.

Emotional Fallout. The participants experienced various emotional implications, with some feeling guilty and anxious, particularly those who enlisted other people, leading to stress and regret. The emotional impact affected personal and professional life. This proves that psychological effects are deep and long-term, as emotional distress can be as harmful as monetary damage (Homer et al., 2023), underscoring the human price of fraudulent schemes. Victimization by investment scams shows that emotional distress and behavioral problems, including self-blame and shame, are widespread, which demonstrates that the psychological cost of fraud can be as harmful as the financial loss (Lev, 2022).

Lastly, the profound levels of stress and guilt experienced by the participants attest to the fact that heartache and reputation loss is as detrimental as the financial loss.

Challenges Encountered by Business Professionals Before, During, and After Involvement in a Ponzi Investment Scheme

As business professionals who got involved in different Ponzi schemes, the participants highlighted the following challenges, which include insufficient literacy, social pressure, financial risk, moral responsibility, emotional distress, reputational damage, and financial disruption.

Insufficient Literacy In this research, the business professionals made it very clear that they had little information to make valid investments and avoid fraudulent ones. They were not able to use their professional skills to identify fraud. This ignorance led them to make decisions without due verification. Having a low capacity to identify legitimate investment opportunities and fraud further predisposes the user to fraud schemes like Ponzi fraud, where it is difficult to identify the deceitful aspects, including unsustainable returns or forged documents (Xiao et al., 2022). Ibrushi et al. (2026) point out that even some people with some level of financial understanding can be deceived when they think they are more competent or when they cannot identify warning signs of high risks. This indicates that overconfidence can be a mental obstacle, resulting in ineffective decision-making on the financial aspect and increasing the likelihood of victimization regardless of a minimum literacy standard. These results indicate that business people are not always able to detect a scam unless they have specialized training in fraud, as they are often too confident in their own judgment.

Social Pressure. Feelings of urgency and pressure from friends, relatives, and social trends significantly impacted the participants. The fear of missing out on good returns affected their decision-making, causing them to make quick decisions without giving much thought to the risk (Epelbaum, 2025). This means that they were driven by such forces into precarious situations. Network effects and social influence are of great importance in the context of fraudulent investment participation, as people are more likely to follow the behavioral patterns of persons they trust in situations that offer economic gain. In this aspect, trust in recommendations given by family, friends, or community members can dominate an analytical analysis of financial opportunities, thus skepticism, as noted by Samanta (2025). The statistics show that the fear of missing out and peer pressure frequently drive individuals to make quick, unsafe choices before they have the opportunity to deliberate on them.

Financial Risk. The participants invested in high-stakes investments which were well beyond their initial financial capability. They kept on reinvesting when internal doubts started to arise. This constant exposure tremendously increased the amount of their losses in the end. In fact, behavioral finance studies point out that how easy the money seems to be in the short run may lead to less risk aversion and more addictive behavior during reinvestment, which eventually results in greater losses in the event of a collapse in the scheme. Brenner et al. (2020) also state that repeated involvement in risky activities despite clear warning signals is a good example of how emotional reactions can overwhelm logical financial planning. This mental state usually prevails over rational risk analysis,

and eventually, the investor is exposed to a more profound financial crisis (Cuadra et al., 2025). The trend indicates that investors will tend to disregard their intuition and continue reinvesting until the possibility of loss becomes overwhelming after seeing initial small gains.

Moral Responsibility. These situations place moral responsibility on the participants since they enabled other individuals to get involved in the Ponzi schemes. This means that they experienced profound guilt related to recruiting secondary victims into the scheme. They were caught in a continuous internal struggle between self-interest and moral conduct (Egiyi & Chindengwike, 2023). This ethical conflict led to prolonged psychological stress. When recruits lose their investments, victims are always left with a sense of guilt or moral responsibility for advising others to invest, which worsens the psychological distress. According to Lev (2022), victims of investment fraud have reported the development of self-blame and shame due to perceived shared responsibility with the perpetrator of the fraud, the deterrence of reporting and disclosure, and the resultant emotional conflict. The testimonies point out the fact that many are bearing the greatest weight not only of money lost but also of the profound sense of guilt that they unintentionally led their friends and families into the trap.

Emotional Distress. According to the respondents, there were acute psychological symptoms such as insomnia, depression, and increased anxiety after the scheme collapsed. They were very angry at the organizers and regulatory authorities because they were left in a state of complete disarray. These experiences had long-term implications on their emotional health and trust. Beyond

that, acute emotional signs, such as depression, anxiety, and insomnia, are typical after financial damage caused by fraudulent schemes and are indicative of the psychological effect of a sudden loss of capital and deception (Lev, 2022). Victims often feel violated, distrusted, and undergo long-term stress, which leads to poor well-being and, in other instances, dysfunctional family or working relationships (Brenner, 2020). These findings demonstrate that the crash of a scheme does not only result in an empty bank account; it also results in actual health problems such as depression, anxiety, and **a** loss of all trust.

Reputational Damage. Among the most evident issues which they faced is reputational harm, as they had to face confrontations and restitution demands from the people whom they had recruited. Their duality as both victims and unintentional facilitators created social stigma (Hock and Button, 2023). This destroyed their professional and individual integrity. The recruited victims often threaten them with unfriendly demands for money back or social ostracism because they have been drawn into the scheme as unwilling marketers of the fraudulent investment,which causes a loss of credibility. The victim profile **l**iterature (Brenner, 2020; Ibrushi et al., 2026; Lev, 2022) mentions that the victim may feel social stigma and reputational damage as, in some cases, they are seen as having been complicit and not deceived, and this can make reintegrating them into professional and community networks difficult. This scenario demonstrates that being a victim-promoter is a two-fold blow, since it not only kills the credibility of a professional but also exposes him or her to the demands of the individuals he or she enlisted.

Financial Disruption. This theme suggests that the subjects incurred huge losses to business capital, which led to the halting of planned expansions. It took recovery to revise their entire financial strategies and re-establish their businesses. Restoring stability required a lot of time, effort, and strategic planning. In line with this, a capital loss in fraudulent schemes derails planned business growth and stability of operations, and in such cases, a business may need a total overhaul of its financial strategies. Moreover, the economic impacts also decrease general financial welfare and trust (Hidajat et al., 2021), and victims need to redistribute scarce resources. This kind of forced diversion of money can cause the indefinite delay of essential financial milestones and created a long-term ripple effect on the financial stability of the individual (Homer et al., 2023). Lastly, the results indicate that it is not only that a Ponzi scheme halts a business, but that it compels an immediate and excruciating re-launch that can put a professional years behind.

Lessons Learned by Business Professionals from Their Experiences with Ponzi Investment Schemes

Based on the findings, the following themes indicated the lessons learned based on the experiences of the business professional with Ponzi Investment scheme.

Rejecting "Easy Money" Myths. This suggests that the study participants had certain revelations of their involvement in various schemes. The incident also underscored the fact that pledges of unattainable or quick profit margins are usually indicators of fraudulent activities aimed at preying on financial lust. Such a change in perception can be viewed as an exclusion of the impulsive growth-seeking nature to a more disciplined view on the long-run financial development

that is informed by the evidence that unrealistic expectations of returns are a main red flag in investment fraud (Stajano and Wilson, 2011). According to the research by Statman (2019), optimism bias and the affect heuristic are the main factors contributing to the success of Ponzi schemes since the emotions of high returns overrule the rational evaluation of the risk. This loss of rationality illustrates the potential of internal psychological motivations to outweigh external red flags in high-risk financial contexts. The results prove that to overcome this myth of easy money, fundamental change in thinking about emotional and high-reward impulses, and towards a more rational and long-term approach to finance is necessary.

Prioritizing Rigorous Verification. This implies that they have the need to conduct particularly rigorous verification when exploring these types of business models, which in turn to be a Ponzi scheme before they commit their financial resources. They understood that it is essential to prove financial claims beyond superficial literacy by scrutinizing the legitimacy and transparency. This kind of enlightenment is a pointer to a more analytical and evidence-based approach to investing. When the investors go beyond the superficial level of literacy to ensure that the registration of the investment product and the professional is credible, this level of vulnerability to investment fraud diminishes significantly (Kiefer et al., 2017). The Skepticism Framework applied by forensic accountants is an essential tool of detecting red flags in the form of unregistered securities or unlicensed vendors as outlined by Boyle et al. (2015). This professional skepticism is reflected in the post-facto focus of the survivors on exploring business models, and hints at

the transparency, or its absence, as the main factor that determines the operational viability of a scheme. The statistics highlight the need to go beyond financial literacy to a more serious, evidence-based verification process to uncover non-transparent business models.

Investing Within Secure Limits. This explains that they should have to be careful before taking the risks. Investing in a Ponzi scheme is something that cannot be undone as it might be the source of their financial stability and potentially endanger it (Homer et al., 2023). This is indicative of their enhanced knowledge in risk management and financial security. Psychological effects of Ponzi schemes were observed in the DeLiema et al. (2020) study that indicated that victims of financial trauma generally undergo a considerable change in risk perception that results in future skepticism and emotional problems. This re-evaluation shows that the emphasis on financial stability over the risky all-in investments is an essential precaution to the long-term damage of losing all the capital.

Questioning Rapid Returns. This theme highlights the participants' heightened awareness of the necessity to critically scrutinize any investment opportunity promising rapid financial returns. It is noteworthy that they determined that initial payouts usually are misleading techniques to establish trust and keep the engagement. This substantiates the importance of critical thinking in terms of skepticism in assessing investment opportunities. This attitude is necessary to prevent falling into the trap of fraudsters who use the prospect of disproportionate returns as a key manipulation device (Alkadhim and Aboud, 2025). Early returns are commonly strategically rerouted capital instead of actual profits (Frankel, 2012)

a psychological weapon to overcome an inherent cynicism in a victim. As they offer these early profits, fraudsters essentially legitimize the program in the mind of the investor, thus making it easier to exploit them further. The findings indicate that even at time of initial payouts one should be very skeptical because such payouts are usually mere psychological gimmicks in order to create a false impression of safety.

Addressing Systemic Gaps. As identified by Homer, Jalain, and Hoover (2023), an awareness of systemic constraints in fraud prevention manifested among the participants. The necessity to enhance the public awareness and access to high-quality financial information was intensely stressed. These understandings underscore the importance of institutional support in safeguarding individuals against fraudulent schemes. Similarly, there is a need to increase the call to academia, industry, and government to avail credible financial data and structural safeguards (UNODC, 2025). This combined framework is an effective defense mechanism against the ever-evolving, multi-layered, and more sophisticated cyber-enabled scams that can easily circumvent the traditional, siloed control measures. These insights imply that individual vigilance is not enough, but rather more systemic approach between the government and industry is needed to close the gaps in fraud protection.

Upholding Ethical Standards. This reveals a more enhanced understanding of ethical responsibility in financial decision-making, which was created based on the experiences of the participants. The necessity to balance rational thinking and restraint over personal or corporate greed was more evident.

This awareness highlights the need to incorporate ethical values in the day-to-day financial activities. Recent academic work (MDPI, 2025) is leading to the belief that a new emphasis on corporate governance and the validation of ethical assertions is assisting in bridging the so-called trust gap caused by widespread fraud in the financial sector. Therefore, the organizations can initiate the restoration of investor trust lost in fraudulent practices by focusing more on verifiable ethics than reputation (Passas and Garefalakis, 2025). The facts indicate a necessity of striking a balance between rational profit-making and a robust ethical system in a bid to rebuild the confidence, frequently lost in corporate and individual greed.

Similarities and Differences of the Experiences, Challenges, and Lessons Learned by Business Professionals Involved in a Ponzi Investment Scheme

The following section presents a comparative synthesis of the qualitative data, specifically highlighting the congruencies and divergences observed across the five cases. By employing a cross-case analytical lens, the researcher identifies universal patterns of professional vulnerability alongside the unique situational factors that differentiated each participant's encounter with fraudulent investment models. This comparative dialogue is essential for understanding how varied professional backgrounds, ranging from entrepreneurship to specialized accounting, influenced the rationalization of risk and the subsequent management of financial and reputational fallout.

Similarities and Differences in Experiences. Regardless of their professional background, none are safe from the claws of Ponzi schemes. It can be confirmed by the overreliance on their intuition, despite underlying fears that

they might fall victim. In this modern world, scammers use many forms of Ponzi schemes, and methods have evolved. These can range from verbal persuasion to visual illusions, which create a veneer of growth for prospective victims. Thus, it is necessary for people to maintain a skeptical mindset in all their dealings by verifying and conducting background checks, especially regarding legal matters. By simply relying on their general knowledge, they remain vulnerable victims who could lose most of their finances. There is no such thing as easy money, and the promises of higher returns on investments are not to be trusted. In support of this, Bianchi (2023) and Rauf et al. (2025) found, through their studies, that higher educational attainment is not a guarantee of protection against Ponzi schemes. The majority of the victims relied solely on their intuitions, which ultimately yielded negative results. These findings reveal a common **similarity** across all professional backgrounds: an overreliance on intuition that overrides formal education; yet, they **differ** in how modern, evolved methods of persuasion specifically targeted their unique professional illusions of growth. These findings illustrate that educational background provides no immunity to Ponzi schemes when intuition overrides skepticism. Consequently, rigorous verification remains the only reliable defense against modern, evolving financial fraud.

Similarities and Differences in Challenges. Throughout the interviews, the participants shared their experiences without hesitation; each one told a different story. However, some of them shared similar challenges. For the majority of them, for example, in Cases A, C, and E, the burden rested on those whom they recruited into these fraudulent schemes. Hence, it tarnished their reputations as

heads of office, as professionals, and as business owners. Social trust was destroyed because of this; hence, some of them fear going out of their homes to face those they recruited. In the same vein, in the professional world especially for a head of an office character may be questioned, leading to a damaged self-concept. For Case B, the experience was a mere gamble with money. Unlike Case D, he is trying to save face by protecting his profession because of his promotion of the scheme to his colleagues. In consonance with the literature, the study of Cross et al. (2022) affirmed that victims who recruit others carry a burden of guilt toward themselves, leading to social withdrawal (Button et al., 2024). While participants shared the **similar** challenge of destroyed social trust and reputation, their experiences **differed** in how they managed the fallout, ranging from social withdrawal and guilt to active attempts at saving face among colleagues. These findings suggest that recruiting others into such schemes results in a profound loss of social trust and professional reputation, often leading to severe social withdrawal and a damaged self-concept.

Similarities and Differences in Lessons Learned. One thing that fuels the victim is greed for money. Having been promised higher returns, they tried to persuade themselves of greater gains. As such, literacy must be situated within behavioral finance rather than strictly technical finance or understanding of investment products. They faced the dilemma of participating in the scheme while knowing its red flags were a sign, but this did not stop them. They still pursued their actions and faced the consequences. Their emotions were blinded by their potential gain because they had seen their relatives and peers gaining from such

schemes. It can also be noted that scammers are lurking in social trust and professional networks, which they use to easily build trust among prospective victims. Moreover, victims shifted to the new mindsets. They now feel they have to verify first before trusting again. They seek legal clarity and listen to government warnings, which may help them increase trust and awareness. Studies show that even those with financial knowledge may have been blinded by the red flags of Ponzi schemes (Lusardi & Streeter, 2023). Fraudulent schemes often cultivate and exploit high levels of trust within professional circles to effectively manipulate their victims (Bongini et al., 2025). This is in line with my finding that even knowledgeable individuals can overlook red flags, especially when trust is exploited.

The information shows that there is a **similarity** in the fact that all involved were blinded by greed and social pressure, but a major **difference** was how they had now shifted their mindsets, as some are more focused on the legal clarity and others are more focused on government warning so as not to be exploited in the future. These results imply that the greatest lesson undertaken is the change of acting on the gut feeling to a more disciplined method, where active checking and government warnings eventually prevail over the urge to get high returns.

Confirmation of Theory. The study findings provide empirical evidence supporting the Fraud Triangle Theory by Cressey (1953), which explains why the combination of pressure, opportunity, and rationalization promotes participation in Ponzi schemes. The perceived financial pressure was the profit motive of the participants, as well as the willingness to acquire wealth easily; meanwhile, the

opportunity to take independent, unverified decisions concerning their finances was facilitated by professional autonomy and a high level of control. Also, the themes of active promotion and strategic reinvestment emphasize the rationalization process, where participants explained their ongoing participation through the logic of maximizing returns and the social endorsement they obtained due to the participation of their colleagues. This is a testament to the fact that even those in positions of trust may be influenced into fraudulent arrangements when all these three factors come together, as Cressey argues.

Furthermore, the results are consistent with the Rational Choice Theory developed by Becker (1968), according to which people make rational decisions depending on a cost-benefit analysis. The initial participation of the participants was fueled by the initial euphoria of high, easy returns, which made them see the benefits as outweighing the risks involved. The strategic reinvestment strategy also indicates an attempt at maximizing utility that is calculated but not perfect. However, the analysis further complicates the theory of rational choice by demonstrating that this rational calculation was frequently founded on inadequate literacy and false information, which resulted in a failure to make logical risk judgments in the presence of the temptation of unsustainable profit.

Lastly, the findings also have much in common with the Behavioral Finance Theory proposed by Kahneman and Tversky (1979), especially regarding the psychological biases that prevail over technical knowledge. The participants could not resist the influence of the affect heuristic and confirmation bias; even with their well-established business experience, they could not think critically. Instead, the

emotional high of receiving payouts early on contributed to trusting the fraudulent scheme. The effect of social pressure and the fear of missing out (FOMO) serves as an example of how cognitive shortcuts and social processes may result in impulsive, high-stakes financial decision-making. This supports the argument by Kahneman and Tversky, which says that it is human nature to be vulnerable to biases in making decisions; the evidence suggests that even technical financial literacy is not enough to withstand the advanced psychological maneuvering of Ponzi schemes.

Implications for Business Practice

The results of this research provide essential information to various stakeholders in the business world, especially business professionals, organizational leaders, financial managers, and regulatory authorities. Using these implications as a foundation built on the lived experiences of the participants, a framework for more resilient financial practices can be created.

To business individuals and financial managers, the findings regarding initial euphoria and emotional fallout suggest that they should approach investment with a more critical and careful perspective. To prevent an overdependence on professional knowledge which, as the experience of Case E demonstrated, can be a weakness: professionals should prioritize objective risk evaluation over social pressure. This entails a shift from making decisions emotionally to making verified ones based on evidence; analytical skepticism is not an absence of trust, but a professional requirement.

In the case of organizational leaders, the themes of active promotion and social influence within professional networks emphasize the need to promote ethical responsibility. Instead of treating financial literacy and fraud awareness as separate programs, organizations should introduce Integrated Financial Vigilance Programs. These integrated programs would instruct employees to be aware of the patterns of systematic collapse inherent in fraudulent schemes and establish a safe environment to challenge and scrutinize "too-good-to-be-true" opportunities. Leaders can ensure that professional circles are not used as channels of exploitation by strengthening internal policies on transparency and accountability.

To regulators and policy makers, the systemic gaps highlighted by the participants underscore the need for structural safeguards. The results imply that individual vigilance cannot be effective without institutional support. Hence, there is a need for actionable government and industry cooperation to develop "fraud watch registries," especially in high-risk regions such as Region XII. These registries would serve as a localized defense system and an accessible, reliable source of financial data to dispel "easy-money" myths and guard the populace against increasingly sophisticated and cyber-enabled fraud.

Finally, these implications suggest that the best protection against fraudulent schemes is a culture of critical thinking and informed decision-making. By focusing on the psychological and social elements identified in this study, the business community can become more effective in protecting its human and financial resources against the emotionally and reputationally damaging consequences of Ponzi investments.

Recommendation for Future Research

This research is unprecedented among business professionals in Region XII. Being well-educated could not help them avoid victimization. Since they received backlash from other victims whom they recruited, a separate study could be conducted on the psychological and financial healing required for survival against Ponzi investment schemes. Moreover, future studies can be extended to other demographic groups to explore how these schemes affect different age groups or socio-economic backgrounds. Researchers can also investigate the experiences of other professionals in Region XI and Region XII across varying settings, including entirely corporate or rural-based environments. These regions were the center of Ponzi investment schemes, which severely impacted the victims.

A quantitative method or a mixed-methods design can be used in the future to provide a more detailed picture by evaluating the statistical relationship between professional status and vulnerability. The necessity to design and test a specially designed intervention program aimed at professionals focusing on enhancing financial stability and ethical integrity is also critical. Further, a parallel study of both traditional "word-of-mouth" victims and "multiverse" victims could contribute to a better understanding of how psychological manipulations are conducted in different contexts. Such cases could involve regulatory bodies and authorities to enhance monitoring and warning systems against fraud in professional networks. Lastly, the involvement of finance and forensic accounting via AI-assisted analysis

is pertinent to assisting individuals in evading Ponzi schemes, not just in this section of the country, but nationwide.

Concluding Remarks

This report wasn't merely about financial fraud; it was a discussion of how experienced business figures, individuals who arguably ought to know better, fall into the snare of Ponzi schemes. I discovered that the process of making an investment decision is a combination of social pressure, an innate desire for wealth, and the kind of emotional decision-making that can be irrational. These experiences were not only financially disastrous but emotionally burnout-inducing; yet, they made us reconsider our approach to risk and whom we can trust. It was a heavy task walking through these stories, I tell you. It was an uphill battle and a huge eye-opener to deal with such sensitive, personal accounts.

The greatest lesson to me? Expertise is not a shield. The combination of overconfidence and social influence has a way of getting even the smartest individuals in the room. My personal outlook has changed entirely at the conclusion of this project. I am no longer able to view investment choices as just rational actions; they are highly human actions, influenced by our emotions, our social groups, and the surrounding environment.

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Appendix A

Permission Letter

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February 20, 2026

[redacted]
Midsayap, North Cotabato

Dear Mr/Ms. [redacted]

The University of the Immaculate Conception Graduate School Department is excited to connect with you regarding an important research initiative.

We kindly request your support and approval for **MS. LOVELLA FAITH B. DIEZ,** one of our dedicated students who is pursuing her *Doctor in Business Management,* to conduct a study that will involve chosen business professionals in Region XII.

This request is in line with his/her research study entitled **"CAUGHT IN THE SCHEME: A MULTIPLE CASE STUDY ON THE EXPERIENCES AND MINDSETS OF BUSINESS PROFESSIONALS VICTIMIZED BY PONZI INVESTMENTS."**

Your support in approving this research will help us foster a collaborative effort, encouraging innovation and academic growth.

We look forward to your positive response and sincerely appreciate your approval in advancing this meaningful endeavor.

Sincerely,

DR. MARY JANE B. AMOGUIS
Dean, Graduate School

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Kidapawan City, North Cotabato

Dear Mr/Ms. [redacted]

The University of the Immaculate Conception Graduate School Department is excited to connect with you regarding an important research initiative.

We kindly request your support and approval for **MS. LOVELLA FAITH B. DIEZ,** one of our dedicated students who is pursuing her *Doctor in Business Management*, to conduct a study that will involve chosen business professionals in Region XII.

This request is in line with his/her research study entitled **"CAUGHT IN THE SCHEME: A MULTIPLE CASE STUDY ON THE EXPERIENCES AND MINDSETS OF BUSINESS PROFESSIONALS VICTIMIZED BY PONZI INVESTMENTS."**

Your support in approving this research will help us foster a collaborative effort, encouraging innovation and academic growth.

We look forward to your positive response and sincerely appreciate your approval in advancing this meaningful endeavor.

Sincerely,

DR. MARY JANE B. AMOGUIS
Dean, Graduate School

University of the Immaculate Conception
Bonifacio Street, Davao City 8000, Philippines
(63-082) 227-1573 local 240 / (63-082) 227-3794
(63-082) 222-3606
www.uic.edu.ph
dean-graduateschool@uic.edu.ph
Office of the Dean of Graduate School

February 20, 2026

[redacted] CPA, MBA
Columbio, Sultan Kudarat

Dear Mr/Ms. [redacted]

The University of the Immaculate Conception Graduate School Department is excited to connect with you regarding an important research initiative.

We kindly request your support and approval for **MS. LOVELLA FAITH B. DIEZ,** one of our dedicated students who is pursuing her *Doctor in Business Management,* to conduct a study that will involve chosen business professionals in Region XII.

This request is in line with his/her research study entitled **"CAUGHT IN THE SCHEME: A MULTIPLE CASE STUDY ON THE EXPERIENCES AND MINDSETS OF BUSINESS PROFESSIONALS VICTIMIZED BY PONZI INVESTMENTS."**

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www.uic.edu.ph
dean-graduateschool@uic.edu.ph
Office of the Dean of Graduate School

February 20, 2026

[redacted] CPA
Koronadal, South Cotabato

Dear Mr/Ms. [redacted]

The University of the Immaculate Conception Graduate School Department is excited to connect with you regarding an important research initiative.

We kindly request your support and approval for **MS. LOVELLA FAITH B. DIEZ,** one of our dedicated students who is pursuing her *Doctor in Business Management,* to conduct a study that will involve chosen business professionals in Region XII.

This request is in line with his/her research study entitled **"CAUGHT IN THE SCHEME: A MULTIPLE CASE STUDY ON THE EXPERIENCES AND MINDSETS OF BUSINESS PROFESSIONALS VICTIMIZED BY PONZI INVESTMENTS."**

Your support in approving this research will help us foster a collaborative effort, encouraging innovation and academic growth.

We look forward to your positive response and sincerely appreciate your approval in advancing this meaningful endeavor.

Sincerely,

DR. MARY JANE B. AMOGUIS
Dean, Graduate School

Appendix B

Ethics Certificate

University of the Immaculate Conception
Rm 10, 3F, St. Joseph Bldg., Bonifacio Street, Davao City 8000, Philippines
227-8286 local 211
(63-082) 227-37-84
www.uic.edu.ph
rec@uic.edu.ph
Research Ethics Committee

ETHICAL CLEARANCE

February 18, 2026

LOVELLA FAITH DIEZ
University of Immaculate Conception
Bonifacio St., Davao City

Re: **CAUGHT IN THE SCHEME: A MULTIPLE CASE STUDY ON THE EXPERIENCES AND MINDSETS OF BUSINESS PROFESSIONALS VICTIMIZED BY PONZI INVESTMENTS**

Protocol Code: **GS-ER-01-26-0464**

Subject: **Ethical Clearance**

Dear **Ms. Diez:**

UIC-REC acknowledges the receipt of the following documents on February 15, 2026:

Revised manuscript: version2_Diez
ICF: version2_ICF_Diez

These new documents have incorporated the recommendations of the UIC-REC, as stipulated in the DECISION LETTER emailed to you, to improve the initial protocol and ICF that you submitted earlier for **EXPEDITED** review, which took place on February 3, 2026.

Upon further scrutiny of and deliberation on the revised documents, the UIC-REC is convinced that your research/investigation embodies a process that is responsible and ethically accountable; thus, ETHICAL CLEARANCE with a validity period of **one year**, February 19, 2026 to February 19, 2027 has been granted.

Please be advised to submit the Final Report Form once you completed the study. Likewise, submit a report using the forms should any part of your research methodology and ICF, as outlined in your submitted approved documents, change in any way.

A. Protocol Amendment
B. Progress Report
C. Protocol Deviation/Protocol Violation
D. Negative Event Report
E. Early Study Termination Report
F. Application for Renewal of Ethical Clearance two months before expiry

The UIC-REC wishes you all the best with this research undertaking.

Very truly yours,

Mona L. Laya, PhD
Chair, UIC-REC

Appendix C

Endorsement for Pre-finals Defense

University of the Immaculate Conception
Rm 10, 3F, St. Joseph Bldg., Bonifacio Street, Davao City 8000, Philippines
227-8286 local 211
(63-082) 227-37-94
www.uic.edu.ph
uic@uic.edu.ph
Research Ethics Committee

ENDORSEMENT FOR PRE-FINAL DEFENSE

March 17, 2026

LOVELLA FAITH DIEZ
University of the Immaculate Conception
Bonifacio Street, Davao City

Re: **CAUGHT IN THE SCHEME: A MULTIPLE CASE STUDY ON THE EXPERIENCES AND MINDSETS OF BUSINESS PROFESSIONALS VICTIMIZED BY PONZI INVESTMENTS**

Protocol Code: **GS-ER-01-26-0464**

Subject: **UIC-REC Endorsement for Pre-final Defense**

Dear **Ms. Diez:**

This is to acknowledge receipt of the following supporting documents on March 16, 2026.

- **Filled out Protocol Final Report Form**
- **Signed ICF**

Upon the verification of the submitted terminal documents, the UIC-REC officially approves and releases the Endorsement for Pre-final Defense for your study titled **CAUGHT IN THE SCHEME: A MULTIPLE CASE STUDY ON THE EXPERIENCES AND MINDSETS OF BUSINESS PROFESSIONALS VICTIMIZED BY PONZI INVESTMENTS.**

The UIC-REC commends your commitment to assure the technical and ethical merits of your investigation.

Very truly yours,

Mona L. Laya, PhD
Chair, UIC-REC

Appendix D

Interview Guide Questions

CAUGHT IN THE SCHEME: A MULTIPLE CASE STUDY ON THE EXPERIENCES AND MINDSETS OF BUSINESS PROFESSIONALS VICTIMIZED BY PONZI INVESTMENTS

Interview Guide

Duration: 45-60 minutes

I. Preparation of the interview equipment like an audio-video recorder.

II. Orientation of the Informants.

Good day, and thank you for participating in this in-depth interview (IDI), which will last approximately 45-60 minutes. My name is LOVELLA FAITH B. DIEZ, and I am currently writing my dissertation. I appreciate your willingness to engage in this discussion, and I want to assure you that all information gathered will be treated with the utmost confidentiality.

Before we begin, I would like to highlight a few essential points. First, this interview is conducted solely for research and academic purposes. Second, I will be using a voice recorder to document our conversation. Third, while I will maintain strict confidentiality, I encourage you to refer to each other by name during our discussion.

Your participation in this research is entirely voluntary. You have the right to choose whether or not to participate, and you may decline to answer any questions at any time. If any statements are unclear, please feel free to ask for clarification before we move on to the next question. Thank you again for your involvement.

Interview Guide

Time of Interview : _____
Date : _____
Interviewee (Name as optional) : _____
Code : _____
Case Type : _____
Age : _____
Gender : _____
Educational Attainment : _____
Nature of Business : _____
Estimated Amount Invested : _____

I. Introduction

Good day! I am Lovella Faith Diez, a student at the University of the Immaculate Conception in Davao City, pursuing a Doctorate Degree in Business Management. Currently, I am conducting research titled **"CAUGHT IN THE SCHEME: A MULTIPLE CASE STUDY ON THE EXPERIENCES AND MINDSETS OF BUSINESS PROFESSIONALS VICTIMIZED BY PONZI INVESTMENTS".**

I would like to invite you to participate in this research study, and your involvement is entirely voluntary. Please feel free to ask any questions about the study as I explain it to you, and I am happy to clarify any terms or concepts that may be unclear.

Your participation is vital to the success of this research. This in-depth interview aims to explore the experiences of fraud victims in the business sector. The session will take about 45 to 60 minutes, and I will record it to ensure accurate documentation of your responses. While I will take notes, recording will help capture everything. Rest assured, your responses will remain confidential, and no identifying information will be included in the final report. You can choose to skip any questions you prefer not to answer and can withdraw from the study at any time without any repercussions.

Additionally, the findings from this research will be directed toward regulatory bodies and policymakers in Region XII. Upon completion, I plan to share the results with financial institutions, providing them with insights that can help develop sustainable strategies to enhance their customer protection measures against Ponzi schemes. The study's outcomes will also be presented to academic institutions to ensure that the insights gained regarding financial fraud dynamics are integrated into future curriculum development and educational directives. Ultimately, this research aims to empower business owners and the general public by

promoting diverse awareness campaigns and programs that effectively support financial literacy and fraud prevention.

I want to acknowledge that you may experience some discomfort during the interview. You are free to skip any questions that may cause you psychological or emotional distress. Should you feel unable to continue discussing any topics, you have the option to withdraw from the study at any time. Your well-being is my top priority, and I truly value your participation. Please be aware that this research topic is sensitive; it focuses on documenting your experiences and the psychological and behavioral factors that led you as a business sector individual to fall victim to a Ponzi investment scheme.

II. Interview Proper

RESEARCH QUESTION 1: **What are the experiences and challenges of fraud victims from the business sector before and after their involvement in the Ponzi scheme?**	
1.1	Can you briefly describe your business and role before your involvement in the scheme? <u>Probing questions:</u> 1.1.1 Can you tell me more about the specific industry or sector your business belonged to, like if it was agriculture-related, retail, services, or something else? 1.1.2 What was your business like at that time—its size, market, and overall financial condition? 1.1.3 What kind of decisions were you involved in, especially regarding finances or investments?
1.2	How did you first learn about the investment opportunity? <u>Probing questions:</u> 1.2.1 What is the name of the scheme, how did it operate in detail, and what made it appealing or trustworthy at the time? 1.2.2 Did you verify or investigate the scheme before joining? How? 1.2.3 Were you pressured to decide quickly? If so, by whom or how?
1.3	What persuaded and motivated you to invest in the Ponzi scheme?

		Probing questions: 1.3.1 What specific promises or returns were highlighted that initially convinced you the Ponzi scheme was a legitimate and worthwhile opportunity? 1.3.2 Beyond the financial aspects, were there any personal connections, endorsements, or perceived authorities that influenced your decision to trust and invest in the scheme?
1.4	What were your expectations from the investment at the time?	Probing questions: 1.4.1 When you invested, what specific financial outcomes (e.g., returns, timeframe for profit, how it would impact your financial goals) were you anticipating? 1.4.2 Beyond just the money, what did you believe this investment would allow you to do or achieve in your life?
1.5	Can you describe what is it like being involved in the scheme?	Probing questions: 1.5.1 What strategies, channels, or messages were used by the scheme promoters to gain your trust? 1.5.2 Did you participate in promoting it or recruiting others? 1.5.3 Were there any moments when you had doubts about the scheme's legitimacy?
1.6	At what point did you begin to suspect something was wrong, and how did you finally realize it was a scam?	Probing questions: 1.6.1 How did you discover or realize it was a Ponzi scheme? 1.6.2 What were the warning signs you noticed?
1.7	What emotional, psychological, financial, or reputational challenges did you face after realizing you were scammed?	Probing questions:

	1.7.1	Did your reputation or business suffer?
	1.7.2	How did the experience affect your mindset or emotional well-being? Immediately after? In the long-term?
	1.7.3	Looking back, what would you say was the most painful or challenging part of the entire experience?
	1.7.4	Did you seek support (legal, emotional, social)? Why or why not?
1.8	Based on your experience and observations, what are your thoughts on why Ponzi schemes seem to persist and attract so many victims, even within the business sector?	
	Probing questions:	
	1.8.1	How do you think these schemes continue to exist or grow?
	1.8.2	In your opinion, why do many people still fall for them?

RESEARCH QUESTION 2:

What lessons have victims learned from their experiences that could enhance financial literacy programs and strengthen fraud prevention measures in Region XII?

2.1	What were the biggest realizations you had about money, investments, and financial risks after the scheme collapsed?	
	Probing questions:	
	2.1.1	How did this experience affect your business operations, personal finances, and relationships?
	2.1.2	If you encountered a similar investment opportunity today, what would you do differently?
2.2	What key lessons did this experience teach you about making financial and investment decisions?	
	Probing questions:	
	2.2.1	How has your perspective on investments changed since then?

	2.2.2	What advice would you give to fellow business professionals based on your experience?
2.3	Do you believe your financial education at the time was sufficient to help you avoid this type of fraud? Why or why not?	
	Probing questions:	
	2.3.1	What specific financial knowledge or skills do you think you lacked at that time?
	2.3.2	What aspects of financial literacy should be emphasized to prevent similar cases?
2.4	Considering the context of Region XII, what improvements are needed in financial literacy education or fraud prevention efforts?	
	Probing questions:	
	2.4.1	Are financial education programs and fraud warnings accessible and adequate in your area?
	2.4.2	What roles should government agencies, financial institutions, or business organizations play?
2.5	If you were to design a financial literacy and fraud prevention session, what topics or advice would you include?	
	Probing questions:	
	2.5.1	What warning signs should participants be trained to recognize?
	2.5.2	What simple, actionable steps can individuals take to protect themselves from investment fraud?

III. Closing Statement

I am truly grateful for your active participation in this study. Your valuable time, confidence, and trust have greatly enriched my academic and research experience. Upon completion of the study, a copy will be sent to you for your evaluation, feedback, and comments to ensure that your ideas are incorporated into the final product. In 2026, the research findings from this

study will be shared at regional and global conferences and forums. Furthermore, the results will be submitted to a reputable journal for publication.

Appendix E

Validation Forms

University of the Immaculate Conception
GRADUATE SCHOOL

DGS – FO – 022
Rev. 01 / 10/01/2016
Approved by: IQAC

VALIDATION FORM FOR THE QUALITATIVE RESEARCH GUIDE QUESTIONNAIRE

Control No.: _____

Name of Evaluator: PRESENTACION C. ACOSTA
Degree: DBM
Position: _____
Number of Years in Teaching and Research: _____

To the Evaluator:

Using this assessment form, kindly determine the validity of the attached instrument in relation to the purpose of the study; specifically with regard to the research questions as stipulated (See also the attached documents revealing the Title and Purpose of the Study). There are three areas to be examined, namely, Introduction Key Components, Questions, and Closing Key Components. The question items must be evaluated in terms of their clarity, suitability, understandability, and ability to elicit personal narratives, comments, opinions, and insights from the research participants. Please check the corresponding rating and write the necessary remarks.

SECTIONS	ITEMS	EVALUATION		
		YES	NO	REMARKS
Introduction Key Components	1. Is there an opening statement expressing gratitude to the research participant for his or her willingness to join the session?	/		
	2. Does this section of the questionnaire reveal the name of the researcher? (i.e the researcher introducing himself or herself)	/		
	3. Is the purpose explicitly stated?	/		
	4. Is the duration of the session clearly stipulated?	/		
	5. Is there a statement assuring the research participant of the confidentiality of his or her responses?	/		
	6. Does this section explain how the in-depth interview or the focus group discussion be conducted?	/		
	7. Does this section include a statement assuring the research participant of his or her opportunity to be clarified further	/		

University of the Immaculate Conception
GRADUATE SCHOOL

DGS – FO – 022
Rev. 01 / 10/01/2016
Approved by: IQAC

VALIDATION FORM FOR THE QUALITATIVE RESEARCH GUIDE QUESTIONNAIRE

Control No.: _____

	before proceeding to the intended activity?			
	8. Does this section provide spaces for the signature of the research participant?		/	**ICF**
	9. Does it require a witness to sign?		**NA**	
	10. Does this section stipulate the need for a legal guardian to sign as in the case of a research participant under 18 years of age?		**NA**	
Questions	11. Are there no more than 15 questions (i. e. no more than 3 research questions with no more than 5 probing questions each)?	/		
	12. Are factual questions asked first before the probing questions?	/		
	13. Are there questions requiring the participant to describe his or her experiences?	/		
	14. Are there questions requiring the participant to explain the meaning of his or her shared experiences?	/		
	15. Are the vocabulary level and language structure of the questions appropriate to the age and capability of the research participant?	/		
	16. Are the questions clear and understandable?	/		
	17. Do the questions possess the ability to elicit qualitative data relevant to the attainment of the objectives of the study?	/		

University of the Immaculate Conception
GRADUATE SCHOOL

DGS – FO – 022
Rev. 01 / 10/01/2016
Approved by: IQAC

VALIDATION FORM FOR THE QUALITATIVE RESEARCH GUIDE QUESTIONNAIRE

Control No.: _____

Closing Key Components	18. Does this section guarantee the participant of his or her chance to give additional comments?	/		
	19. Does this section inform the research participant of the researcher's plan regarding the data being collected, its analysis, and the corresponding report and what the researcher would do next?	/		
	20. Does this section of the questionnaire express gratitude to the research participant?	/		

Presentacion C. Acosta

PRESENTACION C. ACOSTA
Evaluator's Name and Signature

University of the Immaculate Conception
GRADUATE SCHOOL

DGS – FO – 022
Rev. 01 / 10/01/2016
Approved by: IQAC

VALIDATION FORM FOR THE QUALITATIVE RESEARCH GUIDE QUESTIONNAIRE

Control No.: _____

Name of Evaluator: **MARY JANE B. AMOGUIS, DBM**
Degree: **Doctor in Business Management**
Position: **Graduate School Faculty**
Number of Years in Teaching and Research: 16

To the Evaluator:

Using this assessment form, kindly determine the validity of the attached instrument in relation to the purpose of the study; specifically with regard to the research questions as stipulated (See also the attached documents revealing the Title and Purpose of the Study). There are three areas to be examined, namely, Introduction Key Components, Questions, and Closing Key Components. The question items must be evaluated in terms of their clarity, suitability, understandability, and ability to elicit personal narratives, comments, opinions, and insights from the research participants. Please check the corresponding rating and write the necessary remarks.

SECTIONS	ITEMS	EVALUATION		
		YES	NO	REMARKS
Introduction Key Components	1. Is there an opening statement expressing gratitude to the research participant for his or her willingness to join the session?	/		
	2. Does this section of the questionnaire reveal the name of the researcher? (i.e the researcher introducing himself or herself)	/		
	3. Is the purpose explicitly stated?	/		
	4. Is the duration of the session clearly stipulated?	/		
	5. Is there a statement assuring the research participant of the confidentiality of his or her responses?	/		
	6. Does this section explain how the in-depth interview or the focus group discussion be conducted?	/		
	7. Does this section include a statement assuring the research participant of his or her opportunity to be clarified further before proceeding to the intended activity?	/		
	8. Does this section provide spaces for the signature of the research participant?		/	
	9. Does it require a witness to sign?		/	
	10. Does this section stipulate the need for a legal guardian to sign as in the case of a research participant under 18 years of age?		/	

University of the Immaculate Conception
GRADUATE SCHOOL

DGS – FO – 022
Rev. 01 / 10/01/2016
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VALIDATION FORM FOR THE QUALITATIVE RESEARCH GUIDE QUESTIONNAIRE

Control No.: _____

Questions	11. Are there no more than 15 questions (i. e. no more than 3 research questions with no more than 5 probing questions each)?	/		
	12. Are factual questions asked first before the probing questions?	/		
	13. Are there questions requiring the participant to describe his or her experiences?	/		
	14. Are there questions requiring the participant to explain the meaning of his or her shared experiences?	/		
	15. Are the vocabulary level and language structure of the questions appropriate to the age and capability of the research participant?	/		
	16. Are the questions clear and understandable?	/		
	17. Do the questions possess the ability to elicit qualitative data relevant to the attainment of the objectives of the study?	/		
Closing Key Components	18. Does this section guarantee the participant of his or her chance to give additional comments?	/		
	19. Does this section inform the research participant of the researcher's plan regarding the data being collected, its analysis, and the corresponding report and what the researcher would do next?		/	
	20. Does this section of the questionnaire express gratitude to the research participant?	/		

Remarks:

Address all the comments and suggestions and and those tagged "No" in this form.

MARIANNE B. AMOGUIS

Signature over Printed Name

University of the Immaculate Conception
GRADUATE SCHOOL

DGS – FO – 022
Rev. 01 / 10/01/2016
Approved by: IQAC

VALIDATION FORM FOR THE QUALITATIVE RESEARCH GUIDE QUESTIONNAIRE

Control No.: _____

Name of Evaluator: **JOSIE D. FUENTES, DM**
Degree: _____
Position: _____
Number of Years in Teaching and Research: _____

To the Evaluator:

Using this assessment form, kindly determine the validity of the attached instrument in relation to the purpose of the study; specifically with regard to the research questions as stipulated (See also the attached documents revealing the Title and Purpose of the Study). There are three areas to be examined, namely, Introduction Key Components, Questions, and Closing Key Components. The question items must be evaluated in terms of their clarity, suitability, understandability, and ability to elicit personal narratives, comments, opinions, and insights from the research participants. Please check the corresponding rating and write the necessary remarks.

SECTIONS	ITEMS	EVALUATION		
		YES	NO	REMARKS
Introduction Key Components	1. Is there an opening statement expressing gratitude to the research participant for his or her willingness to join the session?	/		
	2. Does this section of the questionnaire reveal the name of the researcher? (i.e the researcher introducing himself or herself)	/		
	3. Is the purpose explicitly stated?	/		
	4. Is the duration of the session clearly stipulated?	/		
	5. Is there a statement assuring the research participant of the confidentiality of his or her responses?	/		
	6. Does this section explain how the in-depth interview or the focus group discussion be conducted?	/		
	7. Does this section include a statement assuring the research participant of his or her opportunity to be clarified further	/		

University of the Immaculate Conception
GRADUATE SCHOOL

DGS – FO – 022
Rev. 01 / 10/01/2016
Approved by: IQAC

VALIDATION FORM FOR THE QUALITATIVE RESEARCH GUIDE QUESTIONNAIRE

Control No.: _____

	before proceeding to the intended activity?			
	8. Does this section provide spaces for the signature of the research participant?	/		
	9. Does it require a witness to sign?	/		
	10. Does this section stipulate the need for a legal guardian to sign as in the case of a research participant under 18 years of age?		/	
Questions	11. Are there no more than 15 questions (i. e. no more than 3 research questions with no more than 5 probing questions each)?	/		
	12. Are factual questions asked first before the probing questions?	/		
	13. Are there questions requiring the participant to describe his or her experiences?	/		
	14. Are there questions requiring the participant to explain the meaning of his or her shared experiences?	/		
	15. Are the vocabulary level and language structure of the questions appropriate to the age and capability of the research participant?	/		
	16. Are the questions clear and understandable?	/		
	17. Do the questions possess the ability to elicit qualitative data relevant to the attainment of the objectives of the study?	/		

University of the Immaculate Conception
GRADUATE SCHOOL

DGS – FO – 022
Rev. 01 / 10/01/2016
Approved by: IQAC

VALIDATION FORM FOR THE QUALITATIVE RESEARCH GUIDE QUESTIONNAIRE

Control No.: _____

Closing Key Components	18. Does this section guarantee the participant of his or her chance to give additional comments?	/		
	19. Does this section inform the research participant of the researcher's plan regarding the data being collected, its analysis, and the corresponding report and what the researcher would do next?	/		
	20. Does this section of the questionnaire express gratitude to the research participant?	/		

_____ **_DR. JOSIE D. FUENTES ___**
Evaluator's Name and Signature

University of the Immaculate Conception
GRADUATE SCHOOL

DGS – FO – 022
Rev. 01 / 10/01/2016
Approved by: IQAC

VALIDATION FORM FOR THE QUALITATIVE RESEARCH GUIDE QUESTIONNAIRE

Control No.: _____

Name of Evaluator: EMMA V. SAGARINO
Degree: _____
Position: _____
Number of Years in Teaching and Research: _____

To the Evaluator:

Using this assessment form, kindly determine the validity of the attached instrument in relation to the purpose of the study; specifically with regard to the research questions as stipulated (See also the attached documents revealing the Title and Purpose of the Study). There are three areas to be examined, namely, Introduction Key Components, Questions, and Closing Key Components. The question items must be evaluated in terms of their clarity, suitability, understandability, and ability to elicit personal narratives, comments, opinions, and insights from the research participants. Please check the corresponding rating and write the necessary remarks.

SECTIONS	ITEMS	EVALUATION		
		YES	NO	REMARKS
Introduction Key Components	1. Is there an opening statement expressing gratitude to the research participant for his or her willingness to join the session?	✓		
	2. Does this section of the questionnaire reveal the name of the researcher? (i.e the researcher introducing himself or herself)	✓		
	3. Is the purpose explicitly stated?	✓		
	4. Is the duration of the session clearly stipulated?	✓		
	5. Is there a statement assuring the research participant of the confidentiality of his or her responses?	✓		c/o ICF
	6. Does this section explain how the in-depth interview or the focus group discussion be conducted?	✓		
	7. Does this section include a statement assuring the research participant of his or her opportunity to be clarified further before proceeding to the intended activity?	✓		
	8. Does this section provide spaces for the signature of the research participant?	✓		
	9. Does it require a witness to sign?			NA
	10. Does this section stipulate the need for a legal guardian to sign as in the case of a			NA

University of the Immaculate Conception
GRADUATE SCHOOL

DGS – FO – 022
Rev. 01 / 10/01/2016
Approved by: IQAC

VALIDATION FORM FOR THE QUALITATIVE RESEARCH GUIDE QUESTIONNAIRE

Control No.: _____

	research participant under 18 years of age?			
Questions	11. Are there no more than 15 questions (i. e. no more than 3 research questions with no more than 5 probing questions each)?	✓		
	12. Are factual questions asked first before the probing questions?	✓		
	13. Are there questions requiring the participant to describe his or her experiences?	✓		
	14. Are there questions requiring the participant to explain the meaning of his or her shared experiences?			NA
	15. Are the vocabulary level and language structure of the questions appropriate to the age and capability of the research participant?	✓		
	16. Are the questions clear and understandable?	✓		
	17. Do the questions possess the ability to elicit qualitative data relevant to the attainment of the objectives of the study?	✓		
Closing Key Components	18. Does this section guarantee the participant of his or her chance to give additional comments?	✓		
	19. Does this section inform the research participant of the researcher's plan regarding the data being collected, its analysis, and the corresponding report and what the researcher would do next?	✓		
	20. Does this section of the questionnaire express gratitude to the research participant?	✓		

EMMA V. SAGABINO
Evaluator's Name and Signature

University of the Immaculate Conception
GRADUATE SCHOOL

DGS – FO– 022

Rev. 01 / 10/01/2016

VALIDATION FORM FOR THE QUALITATIVE RESEARCH GUIDE QUESTIONNAIRE

Control No.: _____

Name of Evaluator: Dr. MONA LAYA
Degree: PhD – Organization Study
Position: Faculty
Number of Years in Teaching and Research: 20

To the Evaluator:

Using this assessment form, kindly determinalidity of the attached instrument in relation to the purpose of the study; specifically with regard to the research questions as stipulated (See also the attached documents revealing the Title and Purpose of the Study). There are three areas to be examined, namely, Introduction Key Components, Questions, and Closing Key Components. The question items must be evaluated in terms of their clarity, suitability, understandability, and ability to elicit personal narratives, comments, opinions, and insights from the research participants. Please check the corresponding rating and write the necessary remarks.

SECTIONS	ITEMS	EVALUATION		
		YES	NO	REMARKS
Introduction Key Components	1. Is there an opening statement expressing gratitude to the research participant for his or her willingness to join the session?	/		
	2. Does this section of the questionnaire reveal the name of the researcher? (i.e the researcher introducing himself or herself)	/		
	3. Is the purpose explicitly stated?	/		
	4. Is the duration of the session clearly stipulated?	/		
	5. Is there a statement assuring the research participant of the confidentiality of his or her responses?	/		
	6. Does this section explain how the in-depth interview or the focus group discussion be conducted?	/		
	7. Does this section include a statement assuring the research participant of his or her opportunity to be clarified further before proceeding to the intended activity?	/		
	8. Does this section provide spaces for the signature of the research participant?	/		
	9. Does it require a witness to sign?		/	
	10. Does this section stipulate the need for a legal guardian to sign as in the case of a research participant under 18 years of age?		/	

University of the Immaculate Conception
GRADUATE SCHOOL

DGS – FO– 022

Rev. 01 / 10/01/2016

VALIDATION FORM FOR THE QUALITATIVE RESEARCH GUIDE QUESTIONNAIRE

Control No.: _____

Questions	11. Are there no more than 15 questions (i. e. no more than 3 research questions with no more than 5 probing questions each)?	/		
	12. Are factual questions asked first before the probing questions?	/		
	13. Are there questions requiring the participant to describe his or her experiences?	/		
	14. Are there questions requiring the participant to explain the meaning of his or her shared experiences?	/		
	15. Are the vocabulary level and language structure of the questions appropriate to the age and capability of the research participant?	/		
	16. Are the questions clear and understandable?	/		
	17. Do the questions possess the ability to elicit qualitative data relevant to the attainment of the objectives of the study?	/		
Closing Key Components	18. Does this section guarantee the participant of his or her chance to give additional comments?	/		
	19. Does this section inform the research participant of the researcher's plan regarding the data being collected, its analysis, and the corresponding report and what the researcher would do next?	/		
	20. Does this section of the questionnaire express gratitude to the research participant?	/		

Signed : DR. MONA LAYA
Signature over printed name

Appendix F

Sample Informed Consent Form

University of the Immaculate Conception
Research Ethics Committee (REC)
Bonifacio Street, Davao City, Philippines

REC_FO_0031
Control No.: _____

Ethics Informed Consent Form (ICF)

Informed Consent Form for CAUGHT IN THE SCHEME: A MULTIPLE CASE STUDY ON THE EXPERIENCES AND MINDSETS OF BUSINESS PROFESSIONALS VICTIMIZED BY PONZI INVESTMENTS

Name of the Researcher(s) LOVELLA FAITH B. DIEZ

Institution: UNIVERSITY OF THE IMMACULATE CONCEPTION

INTRODUCTION

You are invited to participate in a research study conducted by LOVELLA FAITH B. DIEZ, at the University of the Immaculate Conception, because you fit the inclusion criteria for informants of our study.

Your participation is completely voluntary. Please read the information below, and ask questions about anything you do not understand, before deciding whether to participate. Please take as much time as you need to read the consent form. You may also decide to discuss participation with your family or friends.

If you decide to participate, you will be asked to sign this form. You will be given a copy of this form.

PURPOSE OF THE STUDY

The purpose of this qualitative multiple-case study is to explore the experiences, motivations, and mindsets of victims of Ponzi schemes within the business sector in Region XII.

STUDY PROCEDURES

If you volunteer to participate in this study, the following will take place:

- You will sign an Informed Consent Form (ICF) to signify your voluntary participation. To ensure full clarity, a briefing will be conducted, and all forms and instruments are translated into Filipino or your local dialect.
- You will participate in a face-to-face interview conducted by the researcher or a qualified research assistant with expertise in empathetic data collection.
- You will engage in a private session lasting 60 to 90 minutes in a secure, comfortable location of your choice to ensure confidentiality.
- The researcher will seek your permission to digitally record the session for accuracy. This will be supplemented by field notes to capture important contextual details.
- Your interview will be scheduled at your convenience between January and March 2026, ensuring it does not interfere with your personal or professional duties.

POTENTIAL RISKS AND DISCOMFORTS

- *The topic of this interview involves sensitive subject matter. Because of this, you may choose to skip any questions that cause you psychological or emotional distress.*

- *You may opt to stop the interview or withdraw from the study at any time if you feel uncomfortable or believe you cannot discuss the information being requested.*
- *I value your participation and will place your welfare as the highest priority throughout this process.*
- *Your comfort and safety are more important than the completion of the interview, and your decision to skip questions or withdraw will be fully respected.*

POTENTIAL BENEFITS TO PARTICIPANTS AND/OR TO SOCIETY

This study can generate relevant information that can be useful to regulatory bodies, policymakers, academic institutions, financial institutions, and business owners in Region XII. Likewise, this can also contribute to the improvement of financial security and consumer protection services in the said region. It is hoped that the findings of this study can pave the way for more robust legal frameworks and effective early warning systems as well as better financial literacy and investor resilience.

A solid framework for the financial security of the business sector can also be established through the identification of psychological, social, and structural factors that affect investment decisions and fraud victimization. Furthermore, the results of this study can serve as a basis for future research on the development of innovative fraud prevention solutions and policies that can address the challenges faced by business professionals in the region.

This study may help business owners better understand the impact of deceptive persuasion tactics and internal vulnerabilities on their operations and adapt accordingly. The findings may provide business owners with industry-boosting strategies to improve their risk management practices and increase their security in the market. Additionally, policymakers can use the results of this study to develop targeted interventions that can support business sector individuals in the region and improve overall financial outcomes for the population

DATA PRIVACY AND CONFIDENTIALITY

The study will ensure the privacy and confidentiality of your information. In strict adherence to the Data Privacy Act of 2012 (Republic Act 10173), the researcher will protect your fundamental human rights to privacy and information security. Your responses will be treated with the highest respect, and your identities will be safeguarded, enabling you to participate without fear. In this study, any identifiable information obtained in relevance to the study will remain confidential, except if necessary to protect your rights or welfare. This section of the informed consent ensures that the researcher will resist the release of information about your participation to people who are not connected with the study.

Files containing your information will be named using codes or pseudonyms recognizable only by the researcher. To ensure long-term privacy, all collected data—including recordings, transcripts, and field notes—will be stored in a secure, encrypted digital environment and a locked physical cabinet for a period of five (5) years. After this duration, all digital files will be permanently deleted and physical documents will be shredded to prevent any unauthorized recovery. Furthermore, when the results of the research are published or discussed in research conferences, no identifiable information will ever be used.

VOLUNTARINESS OF PARTICIPATION AND RIGHTS TO WITHDRAW FROM THE RESEARCH

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REIMBURSEMENT AND COMPENSATION

You will be given a reasonable incentive, which is a sign of gratitude for helping the researcher accomplish the study. This incentive will be in the form of a cellphone load or GCash.

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[redacted]
Signature above Printed Name of Participant

1/12/20
Date Signed

University of the Immaculate Conception
Research Ethics Committee (REC)
Bonifacio Street, Davao City, Philippines

REC_FO_0031
Control No.: _____

To be accomplished by the Researcher Obtaining Consent:

I have explained the research to the participant and answered all of his/her questions. I believe that he/she understands the information described in this document and freely consents to participate.

LOVELLA FAITH B. DIEZ
Name of Person Obtaining Consent

JANUARY 22, 2026
Date Signed

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Research Ethics Committee (REC)
Bonifacio Street, Davao City, Philippines

REC_FO_0031
Control No.: _____

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[redacted]
Signature above Printed Name of Participant

8-10-24
Date Signed

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Research Ethics Committee (REC)
Bonifacio Street, Davao City, Philippines

REC_FO_0031
Control No.: _____

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Name of Person Obtaining Consent

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[redacted]
Signature above Printed Name of Participant

2-22-24
Date Signed

University of the Immaculate Conception
Research Ethics Committee (REC)
Bonifacio Street, Davao City, Philippines

REC_FO_0031
Control No.: _____

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2-21-2026
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The purpose of this qualitative multiple-case study is to explore the experiences, motivations, and mindsets of victims of Ponzi schemes within the business sector in Region XII.

STUDY PROCEDURES

If you volunteer to participate in this study, the following will take place:

- You will sign an Informed Consent Form (ICF) to signify your voluntary participation. To ensure full clarity, a briefing will be conducted, and all forms and instruments are translated into Filipino or your local dialect.
- You will participate in a face-to-face interview conducted by the researcher or a qualified research assistant with expertise in empathetic data collection.
- You will engage in a private session lasting 60 to 90 minutes in a secure, comfortable location of your choice to ensure confidentiality.
- The researcher will seek your permission to digitally record the session for accuracy. This will be supplemented by field notes to capture important contextual details.
- Your interview will be scheduled at your convenience between January and March 2026, ensuring it does not interfere with your personal or professional duties.

University of the Immaculate Conception
Research Ethics Committee (REC)
Bonifacio Street, Davao City, Philippines

REC_FO_0031
Control No.: _____

POTENTIAL RISKS AND DISCOMFORTS

- *The topic of this interview involves sensitive subject matter. Because of this, you may choose to skip any questions that cause you psychological or emotional distress.*
- *You may opt to stop the interview or withdraw from the study at any time if you feel uncomfortable or believe you cannot discuss the information being requested.*
- *I value your participation and will place your welfare as the highest priority throughout this process.*
- *Your comfort and safety are more important than the completion of the interview, and your decision to skip questions or withdraw will be fully respected.*

POTENTIAL BENEFITS TO PARTICIPANTS AND/OR TO SOCIETY

This study can generate relevant information that can be useful to regulatory bodies, policymakers, academic institutions, financial institutions, and business owners in Region XII. Likewise, this can also contribute to the improvement of financial security and consumer protection services in the said region. It is hoped that the findings of this study can pave the way for more robust legal frameworks and effective early warning systems as well as better financial literacy and investor resilience.

A solid framework for the financial security of the business sector can also be established through the identification of psychological, social, and structural factors that affect investment decisions and fraud victimization. Furthermore, the results of this study can serve as a basis for future research on the development of innovative fraud prevention solutions and policies that can address the challenges faced by business professionals in the region.

This study may help business owners better understand the impact of deceptive persuasion tactics and internal vulnerabilities on their operations and adapt accordingly. The findings may provide business owners with industry-boosting strategies to improve their risk management practices and increase their security in the market. Additionally, policymakers can use the results of this study to develop targeted interventions that can support business sector individuals in the region and improve overall financial outcomes for the population

DATA PRIVACY AND CONFIDENTIALITY

The study will ensure the privacy and confidentiality of your information. In strict adherence to the Data Privacy Act of 2012 (Republic Act 10173), the researcher will protect your fundamental human rights to privacy and information security. Your responses will be treated with the highest respect, and your identities will be safeguarded, enabling you to participate without fear. In this study, any identifiable information obtained in relevance to the study will remain confidential, except if necessary to protect your rights or welfare. This section of the informed consent ensures that the researcher will resist the release of information about your participation to people who are not connected with the study.

Files containing your information will be named using codes or pseudonyms recognizable only by the researcher. To ensure long-term privacy, all collected data—including recordings, transcripts, and field

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notes—will be stored in a secure, encrypted digital environment and a locked physical cabinet for a period of five (5) years. After this duration, all digital files will be permanently deleted and physical documents will be shredded to prevent any unauthorized recovery. Furthermore, when the results of the research are published or discussed in research conferences, no identifiable information will ever be used.

VOLUNTARINESS OF PARTICIPATION AND RIGHTS TO WITHDRAW FROM THE RESEARCH

Your participation is voluntary. Your refusal to participate will involve no penalty or loss of benefits to which you are otherwise entitled. You may withdraw your consent at any time and discontinue participation without penalty. You are not waiving any legal claims, rights, or remedies because of your participation in this research study.

REIMBURSEMENT AND COMPENSATION

You will be given a reasonable incentive, which is a sign of gratitude for helping the researcher accomplish the study. This incentive will be in the form of a cellphone load or GCash.

INVESTIGATOR'S and ADVISER'S CONTACT INFORMATION

If you have any questions or concerns about the research, please feel free to contact the researcher through the mobile phone number +639381982327 or through email at Idiez_230000000764@uic.edu.ph; or if you need to see her, she can be located at Brgy. Perez, Kidapawan City, Cotabato; or you may contact her research adviser Dr. Gloria gempes, through her email ggempes@uic.edu.ph. Her adviser is the research consultant of the University of the Immaculate Conception Graduate School, Bonifacio Street, Davao City.

RIGHTS OF RESEARCH PARTICIPANT

If you have questions, concerns, or complaints about your right as a research participant or the research in general and are unable to contact the research team, or if you want to talk to someone independent of the research team, please contact the University of the Immaculate Conception Research Ethics Committee at 227-4860 or 2061- local 211.

RESEARCH PARTICIPANT'S CONSENT

I have read the information provided above. I have been given a chance to ask questions. My questions have been answered to my satisfaction, and I agree to participate in this study. I have been given a copy of this form. I can withdraw my consent at any time and discontinue participation without penalty.

[redacted]
Signature above Printed Name of Participant

2/20/20
Date Signed

University of the Immaculate Conception
Research Ethics Committee (REC)
Bonifacio Street, Davao City, Philippines

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Control No.: _____

To be accomplished by the Researcher Obtaining Consent:

I have explained the research to the participant and answered all of his/her questions. I believe that he/she understands the information described in this document and freely consents to participate.

LOVELLA FAITH B. DIEZ — **Name of Person Obtaining Consent**

JANUARY 22, 2026 — **Date Signed**

Appendix G

Certificate of Debriefing

Certificate of Debriefing

This is to certify that the research entitled **"CAUGHT IN THE SCHEME: A MULTIPLE CASE STUDY ON THE EXPERIENCES AND MINDSETS OF BUSINESS PROFESSIONALS VICTIMIZED BY PONZI INVESTMENTS"** has undergone peer debriefing. The research observed and employed enough information to establish credibility, transferability, dependability, and confirmability in this research study.

The researcher followed a careful and organized process in gathering all the needed information. The researcher also asked for approval from experts to help check and validate the study.

The study used rich and reliable data, which helped strengthen its credibility. The researcher also gave clear explanations and discussions so that other researcher can judge whether the results can be applied to other situations or contexts.

Lastly, all collected information was properly sorted and grouped. Everything was kept safe and confidential.

Certified by:

HANNAH MAE PAALAN, MS, RPsy, RPm
Psychologist, License Number 0001695

Appendix H

Certificate of Member Checking

Certificate of Member Checker

This is to certify that the results or the summary of the interview incorporating the themes of the study entitled **"CAUGHT IN THE SCHEME: A MULTIPLE CASE STUDY ON THE EXPERIENCES AND MINDSETS OF BUSINESS PROFESSIONALS VICTIMIZED BY PONZI INVESTMENTS"** has been checked by the undersigned.

Signed by:



Jerson S. Catoto, PhD

Signature over printed name

Appendix I

AI use Declaration and Contextualization

AI USE DECLARATION AND CONTEXTUALIZATION

Research Section	**AI Tool Used**	**Purpose / Type of Assistance**	**Researcher's Contextualization, Verification, and Refinement**
Rationale	SciSpace (scispace.com), Grammarly	Assisted in locating and summarizing available academic resources related to Ponzi scheme literature	Researcher manually verified all references for credibility, recency, and relevance; cross-checked citations against primary sources; excluded non-peer-reviewed materials
Theoretical Lens	ChatGPT (GPT-5), Grammarly	Suggested a relative theories to the study.	Researcher reviewed all suggested edits.
Review of Related Literature (RRL)	Claude (Anthropic) Grammarly SciSpace (scispace.com)	Drafted summary paragraphs synthesizing content across thematic sections as per cited journals. Grammar, syntax, and clarity editing of drafted RRL passages Assisted in locating and summarizing available academic resources related	Researcher validated all AI-generated summaries against original peer-reviewed sources (APA PsycInfo, Scopus); revised and contextualized findings within the Filipino fitness culture; integrated locally relevant studies not surfaced by AI Researcher reviewed all suggested edits for academic tone and appropriateness before accepting changes Researcher manually verified all references for credibility, recency, and relevance; cross-

		to Ponzi scheme literature	checked citations against primary sources; excluded non-peer-reviewed materials
Research Methods	ChatGPT (GPT-5), Grammarly	Provided guidance on structuring, organizing, and articulating the methodological section in an academically appropriate manner.	Methodological descriptions were systematically audited against established qualitative research standards to ensure technical accuracy. Subsequently, the narrative was refined to more precisely reflect the nuances of the real-world data collection and analysis processes.
Discussion	GeminiAI	Provided an overview of the implications	The researcher run through with the implications by looking into the lens of every participant. This guides the researcher in deepening the discussions.
Results	Gemini	Assisted with translating responses from the local vernacular into English.	Ensured that translations accurately and reliably conveyed the intended meaning of the original responses.
	SciSpace (scispace.com)	Assisted in locating and summarizing available academic resources related to the emergent themes.	Researcher manually verified all references for credibility, recency, and relevance; cross-checked citations against primary sources; excluded non-peer-reviewed materials

Declaration Statement

I, the undersigned, declare that Artificial Intelligence (AI) tools were used only to assist in language, structure, and organizational suggestions throughout the writing of this research.

The generation of codes, categories, memos, and theory construction were entirely conducted by the researcher following grounded theory protocols.
All AI-assisted outputs were reviewed, contextualized, and reinterpreted to ensure alignment with actual data, cultural relevance, and academic integrity.

Researcher's Name and Signature: **LOVELLA FAITH B. DIEZ**
Date: April 11, 2026

Adviser's Name and Signature: **DR.GLORIA GEMPES**

Appendix J

Editor Certificate

May 02, 2026

To Whom It May Concern:

This is to certify that the dissertation entitled "***Caught in the Scheme: A Multiple Case Study on the Experiences and Mindsets of Business Professionals Victimized by Ponzi Investments,***" prepared, submitted, and defended by **Lovella Faith B. Diez** of the Doctor in Business Management program, has been reviewed, proofread, and edited in accordance with accepted English language standards for academic writing. This ensures the quality of the paper in terms of grammar, composition, and overall presentation.

Signed this 2nd day of May 2026 at the University of the Immaculate Conception, Davao City, Philippines.

Gloria Gempes

Gloria P. Gempes, Ed.D, DM, Phd
Editor
University of the Immaculate Conception

Appendix K

Certificate of Originality

University of the Immaculate Conception
GRADUATE SCHOOL

CERTIFICATE OF ORIGINALITY

DGS – FO – 021
Rev. 01 / 10/01/2016
Approved by: IQAC

Control No.: _____

Date May 02, 2026

I hereby declare that this submission is my own work and that, to the best of my knowledge and belief, it contains no material previously published or written by another person nor material to which to a substantial extent has been expected for award of any degree or diploma of a university or other institute of higher learning, except where due acknowledgement is made in the text.

I also declare that the intellectual content of this thesis/dissertation is the product of my work, even though I may have received assistance from others on style, presentation and language expression.

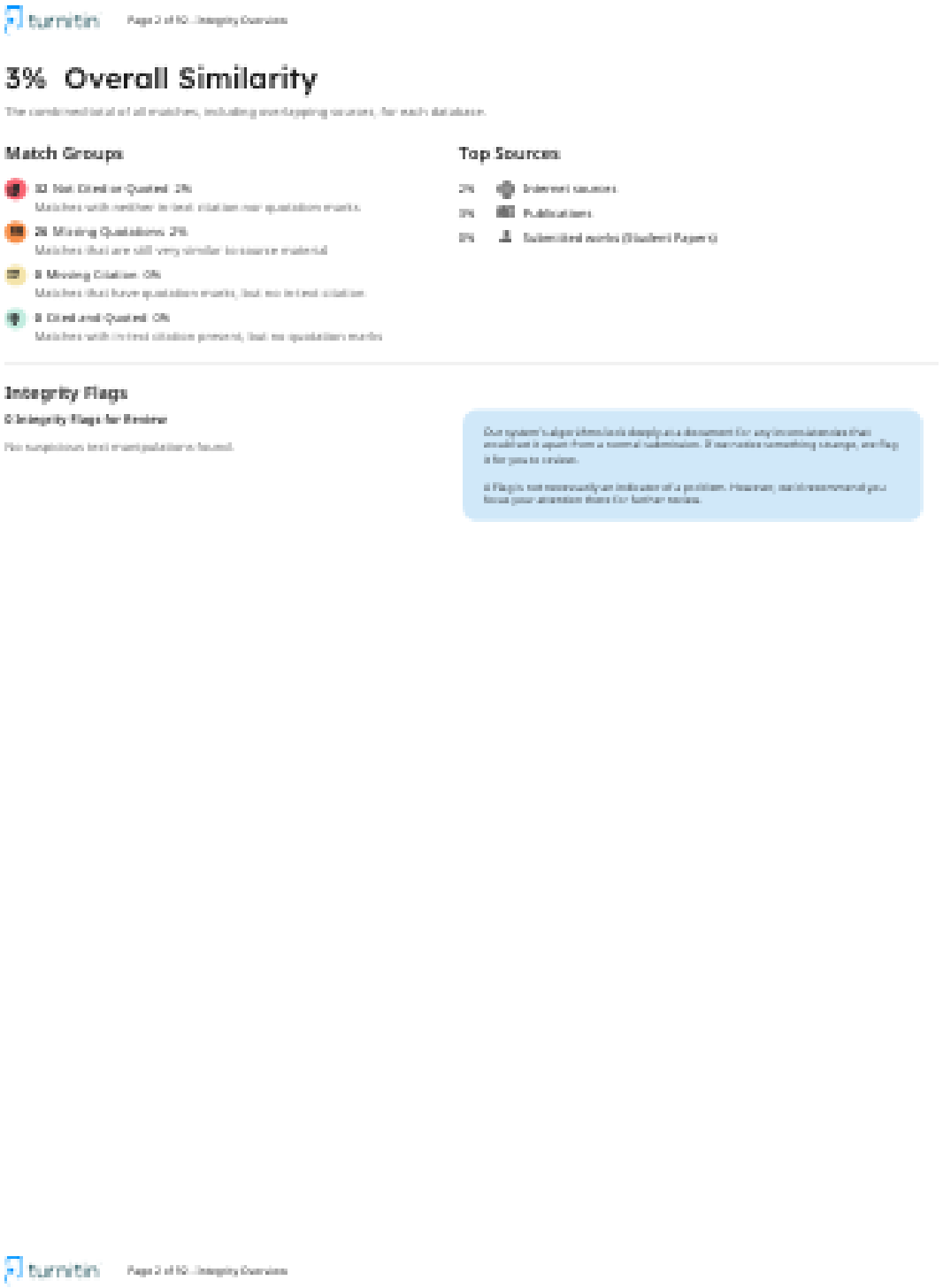
LOVELLA FAITH B. DIEZ — May 02, 2026
Name and Degree of Candidate (Signature over Printed Name) — Date

Gloria Gempes

GLORIA P. GEMPES, EdD, DM, PhD — May 02, 2026
Name of Adviser (Signature over Printed Name) — Date

Appendix L

Similarity Index



3% Overall Similarity

Match Groups

Top Sources

*% detected as AI

AI detection includes the possibility of false positives. Although some text in this submission is likely AI generated, scores below the 20% threshold are not surfaced because they have a higher likelihood of false positives.

Caution: Review required.

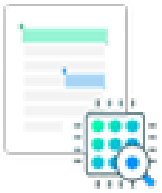
It is essential to understand the limitations of AI detection before making decisions about a student's work. We encourage you to learn more about Turnitin's AI detection capabilities before using the tool.

Disclaimer
Our AI writing assessment is designed to help educators identify text that might be prepared by a generative AI tool. Our AI writing assessment may not always be accurate (i.e., our AI models may produce either false positive results or false negative results), so it should not be used as the sole basis for adverse actions against a student. It takes further scrutiny and human judgment in conjunction with an organization's application of its specific academic policies to determine whether any academic misconduct has occurred.

Frequently Asked Questions

How should I interpret Turnitin's AI writing percentage and false positives?

The percentage shown in the AI writing report is the amount of qualifying text within the submission that Turnitin's AI writing detection model determines was either likely AI-generated text from a large-language model or likely AI-generated text that was likely revised using an AI paraphrase tool or word spinner.



False positives (incorrectly flagging human-written text as AI-generated) are a possibility in AI models.

AI detection scores under 20%, which we do not surface in new reports, have a higher likelihood of false positives. To reduce the likelihood of misinterpretation, no score or highlights are attributed and are indicated with an asterisk in the report (*%).

The AI writing percentage should not be the sole basis to determine whether misconduct has occurred. The reviewer/instructor should use the percentage as a means to start a formative conversation with their student and/or use it to examine the submitted assignment in accordance with their school's policies.

What does 'qualifying text' mean?

Our model only processes qualifying text in the form of long-form writing. Long-form writing means individual sentences contained in paragraphs that make up a longer piece of written work, such as an essay, a dissertation, or an article, etc. Qualifying text that has been determined to be likely AI-generated will be highlighted in cyan in the submission, and likely AI-generated and then likely AI-paraphrased will be highlighted purple.

Non-qualifying text, such as bullet points, annotated bibliographies, etc., will not be processed and can create disparity between the submission highlights and the percentage shown.

Appendix M

Archival Log

ARCHIVAL #	TYPE	INTERVIEWER / FACILITATOR	TRANSCRIBER	DATE
CASE A				
P01_Q1	IDI	Lovella Faith B. Diez	Lovella Faith B. Diez	February 25, 2026
P01_Q2	IDI	Lovella Faith B. Diez	Lovella Faith B. Diez	February 25, 2026
P01_I01_Q1	IDI	Lovella Faith B. Diez	Lovella Faith B. Diez	February 25, 2026
P01_I02_Q1	IDI	Lovella Faith B. Diez	Lovella Faith B. Diez	February 25, 2026
CASE B				
P02_Q1	IDI	Lovella Faith B. Diez	Lovella Faith B. Diez	February 25, 2026
P02_Q2	IDI	Lovella Faith B. Diez	Lovella Faith B. Diez	February 25, 2026
P02_I01_Q1	IDI	Lovella Faith B. Diez	Lovella Faith B. Diez	February 25, 2026
P02_I02_Q1	IDI	Lovella Faith B. Diez	Lovella Faith B. Diez	February 25, 2026
CASE C				
P03_Q1	IDI	Lovella Faith B. Diez	Lovella Faith B. Diez	February 25, 2026
P03_Q2	IDI	Lovella Faith B. Diez	Lovella Faith B. Diez	February 25, 2026
P03_I01_Q1	IDI	Lovella Faith B. Diez	Lovella Faith B. Diez	February 25, 2026
P03_I02_Q1	IDI	Lovella Faith B. Diez	Lovella Faith B. Diez	February 25, 2026
CASE D				
P04_Q1	IDI	Rogielyn B. Diez	Lovella Faith B. Diez	February 25, 2026
P04_Q2	IDI	Rogielyn B. Diez	Lovella Faith B. Diez	February 25, 2026
P04_I01_Q1	IDI	Rogielyn B. Diez	Lovella Faith B. Diez	February 25, 2026
P04_I02_Q1	IDI	Rogielyn B. Diez	Lovella Faith B. Diez	February 25, 2026
CASE E				
P05_Q1	IDI	Rogielyn B. Diez	Lovella Faith B. Diez	February 25, 2026
P05_Q2	IDI	Rogielyn B. Diez	Lovella Faith B. Diez	February 25, 2026
P05_I01_Q1	IDI	Rogielyn B. Diez	Lovella Faith B. Diez	February 25, 2026
P05_I02_Q1	IDI	Rogielyn B. Diez	Lovella Faith B. Diez	February 25, 2026

Curriculum Vitae



LOVELLA FAITH B. DIEZ
37 years old
March 20, 1989
Purok Maligaya, Brgy. Perez, Kidapawan City, Cotabato
+639381982327
diezlovefaith05@gmail.com

Academic Degrees:

Post-Graduate:
University of the Immaculate Conception (Candidate)
Father Selga Street, Davao City
Degree:
Doctor in Business Management

Graduate:
Notre Dame of Dadiangas University
Notre Dame Avenue, General Santos City, South Cotabato
Degree:
Master in Business Administration

Baccalaureate:
Notre Dame of Kidapawan College
Datu Ingkal Street, Kidapawan City, Cotabato
Degree:
Bachelor of Science in Commerce major in Marketing

Certifications and Eligibility:
Civil Service Professional Eligibility
May 2018

Safety Officer 2
July 2021

Certified Research Development Consultant
April 2026

Certified Research Data Analyst
April 2025

Lean Six Sigma Yellow Belt Certification
January 2023

Certified Financial Analyst
October 2023

Experience:
Accounting and Finance Department Head
January 2022 – Present
Kidapawan Doctors College Inc.
Kidapawan City

Marketing and Operations Officer
January 2013 – February 2018
Philippines Span Asia Carrier Corp. (formerly Sulpicio Shipping Lines Inc.)
Davao City

Shop Manager
October 2010 – July 2012
SST Laptop
Davao City

Showroom Custodian
March – September 2010
Merit Stainless Steel Inc.
Cebu City

Work Related Skills / Interest:
Proficient in MS Excel, PowerPoint, Word
Statistician
Financial Data Analyst
Basic Layout Artist